

Rail Vikas (RVNL)

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RVNL /SECY/ STEX /2022 18th November, 2022

Sub : Transcript of Conference Call with Investors / Analysts
/Institutions

Ref : Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir/ Madam,

We write further to our letter of even no . dated 15.11.2022 regarding intimation of the Audio Recording of Conference Call with Investor /Analyst /Institutions . The Transcript of the said Concall (held on 14.11.2022) is enclosed herewith and is also available on Company's website at www.rvnl.org.

Path: RVNL Website > <https://rvnl.org/investor> > Investor > Board Meetings, Board Committees & General Disclosure > General Disclosures

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

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“Rail Vikas Nigam Limited Earnings Conference Call ”

November 14 , 2022

MANAGEMENT : MR. RAJESH PRASAD – DIRECTOR (OPERATIONS),
RAIL VIKAS NIGAM LIMITED
MR. SANJEEB KUMAR – DIRECTOR (FINANCE), RAIL
VIKAS NIGAM LIMITED

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Moderator : Ladies and Gentlemen , Good day and welcome to the Rail Vikas Nigam Limited Earnings Conference call . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions later in the conference. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone . Please also note that this conference is being recorded. I now hand it over to Mr. Vishal Periwal . Thank you and over to you, Sir.

Vishal Periwal : Thanks Chris and Good afternoon everyone and good afternoon to RVNL management and first of all thanks to the management for giving us this opportunity to host their Quarter 2 FY23 Earnings Call. From the management team we have with us Mr. Rajesh Prasad ji – Director (Operations) , RVNL, Mr. Sanjeeb Kumar ji – Director (Finance) , RVNL. As usual we will have a brief comment from the management on the gone by quarter and then we will open the lines for Q&A. Yes, Sir, Over to you.

Rajesh Prasad : So, if you see the performance of this particular company we had a turnover of 19,381 crores in FY21 -22 this is excluding GST and for the first time we had crossed the mark of 1,000 crores in PAT that is the profit after tax and we had done the commissioning to the extent of 1,020 for the first time we cross the 1,000 route kilometers. So, what I wanted to say is that FY21 -22 we had all-time high in physical as well as financial performance and then we have started FY22-23 in a very big manner. In first quarter we had a jump of turnover by 20% and then in Q2 this jump has again by 21% with respect to the turnover of Q2 of FY21 -22. The profit after tax also increase from 551 crores to 750 odd crores that is an increase of 37%. The PAT also increase from 433 to 580 crore and then the commissioning the physical part I always connect both are linked.

So, physically the commissioning part has increased and this year we have commission more than 488 kilometers and last year it was around 250 kilometers. Now, if you see the gross margin by turnover the ratio in first quarter in FY21 -22 was 5.49% which has increased to 5.9%. So, there is an increase in the gross margin also.

Now, if we want to highlight a few things which has happened in last three months or so : First thing is that CARE had done the rating exercised and they have rated RVNL AAA with outlook stable so this is number one. Number two the administrative ministry that is ministry of railway has approved RVNL to Navratna status. You must be aware that we are having the Mini Ratna status since September 2013 then for the first time we are in the process of getting an overseas assignment of more than 1,500 crores.

We are going to increase our footprint in the metro construction in Chennai and Surat. For the first time we have bagged two orders for about 500 crores for development of some canal in Ahmedabad . We are already working in the HAM model, NHIDCL model and I am also happy to announce that we have participated in expression interest of a project by Exim Bank for construction of 10 kilometers of metro in Mauritius and we have been shortlisted in that. So,
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overall we have started bidding in the market and we have participated in more than 40, 000 crores of project and we have backed or have become L1 in projects worth 8,200 crores plus. So, what I wanted to say you is that in terms of physical performance, in terms of financial performance there is an upward trend and see the key strength of this particular company has been the flexibility and the focused approach. We are flexible that is why we could change our mode from assignment to the market and then we have started bidding in the market, we open the BD cell that is

the business development cell, procurement cell, we opened the legal cell then we have tried to strengthen the design cell.

So, a lot of activities have taken place and we have signed large number of MoU in the past and see this particular company is basically under Ministry of Railways and we are fully committed to the vision of the Honorable Prime Minister and Honorable Railway Minister and the parents we are the children. So, parents want their children to stand independently and grow and today being the Children Day I must say that the soul of our company is healed by remaining happy and patient and that is why you see us always smiling and performing.

So, thank you very much and we are open for the questions and answers.

Moderator : Thank you very much. We will now begin the question -and-answer session. Our first question is from Ranodeep Sen MAS Capital . Please go ahead.

Ranodeep Sen : Sir, in FY22 as you rightly said we had seen a physical construction of 1,020 kilometers of railway line, so will we seeing in FY23 that number being overtaken in the backdrop that as on date we are at 488 kilometers?

Rajesh Prasad : We had commissioned 1,020 kilometers to be precise enough and till date we have commission

more than 488 kilometers and last year up to this period it was around 250 kilometers or 260 kilometers. So, if you compare with respect to the previous financial year yes we are on the upward trend this year we should cross this 1,000 kilometer again, but subsequently there could be a downward trend because we are getting the assignments from the market which are not the typical railway project, but this financial FY22-23 we are definitely going to touch this 1,020 kilometers we must exceed that.

Ranodeep Sen : My next question sir was on the I think you mentioned about some huge opportunity in the Kyrgyzstan railway project worth 20,000 crores, sir can you throw some light on that project?

Rajesh Prasad : See RVNL had earlier signed an MoU with government of Kyrgyzstan and basically we have identified four number of such projects and this is about 1,000 kilometers and first project is around 225 kilometers, second project is 180 kilometers and there is a ring railway and then some reconstruction of the existing track. So, all together there are four projects and we are working on this and total length of the project is 1,000 kilometers and costing again the DPR etcetera has been prepared it is around 20,000 crores and in time to come we can see that this

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project is moving and we are happy to again announce that this project will be on nomination basis. So, this is again a very plus point and we will have the footprint overseas.

Moderator : Thank you. The next question is from Jimit Tanna Voyager Capital. Please go ahead.

Jimit Tanna : So, I wanted to ask about the update on Char Dham project because as per previous quarter MOR was yet to sanction the project, so can you shed light on that?

Rajesh Prasad : See the role and responsibility in Char Dham project given to RVNL was for the preparation of the feasibility, studies and the DPR which we have already done. The project is yet to be sanctioned, the ministry is yet to decide through what basis and through what procedure they would like to get it executed, but since we have got an expertise and experience of undertaking the project in the hilly terrain we are confident that whatever maybe the model we will be one of the players who will be considering very actively and executing this project this is number one. Number two we are executing this Karnaprayag-Rishikesh project. This is a 125-kilometer-long project out of which more than 100 kilometers is tunnel and the longest tunnel is 15 Km that particular project we are going to conclude and commission by December 2024 and Char Dham project, the Kedarnath and Badrinath they are

It will be extended from this particular line.

So, already you can understand that some part work has started in form of some other projects. We have got the expertise of working in the hilly terrain and since we have also prepared the DPR and we are involved right from the beginning. We are comfortable in executing the project only thing is that the Ministry of Railway has to sanction the project and then they will have to decide how they will execute it.

Jimit Tanna : So, one more question so you have been declared a successful bidder in international project in Maldives for the development of UTF Harbor what kind of margins can we expect from this project?

Rajesh Prasad : So, first let me explain about this particular project what is the background and how we have got it. The Ministry of Railway stopped giving the projects on a nomination basis then we approached Ministry of Railways for a request to be made from their side to Ministry of External Affairs and in December 2021 Ministry of Railway issued an office memorandum we call it OM and strongly recommended RVNL stating that the rating of this company is excellent for the last 11 years. It is number one PSU for the year 2019-20, it is contributing more than 35% and they advise Ministry of External Affairs that whenever there is a query or you want to execute any project of importance you should consider RVNL. So, then they called expression of interest and then we qualified in this COI then subsequently based on the QCBS project we have become the L1 bidder. The name of the project is the development of UTF Harbour Line project. UTF basically stands for Uthuru Thilafalhu Island. It is about 15 kilometers from Male. See in Maldives there are about 1,200 number of Island out of which 186 Islands are developed. This Island is about 150 or maybe 100 meter which is required to be developed to 15 hectares. This is a project which will be used by the MNF that is the Maldives National Force and the scope basically comprises of the Marine works buildings, infrastructure, equipment and the project is

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to be completed in two years. It is a very challenging project and some of the figures which if I tell then you can understand and visualize the dredging is required to be made to the extent of 14 lakh MQ then the huge construction material the requirement of cement is more than 42,000 metric ton, steel 15,000 metric ton and RVNL for the first time shall be executing project overseas and that also a mega project. Now, coming back to your question about the margin see

our first interest was to grab one project basically we want to make footprint in the overseas project and that to non-railway project. We are getting success in that, we have kept adequate margin, but since altogether it is a new kind of project, new area new challenges would be there. So, at this moment we are not sure how much margin we will be getting, but we are 100% sure that it will bring us to the next level and we will certainly earn some good margins from the project.

Jimit Tanna : Congratulation on a Navratna status?

Rajesh Prasad : Navratna I will again explain this has been administratively approved by Ministry of Railways. The proposal is with the department of public enterprises . They are working on this and then once it is declared and once it is considered and approved then it will be notified.

Moderator : Thank you very much. The next question is Hardik Jain of White stone Financial Advisors. Please go ahead.

Hardik Jain : Sir you have mentioned that we have already bagged 8,200 crores of orders in first half is it right?

Rajesh Prasad : Yeah what I have said is that till date we have participated in bidding for about 40,000 crores plus out of which we have bagged or we have become L1 to the extent of 4,000 crores .

Hardik Jain : 4,000 or 8,000?

Rajesh Prasad :

d : Sorry 8,000 crore re. 4,000 crore figure was Q1 after this Q2 it has become 8,200 crores plus.

Hardik Jain : In your results in the foot note you have mentioned that we are waving some charges for KRCL, so in this Krishnapatnam Railway Company has said that we have entitled for departmental charges of 5% of total cost work and we have received representation from KRCL for waiver of this charges, so if we wave this charges what amount will have to be reversed from the receivable that we have already booked?

Rajesh Prasad : We have not calculated that but see basically the model the revenue stream of Ministry of Railway they have let down certain revenue stream and then as per the construction agreement we are having different kind of models for the different SPV. So, most of the SPVs are basically representing and then we have asked that any of the model which is basically convenient to you whether it is a Ministry of Railway model to RVNL or any other SPV then we can consider that. So, earlier they had made a proposal that the 5% departmental charges in addition to the other Rail Vikas Nigam Limited

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charges it should not be considered. So, we have not been charging that and it is a matter to be discussed by the board of directors and then accordingly we will communicate.

Hardik Jain : And what is the outstanding amount due from KRCL as of today sir?

Rajesh Prasad : The figure is available with me it is approximately 809 crores is the construction cost and then 611 is the interest so it becomes 1,421 crores.

Hardik Jain : And if we decide to reverse any of this charges so out of this 1,400 crore some amount will be reversed and that will hit our P&L also, right?

Sanjeeb Kumar : So far they have not billed for this 5%.

Hardik Jain : Ok, we have not already billed for it so we will not bill it so it is not going to impact the numbers?

Sanjeeb Kumar : Yes, it will not impact the numbers.

Hardik Jain : Sir when I see in the balance sheet sir our current liabilities have reduced from 4,500 crore to 1,000 crores and simultaneously our cash and bank balance put together has been reduced from 6,700 to 2,600 crore so basically the advances that we would have received from our customers would be consumed for the project, so what is the payment status right now, should we expect fresh advances for the projects that we have in our hand because current liabilities have come down from 4,500 to 1,000 now?

Sanjeeb Kumar : No, there will be no further advances because we followed the reimbursement system . So, at the beginning of the year we had some advance, but there will be no further advances till this year.

Hardik Jain : So current liabilities you mean to say we will remain at this level and even the cash and bank balance will remain at what level it is?

Sanjeeb Kumar : Almost this level.

Moderator : Thank you. The next question is from Deepak Mehta from Bank of India Mutual Fund. Please go ahead.

Deepak Mehta : My question is regarding the shift in the Indian railways ordering process from nomination basis to tender basis, how will competitive intensity changed from both private as well as public players and how will our margins plan out from here on?

Rajesh Prasad : Just try to be slightly louder because the last part we could not hear from you.

Deepak Mehta : So, with the shift from nomination basis to tendering basis, how will competitive intensity changed from both private as well as public players and how will our margin get impacted due to this?

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Rajesh Prasad : So, first part is the nomination to the bidding. See this railway infrastructure projects are complicated, complex and it requires a lot of integration and interface. RVNL has been pioneer in this. We have executed more than 120 projects for the Ministry of Railways and we were invol

ved right from the concept to commissioning what we call it the full project lifecycle. We were very confident and we have delivered more than 35% of the railway infrastructure project. So, what I wanted to tell you is that the contribution of RVNL were tremendous in developing the railway infrastructures in the country. Now, there is a shift and there is a shift by Ministry of Railways that they are not going to give us a nomination they will be calling this, but at the same time there is also a shift in RVNL approach we have gone into the market and we have decided that we will not remain limited to the Ministry of Railways. We are basically trying business in NHAI road sector, HAM model then the marine works, overseas project, metro construction. However, basically we are creating a large number of verticals in all kinds of infrastructures we are working. So, what I wanted to tell you is that since now it is going to be a mix basket and the margin of course will change and with the passage of time there is a likelihood that the margin will increase. As I said in the beginning that we are not only in the process of opening the bidding cell that is the business development cell, but also the procurements cell by having the procurement cell we can increase the margins of basically procurement of material like steel and cement then we wanted to have a legal cell, we wanted to strengthen the design cell just to tackle the EPC contract and EPC tender. So, there is a shift yes there is no doubt about it and some astonishing figures are coming like 8,200 crores which I am mentioning out of 8,200 crores the railway projects are only of about 500 crores and rest are either metro or the road sector or the overseas marine works or some other kind of and municipality in Ahmadabad. So, things are changing in both the fronts and we are pretty sure see the Ministry of Railway is having a huge plan if you have gone through the National Rail Plan what they are planning to have is that by the year 2030 they want to have all kinds of infrastructures in place to cater the demand of 2050. See the model share of railway is around 26%, 27% and by the year 2050 they want to make it 45%. The reason for this is that we will have the greener and then safer and then environmental friendly transportation system and it will lead to the growth of the country. So, overall what I wanted to conclude is that the margin is again going to change with the passage of having some experience it will increase and regarding the Ministry of Railways project we are very keen because we have got the expertise of execution of the railway project only in the past. So, we want to remain associated with the railway project. We will participate in the railway projects, but we do not know how many projects we will get regarding the competition with the private players. See the private players requires a lot of technical expertise which I do not think the private players are having, it requires a lot of interface. If you are commissioning a double line, then it is to be integrated with the existing yard and without closing the operations. So, the projects are complicated and complex we have got the expertise and private players whether they will get success, they will not get success only the change will change, but we are confident that in time to come we will have sufficient number of orders in railway sector as well as in non-railway sector and with the passage of time and with the kind of experience we gain we are going to have margins available.

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Deepak Mehta : Just one more question what will be our approximate market share in the line of work which we are doing for example in double lining what will be our market share in Indian railways?

Rajesh Prasad : See we have got an order book of around 55,000 crores and out of 55,000 crores if you

see the

double line figure will be around maybe around 20% to 25%. The new line will be around 55%, the metro projects will be around 12% turnkey projects and the gauge conversion and the railway electrification basically scope in the sales have gone down because the railway electrification is getting over in next one year time, gauge conversion is mostly completed and the turnkey project since we are not getting on the nomination basis we have already completed 15 works so this is the breakup of the 55,000 or 50,000 crore plus which we are having from the Ministry of Railways and this is the breakup of basically projects in terms of the double line, new line MTP, turnkey projects, gauge conversion and railway electrification.

Deepak Mehta : Sir my question was slightly different what will be our market share in the Indian railways CAPEX for example if Rs. 100 is spent on double gauging then how much is done by us?

Rajesh Prasad : See till FY21 -22 and maybe in FY22 -23 we will be basically doing a contribution of 35% in terms of commissioning and may be slightly more in terms of CAPEX in these particular infrastructure projects, but FY22 -23 or maybe after FY23 -24 things will change because we have to compete

in railways to get the project s number one and we will not remain limited to only the Indian railways we will be executing so many projects in some many other sectors with so many verticals and even overseas.

Moderator : Thank you. The next question is from Ash Shah of Elara Capital. Please go ahead.

Ash Shah : So, can you just give me the order book position as of Q2 FY23 exact point if you can?

Rajesh Prasad : See I said we have got the three kinds of models. One model is the project which has been given on nomination basis by Ministry of Railways or by some other government so this will be around 50,000 crores and in FY22 -23 we have got zero, but again we have signed an MoU with Government of Kyrgyzstan and there we are expecting an order of 20,000 crores in time to come. We have got the second model that is bidding from the market till date we are having 8,000 crores of new work, new projects which we have backed from the market. We are eyeing another 6,000 to 7,000 crores by March 2022 and SPV model the third model is the SPV model where we have got around 1,000 crores during this FY22 -23 and we are expecting an order of another 3,000 crores in the SPV model. So, if you see the orders at the end of FY22 -23 after having the turnover the order book will remain same around 55,000 crores plus and if we get the order from the Kazakhstan then it will become much more than that and see the target of RVNL is to have 1 lakh crores of orders all the time. If you are having a turnover of 20,000 crores plus so we want to maintain basically order book of 1 lakh crore and in time to come we should be able to achieve that.

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Ash Shah : And second question would be would you maintain your FY23 guidance of 15% to 20% revenue growth and the 21,000 crore plus revenue and bottom line of 1,100 crore plus?

Rajesh Prasad : Yeah in FY22 -23 we are going to achieve this and the numbers are astonishing as I said. If you see the number of Q2 we had a turnover of 9,500 plus crores and last year it was 7,890 crores.

So, there is an increase of 21% I am talking about the top line. Last year we had a turnover of 19,381 crores without GST. If you add GST then it will become around 21,500 or 22,000 crores.

So, the way things are moving see we are up by 21% the financial turnover. So, in time to come we are certainly going to basically surpass the turnover of 19,381 crores. So, the top line of 21,000 crore plus looks an easy task and in terms of the physical delivery we are much ahead of the performance basically we had the performance in FY21 -22 so we are again going to commission or achieve the performance of FY21 -22

in FY22 -23. In terms of the physical as well as in terms of the financial we are going to have all time high.

Ash Shah : And last question would be could you just give us some update on the Krishnapatnam JV arbitration which was I think it was going to come in CY22 any of that and that how much monthly payments are we receiving from them particular JV?

Rajesh Prasad : So, let me explain it like this that first of all the Krishnapatnam the project was a sanction project of Ministry of Railways in PPP model and whatever money we have spent was for the purpose of project execution. We roughly had a 2,400 crores out of which we have received a 1,600 crore. Now, the trade receivable which we are talking somebody asked in the beginning is 809 crores plus 6.11 crores interest so 1,420 crores. So, if you see the performance of this particular company this has made a turnaround in terms of the traffic and there is an increase of traffic by 71% and you tried to understand and appreciate that it is the all-time high and for the first time we have started making profit and we have commissioned two more stations that is Brahmanapalli and Velikallu these were required in order to have more and more traffic in Krishnapatnam. We are also constructing a bypass line that is also likely to be commissioned in December 2022. So, if you see the earning part there is a substantial increase in the earning of KRCL we were in loss in first 6 months in FY21 -22 which has now become a profit. So, if you see the financial figures KRCL increased from minus 36 crores to plus 23 crores and RVNL share increase from minus 18 crores to plus 12 crores. So, what I wanted to tell you is that there is a continuous increase in the traffic in KRCL and regarding the payment, regarding the arbitration part yes I will tell you some of the dates in connection with the arbitration. See the arbitration proceedings started on 24th January 2020 and the pleading completed in January 2022. As per the arbitration proceedings and act the amendment it is required to be completed in one-year time, one year after completion of the pleading, but in between what happened is that because of the COVID and its impact a grace period has been given from 25th March 2022 to 28 February 2023. So, as such officially the proceedings and award should be over by 28 February. They have already conducted the cross examination of the claimants and the respondent's cross examinations are also over. Ministry of Railway had filed few applications

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which are being basically resolved and the main hearing will start and we are hopeful that by this time lying in FY22 -23 we should get the judgment.

Ash Shah : And could you just give the amount I mean how much is for the arbitration how much have we filed for it?

Rajesh Prasad : How much you want to know the money spending with the arbitration.

Ash Shah : No not for the money spending the money that we will receive if the arbitration is in our favor, how much money will be basically from KRCL?

Rajesh Prasad : We will be getting straightaway that 809 crores which has been spent in the project along with the interest because it is a money which has been used in the project implementation and one more thing which I wanted to tell all the investors that this particular company has already resulted into 14,000 crores plus of revenue for Ministry of Railways without any additional investment and when the project was in the execution stage it used to be discussed in the Pragati portal there was a lot of stress to commission the project and the project has been completed and commissioned 100% overall interest of the country also.

Moderator : Thank you very much. The next question is Shubham Shukla of Voyager Capital . Please go ahead.

Shubham Shukla : Let me first quote public relation finance advisor what he said in investor

call June 2022 around

2,500 to 3,000 crores is a real estate cash balance required for this business. Right now, as on Q2 2022 this year it is expanding around 3,600 crore, is it allowing that cash in hand is heading towards downwards, are we expecting the new challenge in a short period of time maintaining the minimum required balance?

Sanjeeb Kumar : No, we have the minimum required balance we keep getting our system is such that we work for the railways and every month we get the reimbursements so cash balances are not allowed .

Shubham Shukla : So, I have one more question so how revenue from execution work to segregate it like which segment in execution work brings a most benefit to the firm ?

Rajesh Prasad : Your voice is not at all clear to me you please tell again.

Shubham Shukla : How revenue from execution work is segregated which segments in execution works bring most business to the firm

Sanjeeb Kumar : Actually our revenue model as you must be aware is on the railway work that we get we have a management fee system that is for the total execution of the projects which gets around 8.5% management fee. So, irrespective of whether we do new line or doubling or gauge conversion

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this will be in the range of 8.5 to 8.75 and national projects would be 9.25%. So, our profitability would not go up and down depending on what kind of work we are executing.

Shubham Shukla : Sir I wanted to ask you like which segment in execution work has done most business which brings business to the firm like this has a highest weightage in the business?

Rajesh Prasad : Justify if I have understood correctly you are asking that which segment will have more challenges or which segment will more profit this is the basically the aim of your questions.

Shubham Shukla : Which segments bring most orders bring more in the cost?

Rajesh Prasad : See our expertise have been the railway sector and the metro sector only and in time to come we would like to concentrate on this, but in order to expand our business we thought to bid in the road sector the consultancy tender, consultancy works and also the marine works and then we also thought that we should enter into the water ways, we are trying to basically make footage have the footprints in all kinds of segment and in time to come you can see that yes things are happening The marine work in Maldives which we discussed is just an example of that.

Moderator : Thank you very much. The next question is from Riken Gopani of Capri Global. Please go ahead.

Riken Gopani : Sir, I have two questions the first question being for whatever bidding has happened you said you have bid for 40,000 crores worth of projects in the first 6 months if you can help understand what is it that what is the proportion of railways orders in this and whether let us say it is similar kind of orders were bid last year, what was our market share and whether we have been able to maintain the market share even at the competitive bidding space with railways itself?

Rajesh Prasad : We started bidding about a year back maybe slightly more than that and the 40,000 crores plus is the cumulative figure. So, maybe some will be in the previous financial year, but more than 90% will be during this financial year FY22 -23 we have got the basically orders or we have become L1 that is around 8,200 crores so that makes around 20% of the strike rate. Coming back to your question that what is the percentage of the railway segment we want to remain connected with the Ministry of Railways, we want to remain very active executor, railway infrastructure executor, but unfortunately we have out of 8,200 crores it is 500 crores only project which is railway project and that too it is in the North East frontier railway for construction of tunnel. See we have got the expertise in the tunnels we are executing the longest tunnel

in Rishikesh -

Karnapraya g so that is the tunnel project which we have backed from the market for the North East Frontier Railway. So, the percentage out of 8,200 crores the railway part is only around 500 crores.

Riken Gopani : So, just one clarification here is it because railways has not ordered as much during the first half which is causing this or there has been a lot of private companies which have won orders because of which our number is lower this year from railways?

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Rajesh Prasad : It would be slightly difficult to answer the point, but what I will say is that Ministry of Railway has got huge plan for the station redevelopment they have got 200 stations. Recently they have sanctioned 10,000 crores for 3 number of stations development. Similarly in the double line gauge conversion there is plenty of works are coming up and we are actively thinking to participate in some of the tenders in the contracts and in time to come you will also see that we get large number of orders from Ministry of Railways also, but at this moment yeah we have got only around only one project costing around 500 crores, but in time to come you will see that the figures are changing and maybe we will have more orders from Ministry of Railways.

Riken Gopani : And just one question related to that given the inflow which we are having from non railways and the outlook for railways ordering also for the going forward period we have seen a very strong compounding growth that our company has delivered over the last 5 years, 7 years do you see your growth rates at least maintaining those kind of historical bids or how do you expect FY24 and beyond for the next three years or so in terms of growth outlook for the revenue?

Rajesh Prasad : See presently we are having a growth rate of 25%. Now, if you see the turnover of the last three years FY19 -20 which was 14,530 crores I am talking about the turnover and 2021 was affected by the COVID wave 1 21 -22 was again affected by wave 2 and these two financial years we had the economic slowdown, but we exceeded all the physical performance and the financial targets in FY2021 then again we surpass in FY21 -21. So, this generated confidence that during the COVID year when the period when the entire world was struggling and we could achieve our target then we could survive, we could sustain and we can maintain the growth rate. So, let us first see the FY22 -23. FY22 -23 we are certainly going to cross this 21,000 crore plus mark. So, the growth rate of 20%, 25% we will maintain. Regarding this 23 -24 the way we have been working, the way we are now getting the orders from the market may be it can go down or it can go up, but efforts will be there to maintain the same kind of growth rate and as I said in the beginning that we are eyeing for an order of 1 lakh crore. The idea behind having the order of 1 lakh crores all the time is to maintain this growth rate and we are pretty confident that in time to come we will be having this kind of growth rate to be continued and we will remain pioneer in building all kinds of infrastructures in the country.

Moderator : Thank you sir. The next question is from Prithvi Raj of Unifi Capital. Please go ahead.

Prithvi Raj : Sir, I just have one question see thing now is the company has been focusing on a domestic markets and now the focus seems to be on the international markets see what kind of project level risk that you expect in international market and how are we equipped to manage this risk?

Rajesh Prasad : Last question you please tell me again?

Prithvi Raj : So, how are the position to manage some country level risk in these international projects?

Rajesh Prasad : See for the international project our focus was to remain confined to the railway infrastructure, metro and some project of importance by the Exim Bank or Ministry of External

Affairs. So, we

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have got the expertise of the railway infrastructure. So, if we are getting the projects in the railway infrastructure there will not be a problem. Second is the metro we are executing metro projects in Kolkata, Indore we are likely to get the orders from Chennai and Surat and then we have also undertaken MTP projects in Hyderabad. So, with the kind of exposure and expertise which we are having we are also very confident in the metro projects and in the expression of interest called by Exim Bank for the Mauritius metro we have been shortlisted so that is the plus point. So, the railway infrastructure, the metro construction overseas we are comfortable then the third segment is the MEA or Exim Bank projects in Maldives we are getting one project costing more than 1, 500 crore. See our strength has been the project management skill and we have got a pool of around 800 plus 1,000 contractual engineers and we have got Pan India presence. We have got exposure of all kinds of project, we are involved in the full project life cycle right from the concept to the preparation of DPR, design, execution and then defect liability. So, we are pretty confident that in time to come we will have the international projects executed in a very professional manner, we are in touch with so many other government departments overseas and as I said in the beginning and office memorandum was issued in

December 2021 by Ministry of Railways to Ministry of External Affairs and that they recommended that whenever there is a project they should be strongly consider us. So, everything is moving in the direction which we want to have and for the international project we wanted to have the footprint which we are getting and we will make sure that these projects are completed with the full satisfaction we want to showcase that Ministry of External Affairs or to the Government of India that we are really very professional and we will definitely complete and we will meet the expectation of such government agencies.

Prithvi Raj : Sir just a follow up on this just as you said there is any delay in the international project, will there be any impact for our balance sheet?

Rajesh Prasad : Yeah this may impact see in the beginning we may not have that kind of margin, but at the end may be after gaining some experience margins will increase. See as I said in the beginning that we are in the process of opening a procurement cell. The procurement cell will basically procure the material whether it is cement, steel, whether it is India or the overseas. So, whenever you are executing the project if you control this procurement part then you are having slightly improved margins available then large number of EPC contracts are now being awarded. The beauty of this EPC is that we can do the value addition in the design part and the kind of expertise and exposure which we have got we will definitely do the value additions thereby saving in the project. So, what I wanted to tell you that we have got the exposure, we have got the expertise and we can always do the value addition and we can always have the margins available in time to come.

Moderator : Thank you. Our next question is from Venkatesh Subramanian for Logic Tree Investment Advisers Private Limited. Please go ahead.

Venkatesh Subramanian : Sir, most of the questions are answered, but just a little bit of clarity on just two things one is you mentioned about the Kyrgyzstan order I think it is like a pioneering order for you, what is Rail Vikas Nigam Limited
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the value that you mentioned an second question is you said that at any point of time you would like to have a significant order book in the range of 1 lakh crore plus aim for a 20% CAGR growth over the next few years. So, the current 55,000 crore orders when it is completed you are

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basically aiming to keep replenishing the order at the range of 20,000 to 25,000 crores every year to keep the score board ticking, is my understanding right?

Rajesh Prasad : So, let me first explain you asked about Kyrgyzstan . See we had signed an MoU about a year back and there were four projects which were identified and the total number of kilometers involved in those projects was around 1,000 kilometer, costing around in terms of Indian rupees 20,000 crores. We have to get the DPR and before projects basically I do not remember the names of the projects. One project was of 225-kilometer , second project was 180 kilometer and the third project was for some ring railway and the fourth project was reconstruction. So, if you see and this will again impact RVNL in a very big manner because it is somehow like a nomination work only so this is about Kazakhstan . Now, regarding basically order book see what I had said is that we have got order of about 55,000 crore plus. We are getting orders from the market, we will get some orders from the SPV also. So, what we want to have is that at all times we should have a 1 lakh crore in order to have the same kind of growth rate. So, this is the idea behind having this 1 lakh crore order all the times and see it is very difficult to change the model earlier we were in a CAPEX arm or executing arm of Ministry of Railways contributing more than 35% of the railway infrastructure I think one year time we have changed our model. The key strength of RVNL has always been I always keep on saying that the proven track record which imparts confidence is number one. Number two we have got a very focused approach. Number three flexibility and it is this flexible approach that we have changed from one model to another model. We have not only survived; we have not only exceeded the targets physical and financial during the COVID years and the period when the economy was slowdown. So, these were the reasons because of which we survived and we excelled 19 -20 it was number one in the country not amongst the railways, all the PSUs it was number one. So, we are eyeing for best these are the targets which we are setting for ourselves and if we achieve this 1 lakh crore of this order book we are very confident that in time to come we will have the same kind of growth rate and see I will tell something about one more project. There is a company called NHLML that is the National Highways Logistics Management Limited . It is a subsidiary of the National NHAI. They are suppose to make the Multi Modal Logistics Path that is we call MMLP . These are the world class logistics aggregation and the disaggregation points and they have identified 35 locations and for this the project is specific, SPVs are required to be made and the role of RVNL will be participation in the SPV, participation in design, planning, DPR, feasibility and the track execution path. Two days back you must have seen a news item where the Reliance to develop a Multi Model Logistics Park as being the highest leaders. This will be for 45 years for managing, operating and the maintaining this logistic path. This is near Coimbatore in

Chennai, the total length is about 10.4 kilometers, project cost is 1,423 crores and in that particular SPV the total equity will be around 600 crores and RVNL share will be 26%. So, what I want to tell you is this is another model where in time you will see the footprints of RVNL spreading all over the country at 35 locations.

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Moderator: Thank you. Ladies and gentlemen due to the paucity of time we will only be able to take two more questions the next question is Hardik Jain from Whitestone Financial Advisors Private Limited. Please go ahead.

Hardik Jain : If you can share us of various SPVs, what is the profitability for the 6 months and what is the amount of investment RVNL has in equity and debt in various SPVs?

Rajesh Prasad : I do not have all the figures, but briefly I will tell you that the equity participation varies from 30% to 50%. It cannot be more than 50%, it cannot be less than 26% as per the policy guidelines issued in December 2012. In Kutch Railway we have got a share of 50%, in KRCL 49.76%, in ASRL 32.70%, in BDRCL it is 35.46%, in HPRCL 30%. We have already commissioned four number of SPV, fifth SPV ASRL it is again a matter of price that we are going to commission in FY22-23 it will be a game change in transportation in Odisha and East Coast Railway, what exactly we will be doing is that it will improve the transportation of coal from Talcher area to Sukinda and Basavani. Iron ore from Basavani to Angul and Sukinda and then minerals from the Dhamra port to Kalinganagar. So, what I am saying is that this is one of the challenging thing which is happening. Yesterday one of the station which is basically connecting station in East Coast Railway Baghuapalli was commissioned. So, this SPVs are working. Now coming back to basically the performance in the first 6 months see in FY21-22 we have an improvement of around 20% in Kutch Rail, KRCL and BDRCL, but in FY22-23 in first 6 months there was an improvement of 103% in BDRCL, the total number of rakes in first 7 months 50321023, Krishnapatnam it increased from 1,800 to 3,090 rakes increase of 71% and there was an all time high of 543 racks in July 22 and as I said we have commissioned two more stations as per the requirement of South Central Railway these SPVs are performing exceedingly well and if you see the performance in terms of the loading and in terms of the earning the increase in the KRCL is around 86% in terms of the million terms and a portion earning maybe around 100% and if you see the KRCL last financial year there was a loss of 36 crores and in first 6 months it is now profit of 23.5 crores. So, the profit of RVNL is approximately since we have got a pair of 46.76 it is around 12 crores. Similarly, BDRCL there was a turnaround we had a loss of 0.5 crore which has resulted into 39 crores of profit and in RVNL share it is now 14 crores profit. So, what I wanted to tell you is that if you see the performance of the SPVs overall there is a remarkable improvement in FY22-23 with respect to FY21-22.

Moderator: Thank you. The last question is from Sahaj he is an Individual Investor. Please go ahead.

Sahaj : Sir, I had one question when I am seeing standalone and consolidated figures I see the revenues and expenses are same, but we get the share from JV, so it maybe some accounting concept anywhere?

Sanjeeb Kumar : In consolidated we have JV in which we are not it is not a subsidiary we have up to 50% or less as a share. So, there the only take our portion of their profits.

Moderator : Thank you very much.

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Rajesh Prasad : Very good evening and close this because I have got another Investors meet and if you are having any other question then you can mail it to the Company Secretary and then we will see what best we can do and then we will also send the answer.

Moderator : Thank you very much sir. Ladies and gentlemen that then concludes today's conference call and on behalf of Rail Vikas Nigam Limited that concludes this conference. Thank you for joining us and you may now disconnect the lines.

Call: Feb 2023

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RVNL/SECY/STEX/2023 23 .02.2023
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Scrip: RVNL BSE Ltd.
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.
Scrip: 542649

Sub : Transcript of Conference Call with Investors / Analysts
/Institutions

Ref : Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir/ Madam,

We write further to our letter of even no . dated 17.02.2023 regarding intimation of the Audio Recording of Conference Call with Investor /Analyst /Institutions . The Transcript of the said Concall (held on 17.02.2023) is enclosed herewith and is also available on Company's website at [www .rvnl .org](http://www.rvnl.org).

Path: RVNL Website > <https://rvnl.org/investor> > Investor > Board Meetings, Board Committees & General Disclosure > General Disclosures
https://rvnl.org/investor?investertab=Board_Meeting&boardmeetin gtab=General _Disclosures

You are requested to take the same on your records.

Thanking y ou,
Yours faithfully,
For Rail Vikas Nigam Limited

(Kalpana Dubey)
Company Secretary & Compliance Officer

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"Rail Vikas Nigam Limited Q3-FY23 Earnings
Conference Call "

February 17, 2023

M

MANAGEMENT : MR. PRADEEP GAUR – CHAIRMAN AND MANAGING
DIRECTOR , RAIL VIKAS NIGAM LIMITED
MR. RAJESH PRASAD – DIRECTOR (OPERATIONS),
RAIL VIKAS NIGAM LIMITED
MR. SANJEEB KUMAR – DIRECTOR (FINANCE) AND
CFO , RAIL VIKAS NIGAM LIMITED
SHRI A.K. CHOUDHARY – PRINCIPAL ADVISOR ,
(FINANCE)

Rail Vikas Nigam Limited
February 17, 2023

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Moderator: Ladies and Gentlemen, Good day and welcome to the Rail Vikas Nigam Limited Q 3 FY '23 Earnings Conference Call .

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Vishal Periwal. Thank you and over to you, Sir.

Vishal Periwal: Good afternoon everyone. First of all, I like to thanks to the management of RVNL for giving us this opportunity to host their earnings call. From the management of Rail Vikas Nigam Limited, we have with us Mr. Pradeep Gaur – Chairman and Managing Director, RVNL; Mr. Rajesh Prasad – Director (Operations), RVNL ; Mr. Sanjeeb Kumar – Director (Finance) and CFO , RVNL.

So, as usual we will have a commentary from the management on the results, and then we will have the lines open for Q&A. Thank you, and over to you, sir.

Rajesh Prasad: So, very good evening. This is Rajesh Prasad. I'm Director (Operations). And with me, our Principal Advisor, Financier, Shri A.K. Choudhary sir; and Director (Finance), Mr. Sanjeeb Kumar is joining in two minutes. Mr. Pradeep Gaur is having another meeting, which is continuing for the last two hours, and he will be joining later on.

So, as you are aware that this company is 20 years old. We celebrated our 20th anniversary on 24 January 2023. We started operations from December 2005, and we were the executing arm from the CAPEX arm of the Ministry of Railways. Now the Ministry of Railways and Government of India also desire that we should have the broader perspectives .

We have been contributing more than 30 % to 35 % of the railway infrastructure, and we have commissioned more than 15,000 route kilometers of the railway infrastructure, doubling new line, gauge conversions, Railway electrification . Besides that, we are also in the Metro construction. And the turnkey projects , we have completed and commissioned 16 turnkey projects , which are really on a very , very fast track.

This was basically, this is the Mini Ratna company given in September 2013, and it is getting upgraded to Navratna. Our Administrative Ministry has accorded approval for this. And followed by, there was a meeting with the Department of Public Enterprises, and there also it has been cleared . And then after that we had the inter -ministerial committees meeting. They have again cleared it. So, it is almost like a tie, basically , it is only for some time that maybe during this financial year we will get the Navratna status.

We have got the PAN -India presence, and we are executing all kinds of railway infrastructures.

We are involved in the complete project life cycle which starts from the concept to

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commissioning the final location surveys , VPR , the designs , and plans , then estimation , tendering , and the basically land acquisition , execution , commissioning , and then defect liability period, and handing over for the operations .

We have got a very lean setup , and earlier it was 100% dedicated to IR . We were executing the railway infrastructures . So, now we have changed our model from local railway infra to global all infra. And if you see the performance of this company , the last 11 years , it has been rated excellent . And in the last five years , you can see the performance of this public sector , which is being issued by the Department of Public Enterprises . This must be the number one PSU in the country for the year 2020-21. It was third amongst all the PSUs. Three times it was number one. So, if you take the average,

and it will have the basically, it will be the number one PSU.

Regarding the Q3 performance , very small thing , very briefly I would like to highlight that we had as per the target of MoU , we have been given a target of top line of 20 ,000 crore . As per the MoU , we have been given a target for commissioning of 1 ,000 kilometers . We have commissioned more than 810 kilometers . So, that is also as per the timeline. We have had the turnover of more than 14, 560 crores after Q3 . So, the other increase of around 12.5% with respect to FY '21-'22. So, again , this is a very good sign.

And if you see the share price variation of this particular company , in last this ten month s' time, the share price appreciation has been more than 125%. And if you compare it with respect to BSE 500 Index, this is more or less stagnant in 24 ,000 mark . And BSE Infra index, which is more close to the infrastructure, it is again sta gnant 288 as on 1/12/2022, and as on 1/2/2023 , it is 287. So, with respect to that , it has shown a tremendous improvement .

And in the SPV s, there is a total t urnaround in th e special purpose vehicles in terms of the increase in the volume of the traffic in terms of the earnings. And in FY '20-'21, the total earnings in the whole of the financial earnings was loss of around 40 lakhs , which has got increased to 103 crores in FY ' 21-'22. But in FY '22-'23, even after Q3 in nine months , it has already surpassed 141 crores. So, all the SPVs have some tremendous improvement .

We have got a rat ing done. It is Triple A and stable. And we have started bi dding in the market . We have participated in bids about 70,000 crores . We started this bidding only around 16 , 17 months back , and it has shown a lot of improvement , and this price rating is around 24 % , 25%. And we are also happy to inform you that the Angul Sukinda Rail , ASRL in Orissa is getting operati onal from February 2023. So, all the five SP Vs will get commissioned , and accordingly , the earnings in time to come will go up . So, these are about the SPVs.

I talked about the overall performance of RVNL, and we are focusing in not only railway sector , but all sectors . And the major , the main agencies where we are concentrating is the Metro , then the tunneling works , then the port connectivity , marine work s, S&T work , and the areas you can say that railways , highway s, buildings. And we have already become global as I said earlier . We are executing one project at Maldives , which is costing more than 1, 500 crores , and the project Rail Vikas Nigam Limited

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has already taken off . And in time to come , this much I can ensure to the investor s, that whatever the target from the positions which we have made for FY ' 22-'23, we are going to achieve that.

So, now we are ready for the questions , and then whatever questions are there , we will answer .

And if you need further clarification , then I c an also elaborate upon that.

Moderator: Thank you. Ladies and gentlemen , we will now begin with the question-and -answer se ssion . The first question is in the line of Harsha from Elara Capital . Please go ahead .

Harsha: Sir, can you just provide what is the order book outstanding as of Q3 FY '23? And can you give us details also of the segment wise?

Rajesh Prasad: So, you were asking about the order book. See, I can tell you that as on 31/3/2023, based on the projections, we will have an order book of around 55,000 to 60,000 crores. It has to be reconciled. And if you want to know the break up for the segment wise, then through the market bidding, it will be around 20%. So, out of 55,000, 20% will be through the bidding, an d then rest will be the typical railway projects, which have been given on nomination basis.

Harsha: So, nomination will be 80 % as of FY ' 23, but if you can just provide what will be the, for nine mo

nths FY ' 23, if possible , the order book outstanding ? Can you give us the 3Q number outstanding ? I mean , this one is for FY ' 23, but what will be that for 3Q?

Rajesh Prasad: Outstanding numbers regarding what ?

Harsha: Order book .

Rajesh Prasad: Order book means , see, it is a dynamic situation. So, (- 4,000). And we will have some appreciation this year. So, around 52.

Harsha: So, as of December , it's 52 ,000 crores ?

Sanjeeb Kumar: No, you said Q4 . So, this will be --

Harsha: No, no, as of Q3 . Q3 FY '23?

Sanjeeb Kumar: As of Q3, we gave you 55, 000. T hen you wanted something more . So, that is 52 ,000.

Harsha: Also , second question would be , what was the order inflow for nine months FY '2 3? And are we L1 in any of the other projects ?

Sanjeeb Kumar: L1 is sensitive information . We can't give you.

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Rajesh Prasad: Yes. But I can tell you the strike rate is around 24%, 25%. And if you want to know that how many bi ds we have submitted , so I have already explained that we started reading only 15 months back , 16, 17 months back , and we have participated in bid worth 70,000 crores .

Harsha: And just last question . Can you just provide the update on the Kyrgyzstan project ? I mean , what is the progress for the same? Are we like , because last we were going to approve the DPR , and then probably take on the next part , so is there any update on the same?

Rajesh Prasad: So, basically , we have identified four such projects , and the total length is around 1 ,000 kilometers costing around US\$ 2 billion to US\$3 billion . So, we have signed an MoU, and we have already formed a JV with Kyrgyz industry . And basically , in first phase , we will be executing three projects . And the moment we get additional information, it will be placed before the SEBI, and it will be available in the public domain.

Moderator: Thank you. The next question is from the line of Pranay Khandelwal from Alpha Invesco . Please go ahead.

Pranay Khandelwal: I wanted to ask in the recent interview, you alluded that you have participated in a bid of 50,000 crores plus for trains ets. Can you give more clarification about that? And also is it a tie -up that you are doing with the company ?

Rajesh Prasad: We have participated in a bid. That is correct. This is under evaluation stage. And if we get any update , it will be made available to the public also . So, basically, it is a work where the trainsets are required to be manufactured . There are five bidders in this , and we are one of the bidders who have participated in this tender. And the approximate cost is around 55,000 crores plus.

Pranay Khandelwal: And we have bid separately, like there is no tie-ups.

Rajesh Prasad: We are not counting this in the total bid, the numbers which I had shared. That would be 20,000 crores. If we add this, then the total number of bid, total, basically, amount of bids will be 1,25,000 crores.

Pranay Khandelwal: And can you also say anything more about the Maldives project? I heard in your opening remarks that you said that it has been commenced. So, what's your timeline ?

Rajesh Prasad: Maldives project, yes, we have already shared the information that we have been awarded the project of Maldives . This is costing around more than 1, 500 crores . It was a QC BS tender. It is a sensitive information , because it is a Government of India's project being developed for some MNDF , and we have already started executing the project . This is the first project for the first time we are executing an overseas projects.

And I am also happy to inform you that it is not a typical railway project. It is a marine work .

So, we are getting diversified . Number one. We are executing the first project in overseas

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commission . And in time to come ,

we are very keen to have more and more projects overseas

also. And you can see in time to come .

Moderator: Thank you. The next question is from the line of Sandeep from Shivam Dealmark Private Limited. Please go ahead.

Sandeep: Thank you for giving us the opportunity to have a one-to -one and find out more about the company . I basically have two concerns . So, one is that we have seen a very flat top line growth in Q3 , and with the bid size of most of the orders that the company seems to be getting is very small , you know, in the region of 30, 40, 50 crores . So, is there any constraint in ramping up our order book ?

Rajesh Prasad: See, I have understood your question. The first question is the flat performance in Q3. But let me first answer. Just if you see the performance of Q3, then okay, fine, it is flat because it is more or less 5,000 plus crores in terms of the top line . But if you see the cumulative performance, there is a jump of 12.5%. That is 12,945 crores to 14,560 crores. So, the top line has also increased , if you see the overall performance up to Q3. See, we are more concerned about the PAT, the bottom line . And if you see the PAT, it has increased by 30.45% with respect to 7 15, this time it was 92 3 crores.

Regarding the orders, see we wanted to first enter into the market . Our aim was that yes, let us get some work from the market , and the first two packages from Indore Metro gave a very positive sign . The margin was very good . And we are very , very happy to inform that we are going to commission this particular Metro project. We are going to have that rail in our project in Indore, which we bid from the market in the month of September and October .

Regarding the small value or the bigger value , I will say the only thing tells that if it is a highly technical like signal and telecommunication , yes, the smaller values tenders are there. But higher value tenders are also there. For example , this one package of Chennai Metro , it is costing around 1,134 crores . Maldives project is 1, 500 plus crores, 1,546 odd crores. So , we have got the mix of all kinds of infrastructures , the smaller values , but at the same time bigger values also .

Sandeep: Sir, are we maintaining our gross margin , which if I remember correctly from the past Investors Meet, it was normally in the region of 5.5% to 6.5% . So, when we say that , you know, we are going in for a higher technical project , do the margins improve over there ? Or do we continue to make that 5.5%, 6% or 7% ?

Rajesh Prasad: See, you will have to understand that we have got various models , and the models are like the

projects which have been assigned on the nomination basis . The project s which have been the SPV projects , which we are executing , are almost a t the completion stage. Then we are executing the project from the market , and also the dividends from the SP Vs and the interest rate which we get from the banks for our deposit .

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So, if you wanted to know , if you want to know about the margins , see, the margin has been around 5.6% to 5.8 % something like that, and in time to come , in time to come , we will be focusing more on the margin part . But yes, there is an element of risk involved in this for the project which we are getting from the b id. For that, we are allocating the risk factor , risk factor for the project for which we are bidding.

I will set one example . See, we are bi dding in the projects , and there are some price variation clauses available, whether it is the EPC based or the DOP based , and sometimes the escalation is not as per the price variation which we normally get from the contract . So, we allocate a risk depending upon the kind of tenders and the contracts provisions are there. So, we are taking care of this . It is a kind of risk which we ar

e addressing.

What I wanted to tell you is that in time to come , there could be a time when the margins will go down. But I can assure you thi s much , that in time to come , in the longer version, the margin is going to up, going to be up, because we are in the market. We are taking excellence for increasing the margin.

See, we have decided that we are going to have the Procurement Cell so that we will be supplying the material. We are going to have the Engineering Design Cell. We are augmenting the existing design cell. The idea behind this is that we will do some kind of value engineering for the project .

So, we are working in the right direction. Normally, every private infrastructure company and legal company do these kind of practices. And we are equally concerned for this .

Sandeep: The next part of my question , sir, relates to one company , this joint venture company t here, which is Krishnapatnam Railway Company . I think , we are having a constant problem with them even in Q3 for details have, you know, mentioned some they have given notes to say that we are not getting funds from them , and in the last Invest or M eet also , Mr. Gaur had informed us that some progress is being made , and they are continuing to pay very small amounts . So, can you update us , sir, on any further improvement with th eir performance or , you know, the ir commitment to our company ?

Rajesh Prasad: So, let me first explain about this company . This is a project , this was a project sanctioned by Ministry of Railway through P PP model , and the first phase commissioned in 200 8-09, and the final commi ssioning took place in year 2019 . And the annual share is 49.76% . 82% of the equity are held by the Central Government, State Government and PSUs. And the companies, t heir financials are also audited by CA G. We have executed projects worth around Rs. 2,400 crores, and we have received 1,600 crores plus, and this is a kind of a trade receivable. This is number one.

Number two, the reasons behind this trade receivable is that there are two source of earning. One is called the terminal cost. The other is called the freight apportionment and for a siding. So, the Ministry of Railway agreed from 2017 rather than from the date of commissioning. So, this has led to all kinds of problems , and arbitration is going on. The next hearing , most probably maybe

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the final rounds of he aring will take place in last week of February . And we are very hopeful that we are on very strong footing . And you can also appreciate that if anything , any, out of any commercial agreement , if it is to be paid , it has to be paid from the operational date , the commencement COD, not from any dat e after that . So, this is number one .

Number two, now, if you see the performance of this particular company , this has shown phenomenal progress in terms of the loading , in terms of the apportion earning. For FY '20-'21, the loading increased. FY '21-'22, the loading was 11.53 million tons with respect to FY '20 -'21 of 8.61 million tons. And the apportion earning also increased from 183 crores to 231 crores. This was the comparison of FY '20 -'21 and FY '2 1-'22.

Now if you see the first nine months ' performance , the traffic has gone by 80%. Apportion earning has gone up by 97% with respect to the previous financial year first nine months' performance. We have commi ssioned two crossing stations , Brahmanapalli and Velikallu . This will again further increase efficiency . And I am 100% sure that , in time to come , the company will improve its further its performance of the loading and transportation. Whatever dues which are pending from the Ministry of Railways, this will be decided after the Arbitration Tribunal gives the judgment, which is at the final stage. And we are very hopeful that in time to come, we will get that

Sandeep: One more perspective, you know, it's either a suggestion or a question, sir, is that we now have almost, we do have eight such SPVs and joint venture companies, and each of those companies have now gone into giving revenues, generating profits. As a shareholder or as an investor in the company, can we hope to have some sort of a consolidation or a listing of any of these companies or a consolidation of these companies as one for RVNL and to create more value for the shareholders?

A. K. Choudhary: See, I am A.K. Choudhary, Principal Advisor, Financier speaking. The nature of these SPVs, they are temporary. Their life is 30 years. It has a concession Period of total 30 years. After that, the company will be taken over by the Ministry of Railways. So, no long-term plan can be done for consolidation and all. After 30 years, they will merge with Indian Railways. The other new one, they are project specific. Up to the project life, they are there. After that, again, these companies will be dismantled and all. So, no point, certainly there is no point in consolidating or listing these companies, because these companies are not permanent in nature, they are the SPVs.

Moderator: Thank you. The next question is from the line of Devang Shah from Asit C Mehta Investment. Please go ahead.

Devang Shah: Sir, I have one question. Where we have seen in the budget, the government has given us such kind of, you know, CAPEX program to boost the overall infrastructure, and the allocation has been given in general of 10 lakh crore of CAPEX, and particularly in a railway front, 2.43 lakh crore. Rail Vikas Nigam Limited
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crore, and many other infrastructure, Gati Shakti projects and many are there. They have shortlisted.

So, as far as your future order outlook is concerned, because, you know, you have guided very well that you are going to have a strong order book, then only you can achieve your target. So, you have to have a strong order book. So, by considering this fact, as far as overall infrastructure development, how you are going to capture this particular thing? And how it will be beneficiary to company as far as order inflow is concerned as far as participation and what you are thinking? What's your plan, sir?

Rajesh Prasad: So, you were right, that yes, the Ministry of Railways and the Government of India have got huge plan for the CAPEX and the creation of infrastructures, all kinds of infrastructures, not limited to only railway infrastructures. And you are also right that the CAPEX this time is 2.4 lakh crores in comparison to 1.37 lakhs crores of the budget estimate of FY '22-'23, which got in half to 1.59 lakhs crores of the revised estimate. And the total CAPEX has increased from 7.4 lakh crores to 10 lakh crores.

See, the Ministry of Railways has got huge plan for the capacity building, the Unigauge, the 100% railway electrification, transportation of 3,000 tons by 2030, then Safety Kavach, station development, connecting non-connected areas. So, yes, it is there, and RVNL has got a proven track record.

See, this infrastructures, especially the railway infrastructures are complicated and complex. And it is not something like that you have got the money and then you go to the market and you just implement this infrastructure project. It requires a lot of technical decisions, technical coordination, interfacing, and everything is very complicated and complex. And at the same time, RVNL has got a proven track record.

Why I am saying all this, that at the end of the day, it will be RVNL which will be playing a significant role in all those. And in FY '22-'23, if you also see that we have commissioned around 810 kilometers during FY '22-'23, and it is around 30% of the entire commissioning by Indian Railways including RVNL. So, I don't know how it will

It come to us, but certainly, it is one of the area where we will be focusing. And we are very keen to enter into all these kinds of infrastructure projects.

So, we are not only concentrating only this 2.4 lakhs crores of the chunk. We are concentrating on the entire 10 lakh crores, whether it is in the Metro segment, whether it is in the other segments, road segment. So, we have identified that well, we should focus. And certainly, we have got expertise in the railway infrastructure structure. So, we will concentrate on the railway infrastructure sector.

The Metro segment is again very good. We have got plenty of experience. This year, in this financial year we have commissioned two Metro corridor sections in Calcutta, and Indore Metro. Rail Vikas Nigam Limited
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has taken out very well. Chennai Metro, yes, we have got the LOA. We have already started setting up the custom yard and the agency.

So, everything is in line . Everything is in line . And we are 100 % sure that in time to come , we are going to have a lot of railway infrastructures getting implemented by RVNL, and also the other sectors like the road sectors , the Metro sectors , even the high-speed corridors . So, we are also concentrating on that , and we will see how we will get that.

Devang Shah: So, you mean to say, sir, that order inflow, that is going to be definitely on a positive side going forward by looking at this development , right ? And you are going to be in a tendering process .

So, it will not be restricted to only railway . You will also participate in other tenders and try to get the orders from these development , right ?

Rajesh Prasad: Actually, we have been getting that . We have been getting that . We have bid Metro corridors for Chennai. For Surat Metro , we are executing one depot . We are executing systems . We are executing tracks . So, we are entering into all kinds of segments . So, see, earlier we were having only one option depending upon the Ministry of Railways . Now we have got the wider options available.

Devang Shah: One more question regard to your Q3 earnings, we are seeing that there is a decline in our share of profit from the JVs . So, any particular , on a sequential basis I am talking about . So, any particular reason for that ?

Rajesh Prasad: No, no, you have seen the wrong figures . I will cite the example, that up to Q3, we had an earning of 141 crore with respect to the 88 crores of FY '21 -'22. Am I correct?

Devang Shah: Yes, you are correct on that front. I am just saying Q -o-Q basis. You are right on your calculation that I have seen , but on a quarter -or-quarter basis, if you see last quarter , it was 78 somewhere odd crores, and this quarter you have realized somewhere close to 43 crores. That is the only thing.

Rajesh Prasad: See, it's the statistics how do you see it, we see it in a cumulative basis in the financial year. And the seasonal flow and the traffic pattern also changes depending upon the, see, one of the traffic is the coal import. Imported coal transportation . So, that depends upon the kind of demand and supply , and the government 's requirement of the places . So, it keeps on changing, but we monitor up to the month, up to the quarter , and up to the quarter , there is an increase. Maybe in the same quarter if you compare , it may be flat or maybe slightly less. But if you see the overall performance in FY '22 -'23 with respect to FY '21 -'22, there is a sharp increase.

Devang Shah: And last question . Sir, as far as the next financial '23-'24 is concerned, sir, you are going to maintain the same revenue guidance that has been so far we are seeing ?

Rajesh Prasad: See, these MoU targets, like the 20,000 crores of top line, this is fixed by the Department of Public Enterprises , Ministry of Railways , and Government of India , and depend

upon the so

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many factors . So, the way we have been working , we want to see that there is a growth , and there will be a growth in the top line , and we are focusing more on the bottom line . And maybe in '23-'24, we will have the bottom line maybe more than 1, 200 crores maybe 1,250 crores or 1,300 crores. And from the investors ' perspective, this is more important to have the better bottom line .

Moderator: Thank you. The next question is from the line of Harsha from Elara Capital. Please go ahead .

Harsha: Just one clarification . You mentioned that receivables were 1,600 crores from the Krishnapatnam JV. So, can you just provide what is the interest --

Rajesh Prasad: I said the total project cost was around 2, 400 crores, out of which we have received already 1,600 crores . Remaining 800 crores, 800 odd crores are trade receivable. This is what I had said, and there is an arbitration going on . It is almost at the last stage of finalization . So, we hope that we will be able to get these through arbitration . And the demand and the issues are very simple. If you wish, I can explain this to you again, that there are two issues: terminal cost and the freight apportionment for the siding.

Harsha: That I understood. So, in that 800 crores trade receivables, is there any interest component on that or it's purely trade receivables?

A K Choudhary : We have got the interest separate. Interest is based on separately, not as trade receivables.

Harsha: And what would that amount be? Interest?

A K Choudhary : Roughly around 450 crores. No, sorry, 530 crores.

Harsha: 530 crores. Next question would be, so, recently, we saw an unfortunate event in Joshimath. So, is there any, because of that event , have you seen any impact on the Char Dham project that the MoR is going to be sanctioned or they were planning to build?

Rajesh Prasad: No, Char Dham, we are not aware. We are not aware. See, we were given the assignment of doing the survey and the feasibility reports , and we have already submitted that . We are executing Karnaprayag to Rishikesh . And the moment the project is sanctioned, the Ministry of Railways will take a call that how they want to get it executed .

Harsha: So, there is no, and also last question . So, you said around 80 % of the current order book is nomination based. So, by when will that order book be out of their books , like by FY ' 25-'26?

Rajesh Prasad: Normally a typical railway project takes around 5 years' time for completion and commencement. So, if the project has started around two years back, it may take another two years. If it had started around 3.5 years back, it would take 1.5 years back. So, what I can say is that in down the line maybe 3, 3.5 years, it should be completed, the works which have been given on nomination basis.
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Harsha: And last question . Also, you mentioned that you have bidden in projects worth 70,000 crores . So, can you just provide what is the international component of the same? I mean , are we looking for any --

Rajesh Prasad: I don't have the figures right now available , but I can tell you that we have started executing overseas . The first overseas contract was around 1, 546 crores in Maldives, and that project has already commenced over there.

Moderator: Thank you. The next question is from the line of Vishal Periwal . Please go ahead .

Vishal Periwal: Sir, you have mentioned like , you know, the profit from associate has been pretty good this year , 141 odd crore. Will you have the breakup of this in subsidiary wise, if available, sir? So, I think, you mentioned that profit from associate year till date is around 141 odd crore. So, do you have a number available how exactly th is stack up subsidiary wise?

A K Choudhary : Yes, we have got t

he numbers . But Yes, see, the highest contributor is Kutch Railway , which has a PAT of 237.42 crore , and we have 50 % share. So, our PAT share comes to 118.71 crores. Out of 141 crores, this is the single largest chunk. Then Bharuch Dahej are having a PAT of 40.6 crore . Our share has been 35.46 % . Share in PAT is 14.4 crore . Krishnapatnam has a PAT of 11.42 crore , and our share stands at 5.68 crore. Haridaspur Paradip has a PAT of 7.56 crore , and our share is 2.27 crore . And lastly, notional PAT of Angul Sukinda , our share is 12 lakh. So, it adds up to 141 crore roughly.

Vishal Periwal: And in terms of new subsidi aries, any other , sorry , any other JV s that will be commissioning in this year or maybe like FY ' 24, do you foresee, sir?

Rajesh Prasad: See, the earlier SPV s, which was built for the railway infrastructure like Kutch Railway Company , Bharuch Dahej, Krishnapatnam , Haridaspur, they were commissioned earlier. Angul Sukinda is getting commissioned this month. So, it is going to change the dynamics of the transportation , and these were the typical railway architecture SPVs. And the new SPVs , which are being formed to business development will take some time to get basically completed and commissioned.

Vishal Periwal: And I think , since we are moving into more of a comp etitive bidding , I think we are setting up allied infra. So, can you give some breakup or maybe some guidance on like what has been the CAPEX this year ? What are we doing from next year ?

Rajesh Prasad: So, basically , top line you are asking .

Vishal Periwal: Yes.

Rajesh Prasad: So, the top line I said this FY '22-'23, we have been given a target of 20 ,000 crores, which we are going to achieve maybe 20 ,500 plus . And next financial year --

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Management: New JV's.

Vishal Periwal: CAPEX .

Rajesh Prasad: New JV's CAPEX . Yes, it is initial sta ge, we may not be able to predict now .

Moderator: Thank you. The next question is from the line of Deep Mehta from Bank of India Mutual Fund. Please go ahead.

Deep Mehta: I just need some clarification regarding your guidance of 1, 200 of PAT in FY ' 23. Sir, for nine months, we have done around 1,060 crores of PAT. And if I have to do some calculation, then you are saying that in Q4, you will do around 140 crore, 150 crore of PAT. And that will be 50% degrowth compared to last year same quarter , and also margins will be very lower . So, can you give some clarification on this ?

Sir, you have done around 1, 060 crores of PAT in this nine months , and you are guiding that we will do 1 ,200 crore in this full year. So, does this mean that you will do only 150 crores, 140 crores of PAT in Q4 , and that will signify a very lower margin for Q4 ?

Rajesh Prasad: You are not t elling correctly . See, the PAT after th e Q3 was 923 crores, which was around 30 % higher than with respect to 715 crore s of FY'21-'22. And see, t hese are the figures of the first three quarters. So, next three quarters, if you take even the average, it will become 1,200 crores.

Deep Mehta: So, you are taking standalone profitability for your guidance?

A K Choudhary : Yes.

Deep Mehta: Adding the JV profit.

A K Choudhary : No, no, we are not taking the JV profit for this.

Deep Mehta: That is very helpful. And can you give some color on what is the growth we are looking for next financial year, that is FY '24?

Rajesh Prasad: So, the growth part, I said, somebody had asked this question. And then I said that the top line is basically decided by the Department of Public Enterprises, Ministry of Railways, Government of India. This year it was 20,000 crores, which we are going to achieve around 20,500 crores. This depends upon so many other factors. So, this year FY'23-'24, we may target around 21,000 crores plus, and the bottom line we would like to have again

in more than 1,200 crores.

But I will tell you one thing. You see, all the investors are there in line only. So, I will tell one thing, that only 16, 17 months back, we decided to bid in the market. And we not only survived, we have performed exceedingly well, and our numbers speak very highly about us. And as I said in the beginning, that if you compare even the market appreciation, the share price appreciated
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by more than 128% in first 10 months, whereas the BSE 500, it is stagnant. BSE Infra index, it is stagnant. What else you expect from us?

It is after all a government company where the Government of India is having a share of 78.2%. So, that is why I keep on quoting that it is a very, very flexible company where we have got this flexibility of the efficiency of the private organizations, private companies, and the authority and trustworthiness of the government companies.

Deep Mehta: I completely agree. In fact, for the last five years, our growth will be highest among all both private as well as public companies. So, this year, your growth has been quite exemplary in the past.

Moderator: Thank you. The next question is from the line of Devang Shah from Asit C Mehta Investment. Please go ahead.

Devang Shah: Sir, as you are now participating in a tendering process, so do you have a cost escalation clause also in a tender? Because on a nomination basis, we understood that you are getting certain fees from the Ministry of Railways, but in a different model, how it works as far as cost escalation is concerned?

Rajesh Prasad: See, it depends upon the plan, the provisions made in the tender document. Each and every tender is different. Each and every tender is having different kinds of provisions. Each and every tender, it could be an EPC. It could be a BOQ based. And sometimes it is a mix of that. And the price variation clauses also vary. Sometimes even the price variation is not available. So, what we do is while bidding, we have got a complete business development cell. We allocate a risk depending upon the kind of provisions made in that particular typical tender. And we allocate that risk so that the risk factor, the risk is slightly mitigated.

So, yes, you are right. This is slight, it is not very clear at the time of bidding, but yes, we are allocating risk, and we have developed enough skills on this particular aspect. And the price variation sometimes may get some extra benefits; sometimes may not. Escalation may not be as per the market, the perception market variation, but yes, we are allocating a risk factor for that.

Moderator: Thank you. The next question is from the line of Sandeep from Shivam Dealmark Private Limited. Please go ahead.

Sandeep: Sir, but what kind of a financial location can we expect, what dividend from the current year's profits?

Rajesh Prasad: You are asking about the dividends?

Sandeep: Yes, sir. The dividend guidelines for the current financial year.

Rajesh Prasad: The guidelines are available as per the Ministry of Finance directive, and we will abide by that.
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Sandeep: And what is that, sir?

Rajesh Prasad: Last year, it was 35%. They haven't issued for this year.

Moderator: Thank you. The next question is from the line of Rajesh from Moneyore. Please go ahead.

Rajesh: Sir, are the margins more in the bidding order?

Rajesh Prasad: See, in long term, in longer term, I can tell you the margins will go out, but in the initial stage, there could be a dip. I can tell you about Indore Metro, the first two packages. There the margins are quite good, and maybe it's slightly better than the margins which we used to get from the Ministry of Railways.

Rajesh: And sir, this order book, that Kyrgyzstan order is included in this

52,000 crore order book?

Rajesh Prasad: It is not included. It is not included.

Rajesh: So, when we are supposed to get that order and included?

Rajesh Prasad: This will be notified in the public domain.

Rajesh: And sir, how will the PAT grow from next two, three years if we are not growing the top line ? If the top line will not grow , it will grow for 5 % or 10%. How the PAT will grow by 20 % next two, three years ?

Rajesh Prasad: Because we are in the market . We are in the market . When we are in the market , then we have got flexibility . Probably you had not heard, what I was mentioning is that we are opening up basically design cell , extending the design cell for the value engineering . We are in the process of making a procurement cell where the material supply e tc., will be done by us . What these things will help us in that there will be a cost reduction in the execution of the project , and then we can increase the margin . This is what the major mega infrastructure companies have been doing .

Rajesh: How much time it will take , sir? In one or two years? How much time it will take to increase the margin?

Rajesh Prasad: See, this is something which cannot be predicted. But yes, we are thoroughly professional , and we allocate all kinds of risk, and we are aware about the margin requirement . And see, this is a government company . Just now I was mentioning that only 16, 17 months back , we started bidding in the market . Because we became zero that the nomination became zero. And you can see that we have participated in bids of around 70,000 crores plus.

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So, this is something unique for this particular company , and we are working for not only the bid parts , getting the work . We are also equally concerned in the implementation part . We are also concerned about the margin part.

Rajesh: So, the last question , how is the JV going to perform in the future going forward? All JVs?

Rajesh Prasad: Which JV you are asking about?

Rajesh: All JVs, especially Kutch Railway or all JVs?

Rajesh Prasad: I can tell you , I can tell you , these JVs, there will be a turnaround in the JVs, because a lot of developments have taken place. All the SPVs , the infrastructure SPVs have been commissioned , and the traffic has gone up . And with the internal resources in the Kutch Rail Company, they are undertaking the doubling the railway electricity . So, the cost of O&M will go down because the diesel traction will get changed to the electric traction . And then O&M cost will go down . So, there are so many things happening in these SPVs. And slowly the traffic has gone up like anything, as I said, in Krishnapatnam alone the traffic has gone up by 80%, and the apportionment earning has also increased accordingly , 97%.

Moderator: Thank you. Ladies and gentlemen, we will be taking the last question. That is from the line of Devang Shah from Asit C Mehta Investment. Please go ahead.

Devang Shah: Sir, I want to have one clarification , that you are saying that in the current order book , 80% of the order book is still on a nomination basis . So, you have changed your business model from nomination to tendering basis . So, now onwards , there will be no nomination contract , right ? It would be completely tendering basis only you are going to get a order through, right , sir, correctly if I am understood?

Rajesh Prasad: See, you were partially correct. See, the MoU, which we have signed with the Government of Kyrgyzstan , the projects are on the nomination basis kind of thing only. So, we don't know from where we will get the nomination work, but this may continue. We are not aware. And nor we have been informed, but there is a possibility that the nomination not from the Ministry of Railways , but somewhere else we can get . This is number one .

Number two, we have

started bidding only 16, 17 months back , and then we have already participated in bids worth more than 70, 000 crores. If you add the train sets , then it will become 1,25,000 crores. So, within a small span of around 17, 18 months, the company has changed the model. So, you will have to appreciate that we are ready to face the crisis and take the measure to mitigate those kind of prices . We have , in fact , converted the crisis into opportunities . Earlier our client was one that was the Ministry of Railways. Now today , we are having different clients . We have opened all kinds of segments , verticals . There is a diversification in the execution . So, things are happening in a positive direction for RVNL.

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Moderator: Thank you. As there are no further questions, we now conclude this call. On behalf of Rail Vikas Nigam Limited, that concludes this conference call . We thank you for joining us , and you may now disconnect your lines. Thank you.

Call: Jun 2023

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CIN: L74999DL2003GOI118633

RVNL /SECY /STEX /2023 02.06.2023

Sub: Transcript of Conference Call with Investors

Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir/ Madam,

This is in continuation to our letter of even no. dated 30.05.2023 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the company. Transcript of the said Concall is enclosed herewith. The same is also available on website as follows:

www.rvnl.org – Investor -Board Meetings, Board Committees & General Disclosure-General Disclosures

You are requested to take the same on your records.

Thanking you,

Yours faithfully,

For Rail Vikas Nigam Limited

(Kalpana Dubey)

Company Secretary & Compliance Officer BSE Limited

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Scrip Code : 542649 National Stock Exchange of India Ltd .

Exchange Plaza, C -1, Block G,

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Mumbai – 400051

Scrip Code : RVNL

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"Rail Vikas Nigam Limited

Q4 FY '23 Earnings Conference Call"

May 30, 2023

MANAGEMENT : MR. PRADEEP GAUR – CHAIRMAN AND MANAGING
DIRECTOR – RAIL VIKAS NIGAM LIMITED
MR. RAJESH PRASAD – DIRECTOR , OPERATIONS –
RAIL VIKAS NIGAM LIMITED
MR. SANJEEB KUMAR – DIRECTOR OF FINANCE – RAIL
VIKAS NIGAM LIMITED

MODERATOR : MR. VISHAL PERIWAL – IDBI CAPITAL

Rail Vikas Nigam Limited

May 30, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Rail Vikas Nigam Limited Earnings Conference Call for Q4 FY '23. This call may contain forward -looking statement about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. The statements are not the guar antees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to you, Mr. Periwal.

Vishal Periwal: Yes, thanks Seema. Good afternoon everyone. I welcome you all for the post result interaction with the management of Rail Vikas Nigam Limited. From the management side, we have with us today Mr. Pradeep Gaur ji, CMD, RVNL; Mr. Rajesh Prasad ji, Director, Operations, RVNL;

Mr. Sanjeeb Kumar ji, Director of Finance, Rail Vikas Nigam Limited.

Now, as usual, we'll have a brief overview from the management on the business and then we'll open the line for Q&A. Yes, sir, over to you.

Rajesh Prasad: Okay. So, very good evening. See, this Rail Vikas Nigam Limited was basically the vision of the then Honorable Prime Minister Bharat Ratna Shri. Atal Bihari Vajpayee and this particular company was incorporated on 24th January 2003, meaning thereby we have spent around 20 years plus. We started operations in 2005. We got Mini -Ratna in 2013 and we have now graduated to Navratna on 1st May, 2023.

We have commissioned more than 15,500 route kilometers of railway in infrastructures. We contribute more than 30% of the total Indian railway infrastructures. The MOU rating for the last 12 years has been excellent by Department of Public Enterprises. In the financial year 2022 - 2023, we had got our CARE Rating done, which was AAA with Outlook Stable.

We have got Pan -India presence. We have started executing overseas projects. So we have become from local rail infra to global all -infra and we have had more than INR1 trillion of project expenditure and the revenue from operations, the turnover in FY '22 -'23 was INR20,282 crores, standalone I am talking about the top line. The bottom line was INR1267.97 crores and the gross margin upon turnover of 5.77% and these are the financial numbers.

Now if you see the physical numbers, we had commissioned 1,044 kilometers. So in FY '22 -'23, the top line of INR20,282 crores, bottom line of INR1,268 crores, physical commissioning INR1,044 crores, all these three parameters are all time high for RVNL. So the revenue, the turnover growth was 4.65%, whereas, the profit after tax had a growth of 16.61% and for the last two consecutive years, we crossed the commissioning mark of 1,000 kilometers.

So if you see the year -on-year basis performance, there is a growth but with respect to the Q4 of the previous financial year that is FY '22, it is less but in terms of the -- with respect to the Rail Vikas Nigam Limited

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performance of Q3 of FY '23, it is again high. So what I wanted to convey is that the performance in FY '22 -'23 was all time high as far as the top line was concerned, as far as bottom line was concerned, as far as the physical delivery was concerned.

The highlights of the FY '22 -'23 was as I said, the Care Rating of AAA, then graduation to Navratna status, then local rail infrastructure to global all -infra that we started executing overseas projects other than railways. For the last 12 years, we have been rated excellent, 10 times out of the last 12 years, number

number one under Ministry of Railways. Then the various magazines, like, Fortune 500, ET Top 500, all rated us less than 100.

We completed and commissioned more than 140 projects out of 182 projects assigned by Ministry of Railways, and if you see the performance with respect to SENSEX, BSE 500, BSE Infra, NIFTY, all went down in FY '22 -'23, whereas, RVNL's growth was more than 105%, and in fact it was Top 10 stocks of the country, and for the first time the market capitalization was more than INR25,000 crores and the market has also appreciated.

We have got a CAGR of around more than 20%, 25% whereas the appreciation, market appreciation is more than 50% if you see the cumulative part, and if you see the last one year, it is more than 100%, and the SPV, the Special Purpose Vehicle, Angul -Sukinda rail line, we have got it commissioned and there is a turnaround in the performance of the Special Purpose Vehicle, and what I want to tell you is that in Kutch Rail Company, the loading, the traffic went up by 27%, in Krishnapatnam it was around 79%, BDRCL it was 140%; and in terms of rates also it has gone up and the fact from the Kutch Rail, KRCL, BDRCL, and even HPRCL, they have shown growth varying from 22% to 124%.

So what I wanted to tell you is that there is a turnaround in the existing SPVs, we have started getting earnings and with the internal resources, the Kutch Rail Company Limited could commission the entire doubling and the electrification, and for the first time in the Indian Railway System, in that particular SPV line, the double container movement had started and as I said, Angul -Sukinda, we have commissioned and the project was dedicated to the nation by Honorable Prime Minister on 18th of May, the operation started in the month of March, and it will be the game changer for the transportation of the basically various kinds of traffic like iron ore, coal, steel in that particular region connecting from Banspani to Meramandali or Talcher - Haldia to Dhamra port, to Jajpur area, Kalinga Nagar to various destinations.

So this is going to be a game changer. In 2020, we had commissioned HPRCL, so these two SPVs will completely change the dynamics of the transportation system in that particular region. So with this I will just close the opening remarks and now we are ready for the question -and-answer.

Moderator: Thank you very much sir. We take the first question from the line of Mr. Dixit Doshi from Whitestone Financial Advisors. Please go ahead sir.

Dixit Doshi: Yes, thanks for the opportunity. Sir, my first question is regarding the order book. So what is

our current outstanding order book and how much order we received during the current financial year?

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Rajesh Prasad: Okay, give me one minute. So regarding the order book, yes, presently we have got an order book of INR56,000 crores plus, out of which railway share is INR36,977 crores, which includes the double line of INR6,400 crores, new line of INR18,000 crores, metro and others it is around INR11,000 crores and from bidding we have got the order of INR20,000 crores. So out of INR56,000 crores, we have got order of INR20,000 crores through the bidding and around INR36,900 crores from the Ministry of Railways, which were given on the nomination basis earlier.

Dixit Doshi: Okay. And how much was the order win for the current financial year?

Rajesh Prasad: I don't have the break up right now, but I will just come back to you.

Dixit Doshi: And this INR20,000 crores when you mentioned, we won through the bid, I assume that this is only our share, because many of the projects we have bid in SPVs or a joint venture with some other partners?

Rajesh Prasad: Yes.

Dixit Doshi: So this is our share of order?

Rajesh Prasad: Yes.

Dixit Doshi: Okay. Now my second question is regarding the execution. So historically our execution has been

very good and now we have order book of INR56,000 crores and many of these orders are actually received recently in last one year. So how do you see execution over next couple of years and particularly in FY '24 given many of these contracts must be having a long cycle also.

So this INR20,000 crores revenue this year, where do you see it next year?

Rajesh Prasad: See, you will have to appreciate one thing that we started bidding in the market only one year and nine months back, and the first project, which we got through the bidding is Indore Metro where we got the two packages through the bidding, approximately INR1,500 crores and that project turnover in the last financial year was around INR500 crores, slightly less than INR500 crores, and this year we are planning to have more than INR600 crores.

So what I wanted to tell you is that the focus of the company is not only to get the project from the market, but also to execute timely with best quality possible following the highest safety standard.

So and every project has different kind of challenges. They are having the different requirements. They have got the different kinds of the basically period of completion, time of completion, and normally on an average I can tell you that the project completion time varies from 2.5 years, two years to around 3.5 years, and we expect that the order book, which we are having and the kind of turnover, which we are having, we are going to have more and more orders from the market in time to come, and we would like to maintain the same kind of turnover in coming years.

Dixit Doshi: Okay. Yes, so I completely agree that we have started the bidding just one year back and actually we have done exceedingly well.

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Rajesh Prasad: One year and nine months, I said one year and nine months.

Dixit Doshi: Yes, and we have actually done exceedingly well in grabbing the orders. So as you mentioned that it's 2.5 to 3.5 years, so maybe FY '24 would be a consolidation year where revenue may not grow significantly but as more orders built up one can expect a good growth from FY '25 onwards?

Rajesh Prasad: See, what I said in the opening remarks is that we had achieved the top line, we have achieved the bottom line, the growth of the top line was around 5%, but at the same time the bottom line growth was more than 16%. So the bottom line is more important from the investor point of view, from the public point of view, and we are also concerned that our profits should remain intact, and we should be able to give good return to the investors.

So what we see is that the bottom line will grow with the same kind of growth and in time to come, you can see that once we get more and more orders, we will concentrate on the margins. We have already started working on increasing the margin. I will cite a few examples that we have opened the procurement cell, we are working for a legal cell, then we have already extended our design cell. So we are working in that particular direction and the idea behind this is that the bottom line should remain intact with the same kind of growth, and yes there will be some kind of consolidation in FY '24.

Dixit Doshi: Okay. So my next question was relating to the margin only. So what we heard from the many of the competitors and the private players that the intensity in the bidding, competitive intensity is

quite high. So we have been doing 5.786% margin. So do you see any pressure on this margin going forward once the execution from the bided projects?

Rajesh Prasad: We have got few models. One model is the project, which we have been assigned so that margin will remain the same. The second model is that whatever money we have got, we put in the bank and we get the interest that is also more or less fixed. Then we execute some of the SPV projects, which are more or less over. Some leftover item

s are there, so that has also got a similar kind of model, which Ministry of Railways assigned. And the fourth model is the business development model or through, which we get from the bidding.

So what I want to tell you is that we are working and see whenever we are participating in a bid, we are doing a lot of value engineering at this stage of even the tendering. We work out and say see it has got some kind of risk and we allocate some of the risk factor also. So all together we can see that since we are in the market, the margins are likely to improve upon by doing the value engineering and we are quite capable of doing that.

So we have got the complete team. We have been working on that and in time to come you can see the result that the margin is improving in the order, which we have faced from the market.

Dixit Doshi: Okay. One last question and then I join back in the queue. We were expecting some large order from Kyrgyzstan. Any update on that?

Rajesh Prasad: See we have signed MoU and we have already formed a joint stock committee, the DPR company, and we have already prepared the DPR, etc. So things are moving in the right

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direction. See in any project a lot of steps are involved in this like from the concept and then DPR, then signing of MoU, opening of a company, formation of an SPV. So it is on the right path and it is only a matter of time then we will get some good information about this company, and see we are governed by LODR. So whatever information's are there, we always disclose in the public domain. So you will also come to know through our website in time to come.

Dixit Doshi: Yes and what was the size of that order approx. ?

Rajesh Prasad: It was approximately INR18,000 crores.

Pradeep Gaur: It was INR18,000 crores. Basically what is happening is now the Government of Kyrgyzstan is tying up with a European fund company, which is also almost in the final stage. So I think we will get things moving on this sooner than later.

Dixit Doshi: Okay. Thank you. That's it from my side.

Moderator: Thank you sir. We take the next question from the line of Mr. Sandeep Satodia, Shivam Gilmark. Please go ahead sir.

Sandeep Satodia: Good evening to everyone here. First, sir, let me congratulate Mr. Pradeep Gaur on his extension, and we do hope sir that with your extension the company will continue on the same trajectory growth that we have seen in the last few years.

Pradeep Gaur: Thank you so much. Thank you so much for your kind wishes. Thank you.

Sandeep Satodia: It came as a big relief sir as an investor to know that you are going to be there for another two years and take the company possibly at much greater heights.

Now sir, for my first question in continuation to the previous one, sir the INR56,000 crores order book position as of now, how does this compare with the same period of last year?

Rajesh Prasad: See, if you see the turnover of the company, we had around INR20,282 crores. So last year was also it was approximately like this only INR55,000, INR54,000 crores. So you can imagine that the inflow and the outflow was equal. So and it is necessary that suppose we are doing a turnover of INR20,000 crores, ideally it should be three times, minimum three times.

So considering that now this chunk is coming from the market, we have been able to maintain the INR56,000 crores as on 31st March 2023. So it is a big achievement for the company that we have not only survived, we have done exceedingly well in doing the all-time high turnover and at the same time getting the orders from the market just to sustain the order book of the required value.

Sandeep Satodia: Sir, there has been multiple commentaries from the side of the company to say that the bottom line will be maintained and we have seen that the top line has gone through a bit of stress in Q4.

So do you see any

further stress in the coming quarters as far as the top line is concerned, or do you think the same growth momentum that we saw in 2022 -2023 will be maintained in 2023 - 2024?

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Rajesh Prasad: I can tell you one more thing that since we have become from local -to-global, we are eyeing for

so many infra projects, not limited to railways, in other overseas, in other countries. And whenever we get some orders, these will be intimated through the website, through the stock exchanges, and in time to come you can find many such orders.

We have already started executing the overseas project and regarding this financial year FY '22 - '23, see you said that the top line has growth, less growth. If you see the performance of SENSEX, it was 59,000, it went down by 0.5%, BSE 500, 24,000, it went down by 3.5%, BSE Infra, 288, it went down by 1.8%, NIFTY, 17,670, it went down by 1.8%, whereas, RVNL share went up from INR33.40 to INR68.40, and it has further grown to INR115 or INR120, it is moving in that particular range.

So what I wanted to tell you is that FY '22 - '23 was not that good from all perspective, but RVNL has performed exceedingly well and in time to come the top line growth of 4.64% is going to increase.

Pradeep Gaur: I'll just add to what Mr. Rajesh Prasad mentioned. Yes, it's a bit of a transition now, because this was an organization, which was completely doing the projects assigned by Ministry of Railways, and now we have expanded our footprint beyond railways. So I can share with you with some sort of conviction that the adaptability and the flexibility this organization has shown to transition to the new this, you can appreciate it from this thing that the non-railway orders also we have been able to get, and definitely there is a slight consolidation, but things will start moving upwards very, very soon because our focus is now on getting more and more orders competitively, and then this organization has got huge technical and managerial capability with that, we will be able to maintain even the bottom line.

So our focus is not only on bottom line, after all bottom line will come from the top line only.

So the focus is in both the directions, and I am very confident the kind of talent, the kind of -- what I should say, the versatility of this organization we'll be able to give you excellent results in time to come. Thank you.

Sandeep Satodia: That's reassuring sir. My second question is with respect to some recent news in the media regarding some sort of not really a dispute maybe, but a thing with your Russian counterpart regarding the Vande Bharat orders that you have secured from the government. I think there is some sort of a tussle as far as the holding is concerned, or the shareholding is concerned, and due to which that particular order has not been able to go forward. Can you update us sir on what is the present position and how likely is it for the matter to get sorted out?

Pradeep Gaur: Yes, yes. You have rightly mentioned that it came in newspaper. See, I'll tell you there is absolutely no problem on that. It is a question of confidence of everybody including ministry, because please don't quote me, because I'll be very frank here.

Sandeep Satodia: Yes sir.

Pradeep Gaur: Because I should be very frank with my investor. So basically because of some situation what is happening all around, I mean, many of the suppliers and because not everything can be manufactured by us, many of the suppliers and the bankers they were more confident to deal Rail Vikas Nigam Limited

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with this one, if RVNL is having slightly majority, I mean major share. If not majority share, a substantial share, because they felt if an Indian PSU is there, they'll be more confident because many of these companies, I mean they may be guided by some sanctions or this thing because

use

of the Ukrainian situation. So that was the issue.

So some sort of -- and I mean expectedly Russians were not very comfortable with this, but now there is a lot of intervention is there, and I am sure this matter will be get sorted out within a matter of two, three days. So and things will be back on, I mean, what I should say back on a fast forward movement.

So this I have explained to you in absolute frankness. Otherwise there is absolutely no problem.

There is no dispute or anything between Russians and us. This was only in the interest of a smoother movement, because of confidence of suppliers, because many of the suppliers are from European, Western European countries and even some parts may come from American firms.

So that was the only situation we were trying to figure out, so that once we get into this things move very smoothly. That is the whole thing and this is a very frank sharing of information with my investors.

Sandeep Satodia: Appreciate that sir. Once this is sorted out, do you have a timeline on when you would probably be able to rollout the first set of trains?

Pradeep Gaur: Yes, yes. The timeline is absolutely fixed. There will be no compromise on the timeline. The time given in the contract is two years from, say, today is around May '23. So it will be somewhere around May, June '25 when the first two prototype trains have to be ready for testing and then the trials will be there. Everything is as per the contract. Time is available and I can also share we are going to follow the ICF design. Of course, we will be doing lot of innovations. We'll make this touch and feel items. We'll be improving a lot that will have lot of passenger

comfort and all those things.

So that timeline will be absolutely followed and even see this is a minor issue and because the whole technology is available and Russians are also highly technically capable. So we respect that, and we have got excellent license with Russians.

So it was only a question of comfort this thing. So timeline will be met, and there is a timeline given each year starting with 12 trains, 18 trains, 25 trains and something 15 trains to match 120, and that we will stick to it including when there is a maintenance period of 35 years beyond. So there is absolutely no problem. It's a very long -term contract. This is a minor issue, which I expect to get solved within next two weeks.

Sandeep Satodia: Thank you sir. Sir, my next question is with respect to the Q4 top line. We have normally seen that the Q4 top line is always much higher than the previous three quarters. I think it's probably the last four years, four financial years that we have seen a drop in the Q4 top line for 2022 - 2023. Any specific reason over there sir, because normally a lot of government orders mature in Q4 and they reflect in the books. So can you just...?

Rajesh Prasad: Yes, I will explain it to you. There are two basically parameters, one is the physical and the other is the financial. So what you are talking about is the financial, but if you see the physical

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performance in the last quarter, the physical performance was much more with respect to the FY '22, Q4 and regarding this the financial, the top line you were mentioning about Q4, normally we compare on year -on-year basis and in the beginning I explained the various reasons, and I also said that Q4 of FY '23 was much better than Q3 of FY '23. Yes, it is less than Q4 of FY '22, but in totality if you see the performance year -on-year basis, the performance in FY '22 -'23 for the top line, bottom line and the physical commissioning, it is all time high for RVNL in this current financial year that is FY '22 -'23.

Sandeep Satodia: So, sir, in that case, in case the physical performance of Q4 is much better than the corresponding period of last year, can we hope to see an effect of that in the Q1 of

FY '23 -'24 where the physical achievement of ...

Rajesh Prasad: Yes, yes. It may get reflected in the financials, may be in Q1 of FY '23 -'24.

Sandeep Satodia: That is very reassuring sir. Sir, my last question is with respect to our SPVs, we've seen a continuously improved performance as per management commentary in most of the SPVs with new ones getting, going online, being commissioned but the profit share from the SPVs, if you actually see year -on-year is really not showing the same kind of growth that RVNL parent company is showing, or it is sort of stagnating with a 10% plus minus contribution to our profits to RVNL. And with more spread, with more emphasis on coal, iron ore, bulk commodities getting transported by rail, how come it's not reflecting in the contribution of our SPVs to our company?

Rajesh Prasad: Okay. So I will cite examples. Let us first take the example of BDRCL. Two years back, it was totally red. The company was in a stage to basically get closed also, getting declared as NPA. It started giving the profit in the previous financial year, and if you see the PAT of this particular company, it increased from INR29 crores to INR46.89 crores in FY '22 -'23. So the PAT has increased to 61% by 61.3%, and if you see the loan position, the debt part, the BDRCL is having a debt of only INR8.77 crores, and on it, on any day it can become debt free company.

So it is getting reflected. So the money which it used to earn, which was going to the bank, now it will come to the various shareholders and in this particular case, the shareholder, the shareholding of RVNL was 35.46%.

Now take the example of Kutch Rail Company. The PAT has increased from INR137 crores to INR232 crores. The increase is around 70% and with its internal resources and with a subsequent debt of around INR1,000 crores, the company could complete and commission the entire section of doubling and the railway electrification. So in time to come, we are going to have more and more traffic over here but if, since some assets have been created, some liabilities are there.

Now take the example of Krishnapatnam. In FY '21 -'22, the PAT was minus INR115 crores and this financial year, the PAT has gone up to INR28.5 crores. What I want to say is that this company is again showing a lot of profit, and the traffic has gone up in Krishnapatnam by almost 80%. In FY '21 -'22, it transported 3,093 rakes, whereas, in FY '22 -'23, it transported more than 5,400 rakes.

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So what I wanted to tell you is that the efficiency of the SPVs, the PAT of the SPVs, the output of the SPVs all are going up and in time to come and for the first time this BDRCL and HPRCL have paid dividends. So you will have to appreciate that there is a turnaround in all these SPVs

and we have already commissioned this ASRL. So they have already started moving traffic. In the month of March, it transported around 177 rakes, in the month of April 200 rakes. So in time to come these SPVs are going to play a major role, and I am very happy to inform that they have generated revenue. If you combine all these SPVs, they have crossed the mark of INR1 lakh crores.

So INR1 lakh crores of revenue without the investment of Ministry of Railways and we have been able to execute project worth INR11,800 crores with our equity infusion of INR1,144 crores. So these SPV models have been working well and in time to come you will see more and more, better and better results in terms of the PAT, in terms of the loading, in terms of the transportation of number of rakes. So it is only a matter of time and the trend will continue.

Sandeep Satodia: These are very encouraging figures, sir, and we do hope that they will contribute substantially to our company and us as shareholders. Sir, my last question is with respect to the non-core orders that we are taking in the infrastructure sector,

more like ports, canals, roads, what is the

expertise that the company has, or are we totally relying on our joint venture partners to deliver?

Rajesh Prasad: See, if you see the strength of this particular company, this has been only the project delivery, the focused approach and we have been able to deliver under the worst conditions in the past, and it is only because of the focused approach we have got the efficiency of a private sector, authority of public sector, and the technical issues, we solve it technically and this is the expertise of this particular company, we are very vibrant, young and we are aware about the project requirements, all projects are different, and we are involved in the complete project life cycle, starting from the concept, design, DPR, execution, then completion, the defect liability.

So what I wanted to tell you is that we have got the sufficient expertise, we have got the manpower who have got the exposure of execution of all kinds of projects under very adverse conditions and we would be able to deliver, see all the projects are very complicated and require different kind of approaches, and we have got the experience, we are having the exposure of execution of the project under different conditions, and we will be able to deliver whether it is an irrigation project, whether it is a metro project and today we are executing so many projects in different metro cities.

We are executing tunnel works, we have got tunnel works in three, four project sites and in Karnaprayag -Rishikesh, in the last one and a half years, we have executed 100 kilometers of tunneling, so -- and this irrigation project is also having a canal and four, five kilometers of tunnel. So these are simple with respect to the projects, which we have executed, or which we are executing.

Sandeep Satodia: So, sir, when you say this tunnel works and the canal works then I assume that the same would go for the various road projects also that the company has taken that you have managed to gain, or get sufficient expertise even for the road projects?

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Rajesh Prasad: Yes, yes, road project is simpler than the railway infrastructure projects. In fact, if you see the railway infrastructure, typical railway infrastructure, the day, the formation is over then the railway infrastructure, real railway infrastructure starts, wherein, the road sector immediately you just do the black topping and the road is open, whereas, the railways are much more complicated, and if you are able to commission more than 15,000 route kilometers of railway infrastructure, the road sector is very, very less challenging with respect to the railway infrastructure.

Sandeep Satodia: Thank you sir. That is all from my side.

Moderator: Thank you. We take the next question from the line of Ms. Smrita Mohta from Kredent InfoEdge.

Please go ahead ma'am. Ms. Smrita, your line is unmuted, please go ahead with your question.

Looks like the line for Ms. Smrita has got disconnected.

We take the next question from the line of Mr. Vishal Periwal from IDB I Capital. Please go ahead sir.

Vishal Periwal: Yes sir, thanks a lot for the opportunity. Sir, can you guide us how -- I think we are doing, I mean like as we are trying to become a full-fledged company and going for bidding and then having a procurement, legal tender, other cells are also there. So what exactly are we planning to do at capex for FY '24, if you can just give some guidance?

Rajesh Prasad: So your question is that what is going to be the capex in time to come. You are talking about the turnover, the future turnover of FY '23 -'24?

Vishal Periwal: No sir, I think any equipment that we plan to procure.

Rajesh Prasad: Yes, we are also working in that particular direction. I will cite one example, we have been declared lowest bidder for three underground packages of Chennai Metro,

and there we are going

to procure the equipment, the special kind of equipment, for example, trench cutters. We would

be purchasing those machines, we will be operating it and we want to maximize the margin. The idea behind of this is that we want to diversify ourselves, we want to test ourselves and since this particular company is very vibrant, young and we have got the expertise, we want to utilize this in this particular field and the idea behind this is also to increase the margin from these projects, these kind of projects.

Vishal Periwal: Okay sir. And sir, there is, I mean, the cash in the books, that is own cash excluding the advances, will it be handy with you right now, if you can provide?

Sanjeeb Kumar : We have our own cash as well as most of these tenders, the contracts we get have a provision for mobilization advances also, but we bid on our own credentials and we have bank guarantees fully backed up through fixed deposits and our own credentials.

Vishal Periwal: Okay sir. Sir, next and maybe last thing from my side, and then I'll come in the question queue.

I think you mentioned order book of around INR56,000 -odd crores, railway is INR36,700 crores something you mentioned, remaining is what sir sector -wise?

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Rajesh Prasad: I said INR36,977 crores. Now if you want to have the breakup of this INR36,977 crores, this is as on 31st March 2023, the double line is around INR6,358 crores, new line is INR18,826 crores, the metro and other is INR11,285 crores, and maybe a very small amount of GC. So we have got the complete basket of INR36,900 crores around INR20,000 crores.

Vishal Periwal: Sorry sir, I think I just missed on the last line, railway is INR36,900 crores, remaining is, which sector sir?

Rajesh Prasad: I said bidding, bidding means business development.

Vishal Periwal: Sure sir. And then will that sector be handy with you in terms of which sector they are in the bidding pie that you think sir?

Rajesh Prasad: See we have identified the sectors where we should participate in the bids and the metro segment is one, the road segment is another. We are also thinking to participate in all kinds of infrastructures like the municipality and the irrigation, but the requirement is that the volume and the size of the project should be big. It should have some kind of technical challenges and where we can really contribute for this Atmanirbhar Bharat, and execution of the projects, which is timely following quality and the safety norms.

Vishal Periwal: Sure sir, got it sir. Thank you very much sir, I'll come back in the queue. Thank you.

Moderator: Thank you. We take the next question from the line of Ms. Ankita Shah from Elara Capital, please go ahead.

Ankita Shah: Yes, thank you for the opportunity and congratulations sir on very good performance in FY '22.

Sir, wanted to understand the margin a little better. So you mentioned that we are doing a lot of value-added activities, which is leading to better margins. So we already know that for the nominated projects from railways, we have 8.5% gross margins. So for the bided projects what would be the average margins blended for those kind of projects, or do we have break up within segments, which kind...

Rajesh Prasad: Ankita ji, it's a very nice question, but I'll tell you one thing that the first we are very new in this particular bidding process, and we started bidding only around one year and nine months back, and the first two projects were from Indore Metro and they have started fetching the basically results, and I can tell you that the margins, which we are getting from the Indore Metro, the first two projects, which we got from the bidding is more than the projects, which we got on nomination basis from Ministry of Railways.

So things will differ, there will be a project where the margins will be less, but we want to optimize,

we want to make sure that there is a value addition and we want to make sure that the gross margin upon turnover remains in that particular range, which we have been achieving in the past.

Ankita Shah: Got it. Also sir any range in terms of margin, how well -- see, currently we are at around 6%, 6.2% for the full year?

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Rajesh Prasad: It is not that simple calculation, see no two projects are identical, the projects have got a full life cycle and it passes through the different kind of challenges, and some of the challenges we also do not anticipate and we do not understand in the beginning. So it will depend once the project is over, completed, commissioned, then only we can work out.

So in the beginning we are not in a position to say that what exactly will be the margin, but we will be doing a lot of value addition. We are trying to procure the machineries, the construction material and in time to come you can see so many changes in our company's execution plan. We have already started bidding in the market for the last one year and nine months. We have already

become from local rail infra to global all -infra. We are executing all kinds of projects.

So the diversification is one of the strengths of this particular company. We were having the focused approach, we were basically very much flexible, and now we are diversifying. So these are the strengths of the company and in time to come, you will see these things affecting the project delivery and also the margins in time to come.

Pradeep Gaur : Just I'll add to what is mentioned. See basically we are going in a two pronged approach. The first one we have to be competitive to get the work, and second in order to have the good margins, we have to be innovative. So it's a double pronged strategy and we are moving on that, so that we are able to not only have the margins what we had from the railway project and even go beyond that and still having a good order book, so that our top line continues to show a good CAGR.

So that is the ambition, on which we all of us are working very hard and in a very focused way and as my colleague mentioned, you can kindly appreciate the way this organization has been able to get orders of almost INR20,000 crores in last one , one and a half year when we started bidding. I am sure you will see a very good and an exciting period from RVNL. I am very confident of that.

Ankita Shah: Yes sir, much appreciate the smooth transition and the strong influence that the company has received. Sir, also I wanted to understand on these new projects, do we have escalation clause for material price increase variations?

Rajesh Prasad: See all projects are different and the clients are also different and the contractual requirements are different. The documents, the provisions made in the various documents are different. So all are having the price variations, but the calculation formula differ from project to project, and yes price variations are there. Sometimes it may not escalate to the level of escalation in the market, but we are working at the stage of pre -bid, the pre -tender stage, and we are basically calculating all kinds of risk of the price escalation and accordingly we are participating in the bids.

Ankita Shah: Got it, got it, sir. Sir, last one, what should be the share of international orders in the current order book?

Rajesh Prasad: See the order book, the Maldives project was around INR1,500 crores, which we are executing. We have already started execution and we have already got some advance around INR250 crores from the authority who has assigned this particular project from whom we have gone, which is Rail Vikas Nigam Limited

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an interest free advance, and at present this is the only project where we are executing, but there are so many things and so many projects,

which are there in the pipeline.

Ankita Shah: Okay. Got it sir. Thank you and wish you all the very best.

Pradeep Gaur : Thank you so much.

Moderator: Thank you. We take the next question from the line of Maitri Korecha, Individual Investor. Please go ahead.

Maitri Korecha: Sir, I am asking this question off record. Good evening sir. Sir, this is just an extension to what the earlier question was about the TMH and RVNL for Vande Bharat. So sir, there are 200 train sets, right? So this will be like 16 coach or eight coach moving forward and on the timeline, sir, this is two to five years is being kind of estimated, but if you are saying that the 12 trains or 18 trains will get released every year then will the timeline get stretched, and what is the size of the contract approximately? How does the disbursement of payment happen, sir?

Pradeep Gaur : Yes, as far as, see that original tenure was for 200 trains and the condition was this order will be distributed between L1 and L2 offer -- offerors . So we were the L1 offeror , we were L1 and we were given the order for 120 trains and the 80 trains order was given to the L2 at the price of L1. See we had quoted INR120 crores per train set. So we were given order of 120 trains at INR120 crores. The L2 had quoted INR139 crores, but they have been given order of 80 trains at INR120 crores per train. So as far as...

Maitri Korecha: Titagarh...?

Pradeep Gaur : Titagarh and BHEL, joint venture.

Maitri Korecha: Okay. Understood, sir. The size of the contract for this will be 200, INR120 crores into 120, right?

Pradeep Gaur : That is our order. And there is an order of 35 years maintenance, which is also, that will come to around INR130 crores per train set for 35 years. So the total order will come to around INR30,000 crores, INR32,000 crores. Secondly -- sorry?

Maitri Korecha: Please, please go ahead.

Pradeep Gaur : So this contract is not only for manufacturing, this contract also includes maintenance over a period of 35 years for each of these train sets, and that cost will be more than INR120 crores per train set. There is a price given around, it comes to 3% every year approximately, averaging. So it will come to 35 into three, approximately 105% of INR120 crores. So that is also part of the order.

Now coming to the timeline, the timeline is very clear. Within two years we have to make two train sets prototypes, which will go undergo trial. The trial period is normally five to six months, and once the trial is over, then and the trial is approved, the prototype is approved, then we go for manufacturing.

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So we will be manufacturing 120 train sets over a period of five years after the prototype is approved. So it will be effectively two years plus five years. So the...

Maitri Korecha: Two years plus five years. Yes, I understood. And sir so basically in the next two years you will be releasing two train sets, that's what you're saying?

Pradeep Gaur : Yes, those will be prototypes, which will undergo trials. And once those prototypes are approved, those also will become part of the 120 trains.

Maitri Korecha: So the disbursement of the payment will happen when you -- if you bring out two train sets, then the disbursement for two train sets will happen in terms of payment?

Pradeep Gaur : Yes, what will happen, once the prototype is approved, then 90% of the payment will be released, 90% of INR120 crores, once the trials are over and prototype is approved.

Moderator: Thank you, sir. We take the next question from the line of Ms. Smita Mohta from Kredent InfoEdge. Please go ahead, ma'am.

Smita Mohta: Okay, okay. So my question is, sir, in the last phone call, you had said that for '23 -'24, you expect top line to be INR20,000 crores plus and bottom line to be between INR1,300 crores and above, okay?

Second of all, last phone call, you

had a bidding revenue of INR70,000 crores, which is this year

INR56,000 crores, this quarter is INR56,000 crores?

And my third question is, so why is this revenue so less and what can we expect moving forward?

And the last question is that this train revenue, that is 150 trains ordered that you have got, so how much margin are you expected to make in that? Because in the last phone call, you had said that your gross margins is 6% to 7% and your net margins would be 5.6% to 5.8%. So just few in that, and why are your trade payable so high? That's it from my side.

Rajesh Prasad: Okay, madam, I have understood your question. So you were making the reference of the last con call. So what we have said is that in FY '23 -'24, the top line will be more than INR20,000 crores, INR21,000 crores plus and the bottom line will be more than INR1,200 crores.

So in FY '22 -'23, we have already crossed the mark of INR20,000 crores and in FY '23 -'24, we are likely to exceed this INR20,282 crores, maybe around INR22,000 crores, INR23,000 crores.

The fact, the bottom line this year was INR1,268 crores and we are 100% sure that in next financial year, that is FY '23 -'24, it will be better than this.

Now coming back to the margin, now you see the, I had said in the beginning that we have got three, four models, and the model which is variable is now the projects, which we are getting from the market. We have been working on that. We are trying to maximize the profit and what are the steps which we have taken, we have already deliberated upon, we have already told you.

So in time to come, you will see that the gross margin, which is 5.77% in FY '22 -'23, will definitely be maintained and maybe we will have some better margin in some of the projects. So

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since these projects are in the beginning, in the initial stage of the project life cycle, so at this stage, it is difficult to comment upon that what exactly will be the margin because every project passes through the different project life cycles, different kind of spaces, different kind of challenges, and only at the end of the project, we can say that this was the margin, which we could achieve.

But the focus is very much clear and the idea behind our approach has been that we should maximize the margin and we can assure you that in time to come, we are going to have the same kind of margins, at least the margins which we have achieved. And I have cited one example also, the projects, which we have taken from the market, which have started resulting, basically giving the dividends like Indore project, there the margin is better than the margin, which we have been -- for the projects, which we have been getting from the nomination basis.

Smita Mohta: Okay. One more question sir. Currently your nomination and your bidding ratio is 80/20, so your nomination is 80 and your bidding is 20, and you said in last con call that it is going to change. So over how many years are you expecting and what kind of ratio change are you expecting in this?

And second of all, in your results, you mentioned one expense amount, which you have not received from KRCL. So what is the timeline to receive that?

Rajesh Prasad: Okay. So let me answer one-by-one. So you are asking about the ratio. So you see, one and half

year back, the 100% project was on nomination basis. Now we are having INR36,900 crores in nomination, INR20,000 crores through the bidding. So you can appreciate that one year and nine months, the ratio is changing very fast.

And in time to come, the nomination work is getting reduced, the Government of India's nomination project and maybe through the business development and bidding, that particular ratio will go up and we have been working in that particular line.

Now regarding the KRCL, you are right, there is a trade receivable, but I have said during this meeting, th

is investors' meet, that there is a total turnaround in the KRCL performance from minus INR115 crores if the PAT was more than INR28.5 crores. And there were two stations, which we have got it commissioned. The traffic efficiency movement has gone up. The number of racks transported has gone up.

And see, these trade receivables are basically depending upon the outcome of the arbitration. A tribunal has already been formed. It is in almost completion stage. The last set of hearings are likely to take place in the third week of June 2023. And we are likely to get a positive result because the issues, the disputes are only two number of major disputes, that is the terminal cost and the freight apportionment for the siding.

See, the commissioning took place starting from October 2008 to June 2019 in different phases.

And the Government of India, Ministry of Railways had decided to give these from 2017 onwards, whereas, the KRCL wanted to have from the date of commencement of the train operations. So, this is very logical and if Government of India and Ministry of Railways has agreed from 2017, they should agree from the 2009.

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So the thing is that the system is very clear and the case is very strong. The tribunal is likely to publish the award and the moment these awards are published, everything will set right. And we are very hopeful about the claims and the dispute is very simple, which I have narrated, which I have tried to explain.

Moderator: Thank you, sir. We take the next question from the line of Mr. Ram Chakarborthy, Individual Investor. Please go ahead, sir.

Ram Chakarborthy: Good evening, sir. Heartiest congratulations for the very good set of numbers and for the positivity.

Ram Chakarborthy: Okay. Thank you, sir. Now my question, I have just a small -- three, four small questions. The thing is, of the current year's revenue, what is the percentage, which is attributable to the nomination basis orders? And in your order pipeline, which you have right now, what is the bidding pipeline, which is there? Can you please tell that to me?

Rajesh Prasad: I said that the present order book as on 31st March 2023 is INR56,000 crores plus out of which around INR36,977 crores is the nomination and rest is bidding. And in time to come, we are going to have only from the business development bidding and no nomination from the Government of India. So the ratio is going to change in time to come. So this was your first question. And what was your second question?

Ram Chakarborthy: And my second question is that one more question, which I have, which is that regarding this Kazakh order, in how many years would that be executable?

Management: How we are going to execute...

Ram Chakarborthy: Three, four years?

Pradeep Gaur: Yes, yes, sorry. Kazakh, the execution will be same, exactly in the same way, the way we do assigned projects of Indian Railways, because that project also will be on assignment basis to RVNL.

Ram Chakarborthy: Okay, sir. And my final request to you, sir, is if you can please supply a comprehensive investor presentation, so that we can track the order inflows and execution better and all the financials with the ratios, free cash flows and everything. If you can present this investor presentation like other companies do, that will be very helpful for us sir.

Pradeep Gaur: Yes, yes, we will do it. We will do it. Absolutely, I think we want to give as much information to our esteemed investors, so definitely we will do it.

Ram Chakarborthy: Thanks a lot. Thanks a lot, sir. Okay, and best of luck, sir.

Moderator: Thank you, sir. Ladies and gentlemen, due to paucity of time, that was the last question for the day. We will now conclude the earnings conference call. On behalf of Rail Vikas Nigam Limited, thank you for joining us and you may now disconnect your lines.

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Pradeep Gaur : Thank you so much. Thank you so much.
Management: Thank you very much.

Call: Aug 2023

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CIN: L74999DL2003GOI118633

RVNL/SECY/STEX /2023 23.08.2023

Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir/Madam,

This is in continuation to our letter of even no. dated 17.08.2023 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the company. Transcript of the said Concall is enclosed herewith. The same is also available on website as follows:

www .rvnl .org – Investor - Compliances - Disclosure.

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

(Kalpana Dubey)
Company Secretary & Compliance Officer

National Stock Exchange of India Ltd .
Exchange Plaza,
Plot no. C-1, G Block,
Bandra-Kurla Complex,
Bandra (E), Mumbai - 400 051
Scrip : RVNL BSE Limited
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
Scrip: 542649
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“ Rail Vikas Nigam Limited
Q1 FY2024 Earnings Conference Call”

August 17, 2023

ANALYST : MR. VISHAL PERIWAL - IDBI CAPITAL

MANAGEMENT : MR. PRADEEP GAUR - CHAIRMAN & MANAGING DIRECTOR - RAIL
VIKAS NIGAM LIMITED
MR. RAJESH PRASAD - DIRECTOR OPERATIONS - RAIL VIKAS NIGAM
LIMITED
MR. SANJEEB KUMAR - DIRECTOR FINANCE & CHIEF FINANCIAL

OFFICER - RAIL VIKAS NIGAM LIMITED
Rail Vikas Nigam Limited
August 17, 2023

Page 2 of 22 Moderator : Ladies and gentlemen, good day and welcome to Rail Vikas Nigam Limited Earnings Conference Call for Q1 FY2024. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to Mr. Periwal.

Vishal Periwal : Thanks Yusuf and good afternoon everyone. Thanks for joining in for the Q1 post result earning call of Rail Vikas Nigam Limited.

From the RVNL management side today we have with us Mr. Pradeep Gaur, Chairman & Managing Director, Mr. Rajesh Prasad, Director Operations and Mr. Sanjeeb Kumar, Director Finance & CFO. As usual we will have a brief overview from the management on the going one by quarter and then we will have lines open for Q&A. Thank you sir and over to you.

Rajesh Prasad : I will take two minutes, just an introduction about the company. As you are aware this is a company which is around 20 years old. It is a Navratna Company, it is a listed company with CAGR has been more than 20%. We commenced our operations in 2005 and got the Navratna status on May 1st, 2003. We are involved in the full project Rail Vikas Nigam Limited
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Page 3 of 22 lifecycle that is from concept to commissioning. We have got a proven track record and we have commissioned and handed over 143 odd projects for Ministry of Railways. In last year 12 years we have been excellent and it is also trained in the Special Purpose vehicle model. The Q1 performance and OFS if you wish I can speak just now or otherwise I will take the question. Vishal ji, if you are comfortable I can

briefly explain about the OFS, the quarter number or we can take the question.

Vishal Periwal : I think we can briefly may be few lines on the quarterly results and OFS and then we can have lines open for Q&A sir.

Rajesh Prasad : Okay. First, let us talk about the OFS. As you are aware that this company was listed in April 2019, with 12.16% of the divestment in April 2019. It was followed by OFS-1 with 9.64%, but during that time the approval was taken for 15%, so the 5.36% which was remaining this time the OFS was called and it went very successfully. As on date, the government is holding at 72.84% and OFS-1 total realization of the revenue of the order of Rs.475 Crores, OFS-1 was Rs.550 Crores and this time it was around Rs.1365 Crores. The institutional purchase was 2.73x and it was successful OFS. So as on date, the government is holding at 72.84% and the requirement was the minimum public shareholder requirement. It has to be more than 25%, but it has crossed that limit and now the public is having a holding of 27.16%. So this is all about the OFS-2.

Regarding this Q1 number, so as you recall the last time, we had crossed the all time high numbers of the turnover that was around Rs.20282 Crores, the profit after tax, the bottomline was Rs.158 Crores and performance, the commissioning was more than 1044
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Page 4 of 22 kilometer that was also all time high. Now, you can see the numbers

of Q1 and if you compare this Q1 numbers with respect to the Q1 in the history of RVNL again the topline and the bottomline was all time high . So this time, the turnover increased by 17% to be precise enough it was Rs.5446 Crores and the bottomline, the PAT was Rs.334 Crores and there was an increase of 17.8%. So, what I wanted to project is that the company has been growing and the numbers are also basically it is sounding good . Director finance will supplement on these number.

Sanjeeb Kumar : This year, we have had revenue from operation of Rs. 5446.25 Crores and other income was Rs.280.36 Crores , we had total income of Rs.5726.61 Crores and this is 17.36% higher than last time , the expenses are Rs.5250 Crores and total profit after tax Rs.333.57 Crores which again was 17.83% higher than last year.

Pradeep Gaur : Now, we can take the question.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi : Thanks for the opportunity. Sir my first question is , what is the current order book and the order book excluding the Vande Bharat orders?

Rajesh Prasad: The order book is Rs.65000 Crores plus and out of that , Rs.35000 Crores is the nomination basis, Rs.30000 Crores to the bidding , it includes Rs.8700 Crores for Vande Bharat , so total Rs.65000 Crores plus. Now, if you recall we had started bidding we had the first order Rail Vikas Nigam Limited August 17, 2023

Page 5 of 22 for Indore metro in October and November 2021 and it is less than two years we have got order about Rs.30000 Crores from the market.

Dixit Doshi : Okay. Just one clarification , so this Vande Bharat order of Rs.8700 Crores the revenue booking will happen at the JV level and the JV will come into our book as a share of profit from JV, is that understanding correct?

Rajesh Prasad: I will briefly explain what exactly is the model ? The total number of trains which are going to be manufactured is 150 train sets at a size of Rs.150 Crores . These trainsets will be manufactured at Latur and then the train sets are required to be maintained in Jodhpur, Delhi and Bangalore and the average maintenance cost will be 4% , so now if you multiply 120x120 it is approximately Rs.15000 Crores is the cost of the production and the maintenance cost

120x120x35 years at the rate of 4% it will be around Rs.20000 Crores, so the total order will be Rs.36000 Crores, Rs.37000 Crores out of which RVNL has got a share of 25%. As per the MoU and the shareholder agreement, RVNL has got a share of 25% and if you multiple this 36000x125 so our share will be Rs.8700 Crores to Rs.9000 Crores . This is the rough figure and the timeline is that the first prototype is required to be manufactured within two years and the second prototype within two months after that and subsequently 12 in first year, 18 in next year and 25 in subsequent years and these Vande Bharat trains will be manufactured at Latur and Latur was a factory which was basically maintained by RVNL only and it was inaugurated two years back during December 25, 2021. So with the history of the Latur workshop and the order breakup of this Vande Bharat trainsets and all the realization of revenue will take place, we above guidance is the roadmap.

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Page 6 of 22 Dixit Doshi : Okay, so now obviously as you mentioned that Rs.30000 Crores of order we have went through the bidding process, so all the orders which we must have received in last six to eight months, those will be at the planning stage or a designing stage, so considering all that what kind of execution we expect in FY2024 and 2025?

Rajesh Prasad : Let us go to the first project which we have taken . The Indore metro which we got the two packages in the month of October and

November, so last year we had a turnover of Rs.500 Crores in FY2022 -2023 and during this FY2023 -2024 again Rs.500 plus Crores we are going to have the turnover and the project is as per the time to do so we are getting the revenue out of this project and the project is likely to be completed by June 2024 and we are also happy to inform that six kilometers of the stations are getting basically we are going to have the trial in the month of October, the civil engineering construction has been handed over for the system and track work and if it happens then it will become the fastest metro in the country, so what I wanted to tell you is that the project should be brought in the beginning, they have already started giving the results and the outcome, so this is about the first Indian project and the first overseas project was Maldives and again during this financial year we are going to have more than Rs.500 Crores of turnover and in fact I am happy to say that we have already done inclination of more than Rs.5 lakhs in last two and half month, it is an extraordinary performance. So coming back to your question about whether we are getting the revenue order of this project or not, so the projects which we have got earlier, they have already started giving the results and it is getting reflected in our revenue.

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Page 7 of 22 Pradeep Gaur: I will add further to what Mr. Rajesh Prasad mentioned, so basically I think your main point was what will be our topline in 2024 -2025, so the present orders as Mr. Rajesh Prasad mentioned is around Rs.65000 Crores and definitely we have got another one-and-a-half years before we further add the orders and to execute also. The way we are going, we are targeting that at least we should have at any point of time order book of Rs.75000 Crores to one lakh Crores. So I am sure the topline definitely Rs.20000 Crores like last year Rs.20200 Crores and this year also definitely will exceed it. So, I think best part is even after railways orders getting slightly dried up we will continue with the positive growth may not be with the CAGR of 27% and all what we had to think that may take one or two years to reach even that, so I am sure the way we are getting the orders, the way we are performing as Mr. Rajesh Prasad mentioned about Indore Metro, now Chennai Metro another

Rs.5000 Crores,

Rs.6000 Crores work which we have already started and other places different metros even in highways plus Vande Bharat is also now on a very smooth path because after share purchase agreement, shareholders and everything is settled now, because initially there were few bumps, so we have got over it. So I am sure topline will be maintained in a very positive manner.

Dixit Doshi: Okay and one last question on the other income, so last year on a consolidated level our other income was almost Rs.1000 Crores and even this quarter it is almost Rs.280 Crores, so what are the major contribution of this other income? How much would be the interest income on the cash, we must be holding and any other part of other income and also is there any interest income we are recording from KRCL?

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Page 8 of 22 Sanjeeb Kumar: Yes, other income is largely interest and some dividend from our subsidiary and we are having interest income from KRCL.

Dixit Doshi: How much would be the interest income?

Sanjeeb Kumar: From KRCL, the total interest income would be around Rs.255 Crores or so in this quarter.

Dixit Doshi: No, I am asking only from KRCL.

Sanjeeb Kumar: KRCL interest for the quarter is still being computed, because they have not finalized the results, but it should be in the region of Rs.35 Crores to Rs.40 Crores for this quarter or little less.

Dixit Doshi: Sir, just one last point, I think we are recording this as an income, but we are not receiving the payment, is that correct?

understanding?

Sanjeeb Kumar: We are receiving the payment, but not in full measure in a very small measure, yes, so far they are not receiving, but then we are in a situation in which will be receiving a large part.

Dixit Doshi: Do you see any risk of this money not coming that is why I am asking, because we are recording it as an income.

Rajesh Prasad: If you see the performance of the Krishnapatnam Rail Company Limited, the performance of the traffic has been extraordinary, in fact in FY2021, they transported in the whole financial year 2565 rakes which got increased to 3093 rakes in 2021-2022 and in 2022-2023 it became 5422 rakes, there was a jump of 75.30% and in Q1 also, the performance of this particular company, the traffic has gone up by 31%. So, one thing is there that the traffic has increased in this Rail Vikas Nigam Limited
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Page 9 of 22 particular system. We have commissioned two number of crossing stations. We are going to commission one by pass line in next two months' time that will further add the traffic and the efficiency of this SPV line, so what I wanted to tell you is that the traffic has suddenly gone up in KRCL, number one. Number two, there was arbitration which was going on the arguments have been over, the verbal arguments have been over by the arbitration, the honorable tribunal and the written argument is the last date of submission of the final written argument is August 28 and after that the tribunal will basically reserve the final judgement and award and we are very hopeful to get the award in positive manner, because in previous investor speech we had told about the dispute and the dispute was very simple that the terminal cost and then the portion and earning for a period they are agreeing and for some period they are not agreeing whereas it is a commercial agreement either they should agree full or they should not agree at all. So, the disputes are very clear cut and we are very confident that we will get positive rewards from the arbitration. So as far as the KRCL is concerned that in time to come, we are going to have good traffic, because the traffic position whatever we are having, it is very sound and it has already shown a lot of improvements in the past and the arbitration is also likely to

be concluded and we are very confident because the dispute is a very simple and anybody can understand that what exactly are the disputes and whether it is stable or not stable.

Pradeep Gaur: Mr. Joshi, I will like to add few points as what Mr. Rajesh Prasad mentioned while completely agreeing to what he has told. So kindly appreciate one thing there was a change of ownership of the Krishnapatnam port between the original developers and Adani. So, in between we had some sort of normality time for this port, because Rail Vikas Nigam Limited
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Page 10 of 22 of the changeover, so neither the original developers nor the new one were in the think of the things in a proper manner, so that led to some downtrend and but now things are picked up and Mr. Rajesh Prasad mentioned about arbitration yes, logically it should be simple, but I can tell you notwithstanding even that we are today much more confident of getting this amount and the positive financial health of KRCL, because of the new owners firmly in pedal and doing a great job.

Dixit Doshi: Okay. That is it from my side. Thank you.

Moderator: Thank you. Next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Thank you sir. Thanks for the opportunity. So my first question is regarding railway tendering opportunity, so how has it been in Q1 and where do you think it will go as we go along in this year?

Rajesh Prasad: Can you repeat the question again?

Nikhil Abhyankar: Railway tendering activity, how has it been in Q1 and what is the opportunity size in FY2024?

Pradeep Gaur : May I request you to slightly be louder because voice was not very clear , but once you repeated we have understood it.

Rajesh Prasad : As I said in the beginning that we started bidding less than two years back and it is totally a new field and just for the sake of numbers we have participated in the bids to the extent of 175 , 173 to be precise and the total amount of bid was around Rs.96000 Crores and we have been awarded or we have become L1 to the extent of more than Rs.30000 Crores, so this is the quite substantial and really

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Page 11 of 22 remarkable that government PSU molded itself and then went into the market and from the market Rs.30000 Crores of orders we have taken . Now coming back to your question that in FY 2023-2024, how many bids we have participated , so the exact number was 44 and the total quantum was Rs.19000 Crores plus.

Nikhil Abhyankar : Understood and what is the pipeline in the next nine months ?

Rajesh Prasad : What our CMD sir has just now said that one of the mission area of RVNL is that we should have an order book of Rs.75000 Crores to Rs.1 lakhs Crores, so we are doing the expenditure every month and at the same time we are getting new work . So, the idea is that at any point of time , we should have the order book of Rs.75000 Crores to Rs.1 Lak h Crores, today it is Rs.65000 Crores and accordingly we can work out what kind of orders we are going to have . We are eyeing a lot of projects in the metro segments , overseas projects and of course the railway projects are the preferred projects and we are participating depending upon the kind of projects and the complexity and the various factors and for the overseas projects , we are also looking basically the reference of the funding arrangement.

Nikhil Abhyankar : Okay, specifically regarding the electronic interlocking and covers opportunity , so do you see any orders in this year from these two segments?

Rajesh Prasad : We are participating in the tenders which are basically related to the civil engineering , electrical , SMP, mechanical , mechanical means Vande Bharat . In the SMP segments , we have specifically participated in 34 number of tenders and we have bagged Rs.3373 Cro

res of projects . Regarding the covers part, yes we have not

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Page 12 of 22 participated in it, but we are eyeing a lot of projects which are related to the safety and covers etc., in time to come.

Nikhil Abhyankar : Okay, sure sir. I guess Adani ports is quadrupling the railway line from Mundra till Gandhi Nagar and they are building from Sawantwadi to Pandharpur , so will we also take up such project of quadrupling the railway line in coming years ?

Rajesh Prasad : Presently we are not doing it , but since the nomination is stopped so whatever project which we are getting from the railways , we will have to participate through the bidding and if such projects come to the tendering process from the Ministry of Railway we would be keen to participate in those tenders also.

Nikhil Abhyankar : Understood and just final question sir. We have achieved with Metrowagonmash , on major component of Vande Bharat orders will be some motors and all these things, but given the Russian origin of Metrowagonmash made with large players like ABB Siemens would not be willing to provide all these raw materials to Metrowagonmash , so how are we placed in terms of raw material sourcing and vendor development ?

Pradeep Gaur : Okay . I have got this question. As far as this is concerned, first and foremost I can tell you that nothing is going to come from Russia . Supply chain is available in India or in some one or two other places , but not from Russia , so TMH or Metrowagonmash , there will be no Russian component . It will be completely driven from the present supply chain whatever is already taking place for Vande Bharat being manufactured in ICF, so that is not an issue . If you can kindly

specify anything else you would like to know on this .
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Page 13 of 22 Nikhil Abhyankar : Sir, major MNC like say ABB and Siemens you might have to source your raw materials from them for these orders , but there might be a chance that they might not supply to this JV , because of the Russian origin of Metro wagonmash .

Pradeep Gaur : Yes.

Nikhil Abhyankar : In that way, how are we placed in terms of developing local vendors or how are we trying to tackle this problem ?

Rajesh Prasad: You are right , so the main two components are there . There may depend on Alstom or any other agency . One is propulsion system, another is the braking system which may have to get from Germany or U.S . These are the two main things , so in that case we are already in touch with Alstom, Siemens and everyone. There are very, very comfortable in dealing with RVNL. So what will happen that S P V will put this responsibility to RVNL and RVNL will tie up with them. So once the purchase order has been made by RVNL , they have absolutely no problem in supplying to us.

Nikhil Abhyankar : Okay, so basically Rs.8000 Crores worth of order book that we have from this JV, is mainly regarding all these things is not it ?

Rajesh Prasad: Rs.8000 Crores is basically what has been divided is 25 % of the total order .

Nikhil Abhyankar : Okay.

Rajesh Prasad: Things are changing , slowly and slowly Russians are finding that if they can be more and more through RVNL, so it will be better for the project , so we may end up more than Rs.8000 Crores, Rs. 8000 Crores is a simple 25 % of the total order . But because of this

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Page 14 of 22 situation as you rightfully mentioned , the scope of RVNL is bound to increase , because Russians are also feeling more and more comfortable dealing with various agencies through RVNL.

Nikhil Abhyankar : Okay, understood sir. Thank you and all the best.

Moderator : Thank you. Next question is from the line of Kaushal Kedia from Wallfort PMS . Please go ahead .

Kaushal Kedia : On the other income front, I just wanted to

ask you , the interest is on some advances received or is the cash balance bid by the company over the years ?

Sanjeeb Kumar : This is mainly on the cash balance bid by the company.

Kaushal Kedia : So how much would that be out of last year break of how much percent of that will it be on cash balance sir?

Sanjeeb Kumar : It would be around Rs.600 Crores to Rs.700 Crores for the last year , year ended March 31, so similarly it will be around 60 % to 70 % will be cash balances and trade receivables .

Kaushal Kedia : On the operation front, between the margins are very thin ?

Sanjeeb Kumar : This question was not clear .

Kaushal Kedia : So, I think I was to remove the other income and just look at the operational income that means we operate on very thin margins , is that correct ?

Sanjeeb Kumar : Comparatively yes.

Kaushal Kedia : Okay. Thank you.

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Page 15 of 22 Sanjeeb Kumar : But just I would like to supplement that was because we were constrained on nomination works the keys are set . Here you plan for a higher income and order book is changing , so this will change in future.

Kaushal Kedia : Once we execute the orders margins will improve potentially?

Sanjeeb Kumar : Potentially.

Kaushal Kedia : Thank you.

Moderator : Thank you. Next question is from the line of Smita Mohta from

Kredent InfoEdge. Please go ahead .

Smita Mohta : I have a few simple questions . Can you just divide your order between rail and non-rail?

Rajesh Prasad : I do not have the breakup of the rail and the non -rail, but what I can say is that Rs.35000 Crores which is on the nomination basis that is 100% rail and then this Rs.30000 Crores, we have got the breakup of the department wise, the civil engineering will be around ...

Pradeep Gaur : The rail will be only SMP as of now.

Rajesh Prasad : SMP and Metro segments ...

Pradeep Gaur : Metro segment, you would like us to add in rail or metro, do you feel it should be separate ?

Smita Mohta : Yes, it should be rail only.

Rajesh Prasad : Okay, Rs. 30000 Crores, the breakup will be , the Vande Bharat will be around Rs.8800 Crores then the signaling in which is purely

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Page 16 of 22 railway that is around Rs.3000 Crores and the railways segment would be remaining is around Rs.18000 so out of Rs. 18000 Crores Metro and Railway together will be around Rs.8000 Crores, Rs.9000 Crores.

Smita Mohta : Got it sir . Second question sir, in your last concall you had mentioned that you would be getting a substantial order from the Kyrgyzstan Government, so have you received any update on the same ?

Rajesh Prasad : If you recall we had signed a MoU in 2022 on May 30 regarding four projects which involved around 1000 kilometers and accordingly in December 2022 basically a company RVNL was formed in December 2022 and we have got prepared the DPR for the kara line these are 225 kilometers and 180 kilometers . The Kurdistan Government is examining the DPR, the model is that the RVNL will get a 9% management fee and their government is also arranging funds from the EPS capital, so if you see the complete project lifestyle, DPR, design, financing and execution , so we have basically concluded the construct and the DPR and once the DPR is approved and financing model is concluded then the project will be executed, but we are very hopeful in time to come. We have not got the letter for the execution , but the initial step like signing off MoU, forming of SPV then submission preparation of the DPR, submission of DPR and then the government is examining the DPR and the financing is also getting completed .

Smita Mohta : So how long do you think sir, can that take ?

Rajesh Prasad : As far as RVNL is concerned , the initial requirement was preparation of the DPR, for the two stretches we have submitted the Rail Vikas Ni

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Page 17 of 22 DPR, those DPRs are getting examined by the government and they are also arranging some funds from some financing institutions and once it is concluded then we will go to the exchange and we will intimate to all concerned . So, the present status is this and if any further development takes place we will inform the stock exchanges to all the investors .

Pradeep Gaur: I will just add to what Mr. Rajesh Prasad mentioned, yes, we were expecting that it should fructify by this time , but the Government of Kyrgyzstan is taking its time to approve the detail project report . The financing is already tied up, so we hope that it should happen very soon maybe month or so , but yes it has exceeded the timeline what we thought by March , April will be through with it , but as you know sometimes wheels of government does not move as fast as we expect , but there is no obstacle to that except that normal time taking process of approving the details .

Smita Mohta : Understood. Sir, out the orders that you have received which you have mentioned in this quarter on bidding and nomination , can you divide it between domestic orders and international orders ?

Rajesh Prasad : So far , the international order is Rs.1500 Crores plus for the Maldives and rest of the orders are the domestic orders, but a lot of foreign projects are already there in the pipeline. We are focusing on the neighbouring countries like Bangladesh, Maldives, Sri Lanka, Mauritius , African continent , there is assured funding like LOP, World Bank , ADB, AFTB and we are also thinking to participate in some of the projects in CPC model , so the overseas projects component is Rs.1500 Crores , but in time to come, we are trying to get more and more orders in that particular direction .

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Page 18 of 22 Pradeep Gaur: Just to add to what Mr. Rajesh Prasad mentioned , we had a lot of offers and all that about some foreign projects in Middle East and all that, but we are very circumspect about the funding part . We do not want to jump into something where there is even a risk of anything . First priority continuous to be lined up credit projects of the Government of India because that is the safest funding and equally safe funding is A DB funded projects , so that is why it is taking some time, but I can assure you that overseas project remains our focus , I mean pardon me for saying so but working conditions and margins are quite on a higher side in overseas projects, so that is an area of focus , but we do not want to risk projects unless financing part is very, very safe.

Smita Mohta : Got it. Sir, my last question is that you must have heard about Rs.32500 Crores rail order that the government has recently launched in which they are targeting 2339 kilometers of track and 4500 Vande Bharat train which can span over 2047. So, my question was that in this order book what percentage do you think can you bid for under this rail order of Rs.32500 Crores ?

Pradeep Gaur : Nothing stops us from bidding even 100 % because we will be qualified and everything , so there is no limit. We will deal with it as and when the tenders come , definitely , but there is no limit . We have capacity to execute whatever orders we receive and we will go for it , because that is our niche area that is our forte the railway project , so definitely it is an opportunity for us also to expand our orders.

Smita Mohta : Right and this money will be utilized for what purpose Sir?

Rajesh Prasad : That goes to the Ministry of Finance .

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Page 19 of 22 Smita Mohta : Which money ?

Pradeep Gaur : You are talking of OFS money ?

Smita Mohta : Yes, for sale that you just raised , this will be utilized for what purpose sir?

Pradeep Gaur : So that that goes to the kitty of the

Government of India . It does not come to RVNL, because the ownership , this is the percentage ownership shared by government from this company .

Smita Mohta : Got it sir.

Pradeep Gaur : They will utilize it in the way they feel, but we have no role in it .

Smita Mohta : Got it sir. Do you plan to do any capex for any debt sir regarding the projects that are coming through as you said you feel the international as well as the domestic pipeline very strong?

Pradeep Gaur : Can you repeat again.

Smita Mohta : Do you think because of the domestic and international pipeline being strong as you mentioned will you be going in for any raising of any debt or capex ?

Pradeep Gaur : Our preference will be for LOP projects, finance projects , but we are looking towards one project which is a project transcending Botswana and South Africa , there model of financing by us so that is one project we are trying to see , but again it will depend on the kind of returns and any risk elements and all this , but this is at expression of interest stage only, but otherwise our focus will be ADB funded or World Bank funded projects.

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Page 20 of 22 Smita Mohta : Okay. Thank you sir. That is all from my side. All the best.

Moderator : Thank you. Next question is from the line of Ash Shah from Elara Capital. Please go ahead .

Ash Shah : Thank you for the opportunity sir. So first question would be on the current order book of Rs.65000 Crores, how much portion of the order book is under execution right now ? Is it completely under execution or there are certain projects where we are yet to start ?

Rajesh Prasad : Once we get the project, it immediately goes to the execution stage , so we can say that Rs.65000 Crores project except the project which we have got the LOA last one or two months, remaining projects are already in the execution mode .

Ash Shah : Could you quantify, how much LOA are we received in the last one or two months, the value of that ?

Rajesh Prasad : In FY2023 -2024, we have participated in total 44 number of bids approximate cost was a round Rs.19000 Crores and you wanted to know that how much we have won. That figure is not readily available , but yes we can tell you afterwards .

Ash Shah : Okay. Second question would be can you give us the sectoral breakup of revenue for Q1 FY2024 and FY2023, so how much did we book revenues from Railways ? How much did we do it from metros or how much do we do it from high ways something like that ?

Rajesh Prasad : So, you want to have the breakup of the Q1 performance ?

Ash Shah : Yes.

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Page 21 of 22 Rajesh Prasad : So, we have basically got the breakup in terms of the metro projects which we are executing on nomination basis and then the non -metro projects , so metro project is around is Rs.838 Crores, Rs.394.1 Crores of non -metro projects.

Ash Shah : Okay. One last question would be how much is the outstanding from KRCL and how much have you received in FY2024?

Rajesh Prasad : Basically , it is a trade receivable . So you see one thing that the total cost of the project was around Rs. 2400 Crores out of this around Rs.1600 Crores plus we had earlier received . So as on date it is Rs.1450 Crores which has got interest component of around Rs.790 Crores and during FY2023-2024 we have received around Rs.80 Crores.

Moderator : Thank you. Next question is from the line of Sandeep Sutodiya from Shivam Deal Mark Private Limited. Please go ahead .

Sandeep Sutodiya : Good evening everyone and congratulations on an excellent set of Q1 numbers . It is very heartening to see Q1 performance at this level which is usually one of the lowest of the four quarters. Now sir, coming to my first question is that the profitability that we have seen from the SPV has been reported I guess Rs.7 Crores or Rs.8 Crores, then

is it against Rs.168 Crores for the financial year 2022 -2023. How do we see this going forward or do we see a substantial reduction in RVNL profit share from SPVs in the current financial year ?

Rajesh Prasad : You please try to appreciate one thing that the Kutch Rail Company Limited . We have commissioned the entire section with the doubling with electrification and that has been done with the internal resources out of which Rs.1000 Crores was taken through the bank

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Page 22 of 22 loan and now with the electrification , the traction cost will become half. It is quite substantial this is number one and because of the doubling of the entire section , the number of the rakes with the double container will move more and more in time to come . It has provided connectivity to the DFC route so that will again basically it will augment the traffic , so basically the component from the SPV, the dividend path has gone down because in the Kutch Rail Company Limited , the money was utilized for the creation of the

infrastructure which in long term will give the benefit , so the immediate benefit was not getting reflected in Q1 period , but we are 100% sure that in time to come , the traffic will further go up and the efficiency will go up , the operation and maintenance cost will go down , because the 100 % electrification one of the mission area o r the Ministry of Railway is that we should hav e 100 % railway electrification and the duty of the railway electrification in this particular Kutch Rail Company that the traction cost will become just half , so the indirect cost and the direct cost both are getting reduced in time to come . The traffic ba sically it will go up in time to come and in time to come we will get the benefits out of this S PV line and the reason for not getting the dividend from the Kutch Rail was that we were utilizing this money to paying back the loans to the bank .

Moderator : Thank you. Due to time constraint with the management this was the last question and we will conclude the call now . On behalf of Rail Vikas Nigam Limited , thank you for joining us and you may now disconnect your lines .

Call: Nov 2023

Regd. Office: 1st Floor, August Kranti Bhawan, Bhikaji Cama Place, R.K. Puram, New Delhi-110066
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CIN: L74999DL2003GOI118633

RVNL/SECY/STEX/2023 15.11.2023

Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir/Madam,

This is in continuation to our letter of even no . dated 10.11.2023 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the company. Transcript of the said Concall is enclosed herewith. The same is also available on website as follows:

www.rvnl.org – Investor - Compliances - Disclosure .

Link:

https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript_10_Nov_2023.pdf

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

(Kalpana Dubey)
Company Secretary & Compliance Officer
National Stock Exchange of India Ltd .
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Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
Scrip: 542649

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“Rail Vikas Nigam Limited Q2 FY-24 Earnings Conference Call”

November 10, 2023

MANAGEMENT : MR. PRADEEP GAUR – CMD , RAIL VIKAS NIGAM LIMITED
MR. RAJESH PRASAD – DIRECTOR , OPERATIONS , RAIL VIKAS NIGAM LIMITED
MR. SANJEE B KUMAR – DIRECTOR , FINANCE , RAIL VIKAS NIGAM LIMITED
MODERATORS : MR. VISHAL PERIWAL – IDBI CAPITAL

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Moderator : Ladies and gentlemen good day and welcome to the Rail Vikas Nigam Limited Q2 FY24 Earnings Conference Call hosted by IDBI Capital .

Please note that this call is of 45 minutes. Comments made during this call may include forward -looking statements that are subject to risks and uncertainties and that actual results may differ easily from these forward -looking statements. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital . Thank you and over to you sir.

Vishal Periwal: Thanks Rico. Good afternoon , everyone. Apologies for the slight delay in the call. First of all , wish you all the investors , analysts and RVNL Management Team Happy Dhanteras , Happy Diwali and a prosperous New Year ahead.

I welcome you all for The Post Result Interaction with the Management of RVNL. From the management team we have with us , Mr. Pradeep Gaur Ji– CMD , Mr. Rajesh Prasad Ji – Director of Operations , Mr. Sanjee b Kumar Ji – Director of Finance.

As usual we'll have a small brief from the management on the business and then we'll have a line open for Q&A. Over to you.

Rajesh Prasad : So, basically , it is a PSU under Ministry of Railways and earlier it was mandated for implementation of the railway infrastructures. Now we are executing all kinds of infrastructures and not limited to India. So , in the past we were executing more than 30% of all the railway infrastructures.

We got the Mini -Ratna status in 2013 and now we have become Rail Vikas Nigam Limited

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Navratna. From 1st May 2023 . We have commissioned more than 15 ,500 km of the railway infrastructures and there is a rating given by the Department of Public Enterprises every year and we have been given the rating of excellence for the last 12 years. The CARE rating has been given , we have received the CARE rating and it is AA A with outlook stable.

We are involved in the complete project lifecycle that is right from the concept to commissioning and we have completed and commissioned more than 140 projects on behalf of Ministry of Railways and handed over back to the Ministry of Railways for operations. We have also been mandated to constitute project specific SPVs and accordingly we have commissioned 5 number of special purpose vehicles and they have already started paying the revenues. As on date we have got the orders from the market which is to the extent of (+32,000) crores . The first 6 months the results have been that the turnover has gone up by (+8%), the profit after tax , the bottom line has gone up by 21%. For the first time in the history of RVNL that in first 6 months it has crossed the mark of 10 ,000 crores . Since we have started bidding in the project , the basket comprises of the different kinds of projects which includes even in the marine sector , the metro segments and then even the irrigation and the municipality section also .

This is the brief of RVNL and we have got few SPV s, special purpose

vehicles , Kutch Rail Company , Krishna patnam Rail Company , Baruch Dahe j, Haridaspur , Angul Sukinda and these all SPVs have been commissioned and they have generated revenue to the extent of 1,06,0 00 crores for the railways. In terms of the loading by these SPVs ever since they have been commissioned it is more than 840 million tons. We have been contributing a lot through this PPP model and we are the pioneer in constituting and making these special purpose vehicles . We have been also involved in executing

the turnkey projects and we have
commissioned around 17 number of workshops where we purchase
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wagons , will be manufactured , maintained and in time to come you can see that these are being utilized fulfilling the requirement of Atman irbhar Bharat. So , this is just a brief about RVNL and now we are ready for the question s.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Rohit from Antique.

Rohit: If you could touch upon the current order backlog because how far we are from the target of 75 to 1,00,000 crore as identi fied in the past , which are the big moving ticket items that you are looking for that will be really helpful ?

Rajesh Prasad: Basically , if you see the order book , earlier we started bidding in the year 2021 and the first bid which we got was in the month o f September and October . Today we are having the orders from the bidding which is approximately 32 ,350 crore s and Railways order book was around 35,000 crores . So, it is roughly 67 ,000 to 70 ,000 crore s. We do not escalate and update the order book every day or every month , but this is the approximate order book. We had an ambitious target to achieve the order book of 1,00,000 crores . We have been doing the turnover of around 20 ,000 crores . Last year it was 20 ,381 crores and in first 6 months this year it has just 10 ,000 crores for the first time. So , we anticipate that the top line will grow with some lesser rates. But the bottom line has grown by around 15% to 20%.

Regarding the question of the different kind of baskets , we have got the proven track reco rd of the railway projects and now the preferred segments have been the metro projects , the high-speed projects , the Janki projects and now we have entered into the manufacturing also. We are going to have all kinds of the infrastructure projects and it wi ll not remain limited to the India. Regarding the bigger projects , the biggest project which we are executing today is the Karna prayag -Rishikesh
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project. There we are constructing the total length is around 125 km, out of which 84% is basically tunnels and in last 3 years 125 km tunnels including the escape and the other safety tunnels have been executed by RVNL. So , this is the landmark project which we are planning to commission by December , 2025. Then the metro projects , the first metro project which we took from the building from Indore, so 6.6 k m trials were conducted in September , 2023. So , within one year and few months 4-5 months , the trial was conducted successfully. This has become the fastest metro construction in the history of the country. So , it is a great landmark and margin wise , the profit wise we had reached almost to the same level slightly better than the margin which we used to get on the nomination basis. One of the bigger projects is Maldives projects where we had the order of around 1 ,600 crore s. In last 5 months we had done a reclamation of around 20 hectares, around 11 lakh MQ of dredging . So, these are some of the important projects and the projects of interest which I thought I should tel l you.

Rohit: I really appreciate those comments. My question is more to do with the revised railway policy. That is essentially we are doing away with the nomination clause and we are looking more for competitive bidding. In

that context how big is the railway opportunity we can foresee? Because we don't see that number being talked about in a big way, especially the big-ticket projects something like (+5000) crore size kind of railway projects. Will it go into a conventional bidding route or on a nomination route? What is the outlook over there?

Rajesh Prasad: Yesterday only we had decided to participate in two number of bids of

the eastern dedicated freight corridor which is now being executed by the Zonal Railways, Central Railway costing around 2,000 crores. The opportunities are there. In the railway segment, we have got the proven track record. But since we are in the competition mode, we will participate in the different modes and we will try to capture the projects from the railway sector as well as the other sectors.

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Rohit: The identification of big-ticket projects that is from NRP perspective or some other infrastructure pipeline perspective.

Pradeep Gaur: Mr. Rohit I will just add to what my colleague Mr. Rajesh Prasad has mentioned. Sorry I have to interject in between. The basic issue is as you said because of this railway policy, earlier also we used to get comparatively a very less percentage of the overall projects of railways on nomination basis and then 80% to 85% of the projects were being executed by zonal Railways. So, our share in the overall project was around 10% to 15% not more than that. So, as the investment in the infrastructure railways grow, definitely that percentage even by bidding will be able to maintain something like that. But the positive point is, now we are going beyond railways also. So, we are looking at a portfolio where the share of railways will be maybe 30% to 35% and 65% will be beyond railways because we are seeing even more opportunities outside the railways. And if I may say so, even after being in railway sector the ease of execution is much better in various infrastructure as compared to even railways. So, with the kind of expertise and all that, we'll be able to deliver not only railway projects but beyond that as Mr. Rajesh Prasad has already mentioned about the examples of Maldives and Indore metro. So, we have proven our caliber there, what I want to say is the opportunities for us definitely if railway infrastructure grows that also will increase our pie in the whole thing.

Rohit: My second question was on one of the big-ticket projects that we were looking out for is the Kyrgyzstan project. I understand what the DPR submission has done, the government is assessing it. Could you throw more color on it? Like what is the realistic timeline in which...

Pradeep Gaur: We continue to be extremely hopeful and there is some internal financial closure and some issues are going on. It has nothing to do with RVNL. RVNL has done its due diligence and already submitted to them. In fact, we are also equally concerned that why it is getting delayed. And we are

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in continuous touch with the Government of Kyrgyzstan. So, I cannot give you immediately a particular date but I can assure you that we are pursuing it very vigorously and we hope to, even last week we had a detailed VC on this with them and they have again assured us that this is in final stage. Of course, what they are telling in final stage is going on for last 2 to 3 months but sometimes the wheels in the government don't move as we expect. So, we continue to be extremely hopeful and hopefully sooner than later.

Moderator: Our next question is from the line of Nita Mohta from Credint Info Edge.

Nita Mohta: Basically, we were asking that you had hinted that the margins will remain the same whereas for this quarter results, what we are seeing is that it has gone down below even your EBITDA level. If we see it has gone five quarters below that level. So, post getting so many orders could you let us know that what has led to this kind of a performance in

this quarter itself or is it one of a kind?

Rajesh Prasad : This first 6 months the gross margin if you see , it has increased from 563 crores to 607 crores . I'm talking about the gross margin and the gross margin upon turnover , it has increased with resp

ect to the 5.77% of the

whole financial year of FY22 -23. But it has gone down by 0.04%. The gross margin upon turnover has been 5.86%. What has happened is that there are various factors these margins. One is the margin which we get from the projects which we execute on behalf of Ministry of Railways , the margin which we get from the building projects , the interest which we get which we park ed in the banks and the other fi nancial institutions then we get the dividends. So, this year this first 6 months the dividend from the Kutch R ail Company has gone down , has not been there because of the fact that they had executed in doubling and the electrification project costing arou nd 3 ,700 crores with the internal resources which has done a lot of value addition and in longer term and

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in time to come we can see that it will change the dynamics. We are going to have more traffic in that Kutch Rai l Company Limited , number one. Then th e O&M cost , the electrification cost vis-à-vis the diesel traction cost , it is almost half now. The entire section is the electrified. So, what I wanted to tell you is the very less margin which you are saying the very less number that is 5.9 % to 5.86%. Th e dividend is basically contributing , that contribution we do not get in the first 6 months from the Kutch Rail C ompany.

Nita Mohta: My bookkeeping question to you was that , in next 1 year do you see this margin as you were expecting it to go to a double digit sooner than later?

Rajesh Prasad : Earlier the projects were assigned on the nomination basis. Then the margins were fixed. But now the project s which we are taking from the marke t, while we are doing the bidding, we do the risk analysis and we allocate the risk factors also. The aim is also to get the order book and we are keeping sufficient margins available. I can tell you the first two projects of Indore Metro which we got in t he month of September - October , the margin is more than what we are getting from the nomination basis. Similarly , the first overseas projects which we are executing in Maldives , there the margin is also more than the projects which we used to get from the n omination basis. So, overall what I can say you is that there would be some projects where the margins would be less but there will definitely be some projects where the margin will be 10% which you are telling , it is only the time, and these projects are challenging. We'll have to execute in a challenging mode, and we will make sure that the margins are available at least whatever we are getting from the nomination basis.

Nita Mohta: In the last conclusion you had hinted at exports increasing as a percenta ge of your revenue. So, with this Maldives project and the others that you were hinting at, how can you rate the percentage of success on Rail Vikas Nigam Limited
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the bidding and the getting of the orders? Can you just quantify that as a percentage term?

Rajesh Prasad : Can you ple ase tell again?

Nita Mohta: The biding and the getting of the orders between that , can you just quantify the percentage wise that how much have you bid and how much did you get out of it?

Pradeep Gaur : The strike rate is around 35% to 40% depending on this thing. So , like this year we have bid , exact figures I do not know but we had reviewed it just a few days back. So , it was around 40% is our strike rate. Suppose we quote for 100 , we got in this particular year around 40.

Nita Mohta: So, would it be comfortable to guess that you will be having a 35% to 40% market share on an overall blended basis?

Pradeep Gaur : Yes, you can say so but depends on how many projects we will bid

because we are not bidding for 100% whatever is coming. So, we are doing a due diligence on which are the projects to be bid and which are not to be

bid because we have our strengths in particular areas where we are very keen on bidding. There are some areas where we are not comfortable we are not bidding. But what I can say is I will not speak of market share but what I can say is whatever we'll be bidding we will work to it that our strike rate remains around 35% to 40%.

Nita Mohta: And out of your 70,000 crore s order book that you said, so how much of it is from domestic and how much is from exports?

Pradeep Gaur: Actually, we do not do any exports per se. As of now we have only one project in exhibition stage beyond our country that is in Maldives, its value is around 1,600 crores. So, with the variation and all it may go even up to 2,000 crores. So, that is the project as of now which is this thing. But I take this opportunity to inform that we are trying to have our

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footprint in Middle East and Africa, and we are going in a very strong way. There are a lot of very promising projects are coming up, particularly railway projects in Africa, in Botswana, South Africa and other countries. We have established our office there. Similarly, we have established our offices in Oman and UAE. So, in time to come, you can see lot of our fair share of the projects coming from these areas and parallelly we are trying to look towards Vietnam because Vietnam is going for railway expansion in a big way. So, that will be one of our focus areas. But we are not averse to even participating in projects beyond railway, like Maldives is entirely a project which was nowhere even in the area of our expertise. But still we have gone there and performed there.

Moderator: Next question is from the line of Ketan Jain from Spark Capital.

Ketan Jain: I would like to know what would be a bid pipeline like what are the projects we've bid for recently and what are the projects we're looking to bid for?

Rajesh Prasad: I had said in the beginning that the railway infrastructure structures where we have got the proven record that becomes our area where we would prefer to execute. Metro segments, this is a highly technical segment, and we are technically very competent to execute these kinds of projects and we have proved this for the Indore metro. So, the metro segment is another segment where we are very comfortable. We have entered into the electrical distribution and transmission systems, even the Municipality in Ahmedabad and in the metro segments the complete project lifecycle, project different kind of like the systems, the track, the depot, the electrical system, then the complete civil engineering construction. So, the metro segments, the railway infrastructures, then all kinds of infrastructures.

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Ketan Jain: I was asking is there anything specific projects which are you looking to bid for currently in the pipeline?

Rajesh Prasad: I said just now in the beginning that yesterday only we were thinking. We have already decided to participate in two tenders costing around 2,000 crores for the DFCC, Dedicated Freight Corridor of Eastern sector from the Gomu to Somnagar. We have been working, we are basically seeing all the kinds of the tenders which are coming up and then we conduct internal meetings. We have got a bidding cell, then we do the prebuilt engineering, sometimes internally, sometimes engaging some consultants and accordingly we work out the dynamics. Recently we have got three projects awarded in Western Railway and in Central Railway. We are bidding for railway projects as well as projects beyond that. I'm sure in time to come we'll have a reasonably big order book to execute projects, both railways and non-railways.

Ketan Jain: My last question is about roads segment. Are we looking to bid for roads

and what is your view on NHAI

awarding in the next two quarters?

Rajesh Prasad : The road segment is another preferred segment because up to the formation level , the railway embankments and the road embankment is same. In fact , the railway infrastructure projects are much more complicated. And the NH AI we have got two models ; one is the basically EPC model and the other is the HAM model. H AM model , we have participated in few tenders. We have also got the orders and for the EPC also we have got few orders. The projects are challenging because sometimes it is at very remote location. For example , the Vara nasi to Kolkata the 6 laning project, it is basically falling in the moist area. The land acquisition is an issue , the encroachment s, the appointed dates . Sometimes yes the projects get delayed but we are executing. We have been getting orders from NH AI and this will again remain one of the preferred segments for R VNL in time to come.

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Moderator: Next question is from the line of I ndrajit Chakravorty from Script Trading.

Indrajit Chakravorty : My question is that I read , that recently the railways is proposing to expand the current —not expand but wide n the current —freight corridor and they have earmarked something like 4,00,000 crores for this purpose. So , do you have any information regarding it and can you please update on that?

Rajesh Prasad : Yes, presently there are two corridors , Eastern and the Western which are in the implementation phase and which have almost been implem ented in next 6 months to 1 year entire project will be completed and commissioned. Now the next phase , they have already started planning and executing. Some DPRs have been prepared for the various corridors and they have handed over this for execution by the zonal railways. Accordingly , few tenders have come up and we are participating in those tenders of the DFCCIL. So, yes, in time to come you will see that large number of tenders coming up for the DFC corridors in the various parts of talking.

Rajesh Prasad: 4,00,000 crores to widen from Calcutta to Delhi and stuff. The certain corridors will be expanded like widened so that it becomes very easy.

You are talking about the DF FC corridor ? I really don't know the technical term for that.

Rajesh Prasad : So, Ministry of Railway is having huge expansion program. They have made an NRP , National Rail Plan. In that particular National Rail plan whatever infrastructure is required by the year 2050 should be in place by 2030. So , in next 7 years you will be seeing large number of projects coming up. The idea behind this is that the present model share is approximately 26% which has to go up by 45% in the year 2015.

Indrajit Chakravorty : That means a huge opportunity for your company.

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Rajesh Prasad : Yes. There is another concept of the logistic cost. The logistics market of the country is more than \$250 million. I f you transport by road and if you transport by rail then the cost is almost half. The green transport system , basically railway is now 100% electrified. The model share is equally important. If you see the logistic cost in the country , it is 16% of the GDP and in order to compete worldwide it has to come down to 10%. So, the Government of India has come out with a logistic policy 2022 and the model share , the railway infrastructure that is why we are getting a lot of trust in implementation and commissioning of the railway infrastructure.

Moderator: Next question is from the line of Shivam Kumar Gupta , who is an investor.

Shivam Kumar Gupta: My question i s regarding India Middle East -Europe Corridor project which was announced in G20 summit. What role RVNL can play in developing that project? Shed some light on that.

Pradeep Gaur: Actually , RVNL as far as that Middle East Cor

ridor is concerned , so it

will be by financing by different countries including India. So, definitely we are looking it as a huge opportunity for us because it is purely railway sector and that is what is our niche area. So , we are very upbeat about it.

Moderator: Next question is from the line of Vishal Periwal from IDBI Capital.

Vishal Periwal: I think in terms of our revenue target for this year , can you provide what is the MoU target and what are we targeting in terms of growth rates in FY24?

Rajesh Prasad: We had earlier said that at the top line would grow marginally. But the bottom line I had said around 15%. So, last year we had a bottom line of 1,267 crore s, so we expect to be around 1,400 crore s. The top line we expect , this first 6 months we have crossed the 10,000 mark for the first time, so maybe (+21,000) crores .

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Vishal Periwal: Will it be available with us , the data of the revenue that we have done in first half , what is the nomination and what is the bidding project that we have executed ?

Rajesh Prasad : The projects which we had taken from the market , it is a very recent phenomenon . You'll have to appreciate that. So , the numbers which we are getting is only from Indore Metro , major portion is from Indore Metro , then the Maldives project and most of the projects are from the nomination basis. But in time to come , you will see the reflection from these projects which we have taken from the market and that will be getting reflected. So , the first 6 months the majority is from the Indore Metro and the Maldives project.

Vishal Periwal: In terms of balance sheet , we have done CAPEX in first half. And will it be possible to provide some detail in terms of investments in JV that we have done and plus at a standalone level there are CAPEX which we have done , capital advances which is there in cash flow ? So, this is for what and which side of JV we have made this investment ?

Pradeep Gaur: These JVs actually we have now different type of JVs. First is the JVs which were purely for railway projects where we had invested around 1,100 crore s. Now we have lot of JVs which are for different purpose like manufacture of Vande Bharat , then different HAM projects and 1 or 2 JVs for projects which are not HAM but similar projects. So, as of now Mr. Rajesh Prasad my colleague will speak further on this.

Rajesh Prasad: As far as the typical railway infrastructure projects are concerned , we had ASRL Angul -Sukinda , Bharuch-Dahej, Haridaspur -Paradeep, Kach Rail and Krishna patnam. So , these were the 5 SPVs which have been commissioned and they are in the operation stage. Then we have got the MMLPs. The concept of MMLP is that we had signed an MoU around 2 years back for 35 locations and 3 such MLLPs like Indore MMLP , Chennai and Bangalore. So , the SPVs have been the JV model. The JVs

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have been created with the NHLML and the local state government agency and there the private participation is not there. Then we have formed Kinet Railway Solutions. Basically , there we have got , initially it was a subsidiary. Now we are holding 25% share in this and this particular SPV will be executing the Vande Bharat train Express. Then we have got the Shimla bypass , the JV. Then we have got the Kyrgyzindustry, Kyrgyz Rail, RVNL close Joint Stock company. So , we have got the large number of SPVs and JVs and the MMLPs are likely to take up shortly. Kinet Railway Solution has already taken up industry , the JV . CMD sir has just now said that we are in active discussion with the government there for moving forward. We have already submitted the DPR etc. So, these are some of the details of the SPVs and if you are having any observation against for any particular SPV then you can ask.

V

ishal Periwal: No sir this is helpful , maybe one last question from my side on Vande Bharat. Two-part question , one is the order that we have already received. Can you give some timeline in terms of when we are supposed to submit the prototype and when the actual , we can start manufacturing Vande Bharat train ? And second is in terms of opportunity size , how big you see and any timeline that you have received from Ministry of Railway in terms of these many sets will be coming in next twelve months 24 months. That will be helpful.

Rajesh Prasad: So, this particular tender was for 120 number of train sets and the bid price was 120 crores per set. And these trains were also supposed to be comprehensive maintenance period. So , they were supposed to be maintained in three depots and the average cost of maintenance was 4% maintenance for 35 years and 4% per year per set . The roadmap was the submission of bank guarantee which has been done. Then execution of MCMA, that is the manufacturing cum maintenance agreement that has been done. Now the mockup is to be prepared a 3D model that how this rake will look like. Then first prototype will be 2 years after this MCMA. Second prototype will be 24 months plus 2 months and after these
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prototypes are approved 12 in first year ,18 next year and 25 each after that. And the maintenance will be done at Bijwasan , Jothpur , Bijwasan is in Delhi only Jodhpur and Bangalore. So , some works are also required to be undertaken there. So , at this stage we can tell you that the execution of MCMA has been done , mock up is being prepared and then the prototype will be made at La tu the factory which we have constructed the Marathwada Rail Coach Factory.

Pradeep Gaur: I will just add to that. Presently things are going very smoothly. We have a working group with our partner that is TMH Russia and things are moving this way. So , prototypes although the time is 2 years but we want to compress it , so that earlier we start the production better it will be for us because that will lead to better cash flows also. So , both of us we and TMH are working very great synergy in this direction.

Vishal Periwal: And in terms of opportunity also.

Pradeep Gaur: So, that is a very important part and what you have asked is I'm so thankful to you for asking this. It opens up huge vista of opportunities for us because we want to have a very strong vertical for rolling stock. It can be appreciated that as of now RVNL was virtually Nil as far as rolling stock manufacturing is concerned. So , this opens up really please don't mind my going over board on it but a flood of opportunities because lot of rolling stock manufacturing is going to come because as the system expands , like Indian Railways is trying to expand other railways are trying to expand. So, that will ultimately lead to huge expansion in the demand for manufacturing. So , like many countries are now realizing the importance of railways vis-a-vis road sector . Vietnam is trying to open , one Middle East is going to open one. And kindly appreciate some esteemed investor has asked just now before you , about the Middle east corridor. So, even that is rail based . We are very upbeat about it and I think it's the right time. It's an opportune time for us to
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have got into this manufacturing. So , it is a game changer for us as far as opportunity is concerned.

Vishal Periwal: And in terms of new tenders in Vande Bharat will this happen after the prototype is submitted or parallelly we see that new tenders will come to the market ?

Pradeep Gaur: The tenders will happen parallelly because we are going to have a big tender from Mumbai Metro and other even Indian railways. So , what has happened now , RVNL has got a huge visibility in this. Th

at the fact

that TMH has partnered with RVNL and RVNL being a public sector of Ministry of Railways, so it has given a huge market presence or market visibility for RVNL . So, we have been approached now by various

companies like Siemens Alstom, like some Malaysian manufacturing. A lot of companies have shown interest to tie up with RVNL just by the fact that we were partner in this Vande Bharat Express . So, this will go parallel ly. I can share, yesterday also we had a very detailed meeting with Siemens on this. Of course , Siemens have their own rolling stock. But we have told them that we have got alternatives to that. So, that we can do even more competitive bidding in this case. Because some of one or two companies in Malaysia , they are very cost competitive even compared to the West European companies.

Pradeep Gaur: Thank you.

Pradeep Gaur : Thank you so much and wish you a very Happy Diwali and Dhanteras .

Moderator: Thank you.

Moderator: Thank you . As there are no further questions , we would now like to close the call on behalf of IDBI Capital. Thank you for joining the call and you may now disconnect your lines.

Call: Jan 2024

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CIN: L74999DL2003GOI118633

RVNL/SECY/STEX /2024 12.01.2024

Sub: Transcript of Investor round table talk/webinar
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015
Dear Sir/ Madam,

This is in continuation to our letter of even no. dated 08.01.2024 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the company. Transcript of the said Concall is enclosed herewith. The same is also available on website as follows:

www .rvnl.org – Investor - Board Meetings, Board Committees & General Disclosure - General Disclosures

Link:

https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript08012024.pdf

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

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Call: Feb 2024

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CIN: L74999DL2003GOI118633

RVNL /SECY/ STEX /2024 13.02.2024

Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir /Madam,

This is in continuation to our letter of even no. dated 09.02.2024 regarding intimation of the Audio Recording of Conference Call with Investor s on the website of the company. Transcript of the said Concall is enclosed herewith. The same is also available on website as follows:

www .rvnl.org – Investor- Board Meetings, Board Committees & General Disclosure - General Disclosures

Link:

https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript_of_Conference_Call_with_Investors1.pdf

You are requested to take the same on your rec ords.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

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Company Secretary & Compliance Officer
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“Rail Vikas Nigam Limited
Q3 FY '2 4 Results Conference Call ”
February 09, 202 4

MANAGEMENT : MR. RAJESH PRASAD -- DIRECTOR OPERATIONS - RAIL
VIKAS NIGAM LIMITED
MR. SANJEE B KUMAR -- DIRECTOR FINANCE AND
CHIEF FINANCIAL OFFICER - RAIL VIKAS NIGAM
LIMITED
MS. KALPANA DUBEY -- COMPANY SECRETARY - RAIL
VIKAS NIGAM LIMITED

MODERATOR : MR. VISHAL PERIWAL -- IDBI CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Rail Vikas Nigam Limited Q3 FY24 Earnings Conference Call hosted by IDBI Capital. Ladies and gentlemen, kindly note the call will be for a duration of 45 minutes. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to you, sir.

Vishal Periwal: Yes, good afternoon everyone. First of all, apologies for the delay in the start of the call. So, from the RVNL management side, today we have with us Mr. Rajesh Prasadji, who is the Director Operations, Mr. Sanjeeb Kumarji, Director Finance and CFO and also in the team we have Ms. Kalpana Dubey, who is Company Secretary.

So, as usual, we'll have a brief from the management and then we'll have lines open for Q&A. And due to time constraint with the management, so we'll have this call for 45 minutes. Yes, so that's all. Over to you, sir.

Management: Okay, fine. Very good afternoon. So, this Rail Vikas Nigam Limited, a Navratna PSU under Ministry of Railway was incorporated in January 2003. So, it is 21 years old and we were earlier involved only for the creation of the railway infrastructure and contributed around 30% of all kinds of railway infrastructures. Last 12 years, it has been rated excellent. The CARE rating has been AAA; Outlook, Stable. It is a debt-free company.

And if you see the journey of 21 years, see, I will tell a few things about this particular company, that it is a very vibrant, relatively young. We have got the proven track record. And it is a mix of the efficiency of the private sector and authority of the untrustworthiness of the public sector. We have commissioned more than 16,000 route kilometers of railway infrastructures. And the expenditure wise, it is INR 1.5 lakh crores, which we have achieved.

We were also involved in the basically project-specific special purpose vehicles in creation of this SPVs and we have commissioned five number of such special purpose vehicles for creation of railway infrastructures.

And with these SPVs, the government of India has basically earned the traffic of INR 1,10,000 crores without a single passive investment. We have got the -- it is a very lean and keen organization with around 1,300 persons, including the contract engineers. So if you are having a turnover of more than INR 20,000 crores, so you can work out the kind of efficiency this company is having, that is around INR 14 crores per employee.

Now, if you see the journey of this 21 years, so I will break it into two parts, that is 2003 to 2014. And by that time, we had an expenditure of INR 15,600 crores. And in the next part, that is 1st April 2014 to 2024, it is INR 1,32,000 crores. We have now crossed the INR 1,50,000 crores mark.

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Turnover in FY23-2014 -- 2013-14 was INR 2,492 crores and 2022-23 was INR 20,300 crores. FY23-24, for the first time, it has crossed INR 15,000 crores marks. PAT in 2013-14 was INR 157 crores. In last year FY, we achieved INR 1,268 crores. And first three quarters in FY23-24 is INR 1,030 crores. Again, it is all-time high.

Now, if you see the commissioning part, the total railway infrastructure which was created up to 31st March 2014 was 5,100 kilometers. And subsequently, after that, we have commissioned 11,000 kilometers of railway infrastructures. Number of projects we had commissioned up to 2014, 40 numbers. And after 2014 -- 2024, we have commissioned 100 projects and handed over

over
railways for the operation.

So, what I wanted to project is that, here is a company which has been rated excellent for the last 12 years by Department of Public Enterprises. We have got an order book of around INR 65,000 crores. We will reconcile after 31st March, and then the exact numbers will be basically, we will be able to tell you.

We are involved in the complete project lifecycle that is the SLS, DPR, plans, GADs. We have got the innovative models for execution, excellent contract management practices, and we have got a very lean setup. We were earlier the government's biggest capex expander, and now we are transforming from the local rail infrastructure to global all infrastructure.

And if you see the performance of this particular company, in last five years, the PAT has become 2x. Turnover in last 10 years is 10x. Turnover in last 12 years is 14x. So, you can

understand that how this particular company has been performing. In fact, the models in last few years have changed. We have reformed, we have performed, and now we are transforming from the role of the contract manager to the contractor.

So, this is what exactly I thought I should brief in the beginning. And now, we will take up the questions and then whatever may be the questions, then accordingly we will react and try to give the answers, whether it is a Q3 number, future prospects or anything.

So, now over to you, Vishal, to please ask questions, and the time limit is 45 minutes.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Harshit, from BMW Health Advisor. Please go ahead.

Harshit: Good afternoon, sir. So, I wanted to know about the current order book, and how we are looking at the future one or two years, in terms of orders that we are winning except for railways? And an update on Vande Bharat trains as well?

Management: Okay, so I'll start with this. Earlier I had said that we have got an approximate order book of around INR65,000 crores, which roughly constitutes 50% from the nomination, that is the typical railway projects, and 50% which we have bagged from the market. So, this is the present model.

This is the approximate numbers. We will reconcile at the end of 31st March, and then we'll come back to you with the exact numbers of the order book. But roughly it is like this.

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Now, let us first talk about the Indian segments. The segments we are transforming from the local rail infrastructure to global infrastructure. So, we are now concentrating in all kinds of infrastructures.

And in India, we are basically, the railway segment is our main expertise, main area, main forte and the high speed, then the metro segments. We are executing seven cities, the metros, various kinds of projects in seven cities. Then we have diversified into so many other fields.

For the export business, we have got focus on the neighboring countries like Bangladesh, Sri Lanka, Maldives, Mauritius, African continent, where there is an eschewed funding, like LOC, World Bank, ADB, Zika, AFDB, Solar projects, then UAE also, the Saudi Arabia. We have recently participated in a PPP model project in Botswana, where we have been shortlisted. We are opening offices in some other neighboring foreign countries. So, these are the export business. And in India, yes, railway segment is a preferred segment. Metro segment is a segment where we are very comfortable, because it is very technically challenging.

Regarding this Vande Bharat, the project is on track. We have already signed the MCMA. MCMA is the maintenance from the manufacturing. The coaches will be manufactured at Latur.

And the first step after signing of MCMA is basically mock-up. That is basically the assignment has been given to a vendor who are doing this mock-up part. And after the mock-up, basically the manufacturing of the rakes will be done. And the schedule of the manufacturing is the first

prototype is required to be manufactured 24 months from the date of signing of the agreement. Second prototype within 60 days of that.

And then the supply program is like this, that after that, first year, 12, second year, 18, third year, 25, fourth year, 25, fifth year, 25, sixth year, 15. So, the project is on track and we are hopeful that we will achieve and we will try to deliver the best quality product in this particular segment, which is a totally new segment for RVNL.

Harshit: Thank you for the detailed answers. Have a good day.

Moderator: Thank you. Our next question is from the line of Rohit Natarajan from Antique. Please go ahead.

Rohit Natarajan: So, my question is more to do with the South African order. Like there is already a tender for Trans Kalahari \$10 billion project as such. What exactly is this project all about? I mean, what is the status of the subsidiary that you have started? Could you please elaborate more on that?

Management: We are working on so many foreign projects and since we are a listed company, whenever there is a positive development, these are the price sensitive information. Whenever there is a positive development, we will inform to the exchange and through the website of RVNL.

Rohit Natarajan: Okay. Sir, my second question is to do with the Vande Bharat order, the contract manufacturing was supposed to be awarded from the Russian agency to your organization. What is the status of that project?

Management: See, this particular tender was for the 200 Vande Bharat train sets, out of which L1 was given.

L1 is basically RVNL and then joint stock company, Metro Wagon Mass, and then joint stock

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company, LES. So, we have been given basically a contract of 120 train sets. These will be manufactured at Latur. And then there are three workshops where the maintenance facilities will

be upgraded. It has got a comprehensive maintenance component.

See, as far as the basically roadmap for these Vande Bharat train sets are concerned, the first thing was that the contract agreement was supposed to be signed. The bank guarantees, etc. was supposed to be submitted. So, accordingly, the MCMA has been signed. The mock-up is being now done. And now the schedule which I have already told that the supply of first prototype is 24 months from the appointed date.

Second is within 60 months, 60 days. And then subsequently, the program I had narrated earlier.

You wanted to know whether some vendors have been appointed or not. See, it is being done by a company, Kinet Railway Solutions, where RVNL has got a share of 25%. And the developments will take place only when the mock-up is ready. And once the mock-up is approved, then the real manufacturing will be done at Latur.

Incidentally, this Latur workshop was constructed by RVNL only. And in fact, for the trial purpose, we had also manufactured one coach over there. So, that factory is in readiness. And the handing over, taking over with the railway is going on. Since it is still under the position of RVNL, it has to be first handed over to railway. And then from railway, it will go to the Kinet Railway Solutions, a special purpose vehicle which has been incorporated in the month of April. We had earlier signed a shareholder agreement in that connection in the month of July 23.

Rohit Natarajan: I appreciate this point, sir. Could you please elaborate more on the current status of \$4 billion Kyrgyzstan project?

Management: Yes. See, basically, we were supposed to prepare the DPR. And it has got two components. One is the finalization of the alignment, the other technical specifications. And the project report, detailed project report. So, we have, if you recall, we had earlier signed an MOU.

For four projects, we had si

gned an MOU. And we had submitted the DPR for the Balakuchi and Kara catch line. And the total cost was around INR300 billion. And the DPRs have been submitted. The financial closure, everything is with the government. What they are doing is that they are evaluating the DPR, the financial closure, etc.

And once it is done, since we have already signed the MOU, and the projects will be transferred to us, and we have formed a company called Kyrgyz Industry RVNL Close Joint Stock Company.

So, we are very hopeful that very shortly... See, these railway infrastructures are complicated, number one.

And it passes through a complete project lifecycle. And the complete project lifecycle starts from the concept, then the alignment, then the DPR, then the financing. So, these steps have been already undertaken.

The financing part, the financial institutions have been contacted, which is being done by the government of Kyrgyzstan. And once they approve the DPR and the financial closure, which is Rail Vikas Nigam Limited

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almost done, immediately the project will be transferred to us. And it will be executed on nomination basis, just like the previous nomination of the government of India, Ministry of Railways. And probably the management fee is slightly better than the government of India's management fee.

Rohit Natarajan: I really appreciate those comments, sir. Finally, my question is on... We have been an asset light, a debt-free company, without any major assets on the balance sheet.

But given the nature of domestic landscape has dramatically changed, I recollect last time we were talking something about road projects, where the total landscape is moving towards BOT toll. And even in the African project, Transcary \$10 billion project, it's a DBFOT where you have to finance the project. So, incrementally, do you see business opportunities with lot of capital deployment? Is that the strategy going ahead? Will the balance sheet be bloated with debt?

Management: Yes, you are 100% correct. You must have heard in the newspaper that recently we had signed an MOU with REC, Rural Electrification Corporation, where the PFC is having 52% share. The idea behind this signing of MOU was that in case of any project financing, we will be much more comfortable when we deal with a government company.

And the MOU was that in next five years, around INR 35,000 up to INR 35,000 crores of project financing can be done. And in that particular MOU, they had also agreed for infusing equity in the railway infrastructure, SPVs. See, I will cite two examples of HAM model projects, the Paradeep Masakani project, which is 100% subsidiary, and then this Chhatra Expressway, where we have got a share of around 49%.

So, we need some kind of project financing, and that is why we had signed an MOU with REC.

And in time to come, whenever we need some kind of project financing, the cost of the project financing cost basically has to be loaded on the project, and the project should be basically viable, and it should be able to service the debt during the construction and otherwise also. And accordingly, the bid should be, the pre-bid stage will have to take care of that.

So, what I wanted to convey is that once we have signed the MOU with REC, and the other financial institutions are also ready, so in time to come, we can see that depending upon the kind of projects we will go to the market, and we will take the loan and debt, and accordingly we will plan for execution of the projects, various kinds of projects.

Management: I'll supplement to that. While we have an arrangement for working capital enhancement, but ultimately we want to remain asset light, and so we are choosing more and more projects where the mobilization advance and such other advances and financing is done by the client in a way like we did with the sale-bid project.

Rohit Natarajan:

Got the point, sir. In terms of order inflows in the coming years, domestic as well as international, what is that number that we are looking at? If you could really help us on some qualitative guidance to go by.

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Management: What exactly we want? We want to have a top line which should remain at around INR 20,000 crores to INR 22,000 crores level, but bottom line should grow, and all the time we want to have the order book of three times, three to four times of the basically turnover that is the top line. In that connection, we should maintain an order book of around INR 75,000 crores.

The inflow and outflow will be around INR 22,000 crores, INR 20,000 crores to INR 22,000 crores, because that is an optimal level, and the order book three times to four times means it is around INR 75,000 crores.

Every year there should be a new inflow of INR 25,000 crores of

orders. Regarding the breakup, I said the railway infrastructure is basically our forte, number one.

Metro segments is a preferred segment, and we are also diversifying in so many other segments.

Foreign projects, we are eyeing so many projects in foreign countries. I said in the beginning that which are the countries where exactly we are trying to enter into.

Two years back, we were totally depending upon the Ministry of Railways, and today we are having so many clients, and we are not only executing railway infrastructures, we are executing all kinds of infrastructures, and not limited to India, but also overseas. The first overseas project has also taken off very well. So what I want to tell you is that our main focus is that in time to come, we should have an order book of around INR 75,000 crores, and every year there has to be a new order of INR 25,000 crores coming to our kitty from the domestic market or the international market.

Rohit Natarajan: Got it, sir. I appreciate all the points. All the best.

Moderator: Thank you. Our next question is from the line of Rohan, an individual investor. Please go ahead.

Rohan: Hello. Am I audible?

Management: Yes, you are very much audible.

Rohan: So with regards to the formation of JV with Jackson Green, what is your plan with solar projects?

Management: Here at JV, at the moment we are looking at a project in Uzbekistan, and another one in Saudi Arabia. And both of these will be JVs with a 49% -51%, with Jackson Green doing the 51%. And since this is a short period work, around a year or so, maybe at this stage next year we will add it to both our revenues and profits.

Rohan: Thank you. And one last question is, what is the high-speed railways market potential and how can RVNL gain advantage from it?

Management: Basically, when you are talking about the high speed, we should also talk about the semi-high speed, we should also talk about RRTS, we should also talk about the Metro segments. So RVNL is presently executing the Metro in seven cities, out of which Kolkata Metro is on nomination basis and rest all the Metros we have faced from the market. So you have asked about the potential.

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We have got a subsidiary called HSRC and we were involved in prefeasibility studies of the various high-speed corridors connecting Delhi, Mumbai, Kolkata and Chennai. So the four sides and the two diagonals, and we had submitted the various reports, detailed report along with the financing models. So we were involved in basically planning of these corridors.

Presently, there is only one corridor which is under implementation stage, that is Ahmedabad to Mumbai, which is around 500 kilometers. And in time to come, you will find plenty of high-speed corridors. And in fact, I was going through one article that by 2047, 60% of the countries will have semi-high speed and the high-speed corridors.

So what I foresee is that by 2047, we will have

around 10,000 kilometers of high-speed networks.

And these are complicated and complex infrastructures. So here comes the expertise of RVNL,

which has a proven track record. And therefore, we see a lot of roles coming our way in implementation of the high-speed corridors, Metro segments and maybe RRTS is going to come.

Rohan: Okay. Thank you.

Moderator: Thank you. Our next question is from the line of Vishal from IDBI Capital. Please go ahead.

Vishal: Yes, sir. Thanks for the opportunity. Sir, in order book, will this breakup be available in terms of sector-wise, how exactly it is segregated; railway, power and others?

Management: Right now, I do not have, but roughly I will tell you that INR 65,000 crores, 50% of that, means around INR 32,000 crores or INR 33,000 crores is on the nomination basis, typical railway projects. And now, if you really want to have the breakup, so I can tell you that the share of the Vande Bharat is around INR 9,000 crores. And then we are executing seven number of Metro projects. So that will be around maybe of the order of INR 7,000 crores.

Chennai Metro itself is around INR 4,500 crores. Then we have got the works in the municipality. We have got the works in the electrification and transmission lines. We have got the works in the irrigation equipment. So altogether, we can -- I do not have the breakup, but yes, it can be done. And the rough break up is like this.

Vishal: Okay, sure, sir. And sir, in power sector distribution work, we have got a couple of orders. So any JV is formed and what exactly is the nature of the work, if you can just provide some color?

Management: There are various kinds of projects. Right now, I do not have the details, but just let me see. We are not involved in any JVs. We are executing ourselves based on our own credentials. And these are very important projects and unique nature of projects. We have got a different electrical -- one vertical, the electrical department who are looking after these projects. I will share afterwards regarding this.

Vishal: Sure. And sir, qualitatively, can we say that the margins in the power sector and others, it will be relatively better or probably equal to what we have been getting in nomination or any color if you can provide?

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Management: See, earlier we were getting the works on the nomination basis where the management fee was paid. Now since we are in the market, so the different projects will have different kinds of margins. And sometimes the margins will be better, sometimes the margin will be less. But I will cite examples of the first projects which we took from the bidding and the first international project which we took through the bidding. So first domestic project was Indore Metro because we cite examples because that is the oldest. We are very, very new and raw in this. So we got around two years and few months back and the project is nearing completion.

And in fact, four months back, there was a trial for the metro over a length of 6.6 kilometer and it became the fastest metro construction. Now the margin part, if you want to see that the margin in Indore Metro is slightly better than the margins which we used to get through the nomination basis. Similarly, the first overseas project for the development of basically harbor and the port, it is a very highly strategic project. But I can tell you that in last four, five months, we had done a reclamation of 22 hectares of land. And you can understand the kind of progress which we have made, number one.

Number two, margins in that particular project is also very good and it is slightly more than the margin which we used to get on the nomination basis. So the initial projects, whether in India or overseas, they are giving good results. See, these projects basically are challenging. And since we are fetching through the ma

arket, the challenges gets multiplied. And we'll have to work --

see, we are a professional company and we want that everyone who is working with the company should actively involve in resolving the technical issues technically.

We should do a lot of value engineering, which we are doing it, at the stage of pre-bidding, at the stage of execution. So let us see, but we are confident that in time to come. And the market has also been appreciating the approach and attitude of the company. And for a government company, it is not that easy that just you change your model that from the role of the contract manager, you become the contractor.

But we have done it, we have sown it and we have bagged orders. We have implemented also some of the projects after taking through the bid. So altogether, I can tell you that the company has got a bright future. We need to work basically in such a manner that the projects are implemented on time with proper quality, following the highest safety standards.

Vishal: Right, sir. And then one last question from my side. I think you did mention we are targeting a INR 22,000-odd crores kind of revenue. In the last one, two quarters, we are seeing probably like flatish sort of number on a Y-on-Y basis. Can you provide some color like -- in terms of range, will it be more towards the 20,000 or 22,000 for a full year basis for FY '24? That is my last question.

Management: Okay. So let me -- in the beginning, I explained that last financial year, we had a turnover of

INR20,300 crores. This year, FY '23-'24, first three quarters, it is more than INR 15,000 crores, all-time high. The PAT, the bottom line, was INR 1,030 crores, more than INR 1,000 crores in first three quarters. So what I wanted to tell you -- convey to all the investors that we want to have basically top line because that is the optimal level, almost optimal level. But we want to increase the bottom line.
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And the bottom line can be increased by doing a lot of value engineering. The scope of creation of infrastructure in the country or overseas are plenty. And that is why we need to basically find out the projects which are of the interest of RVNL. I have already told about the preferred segments and how we are going to execute that. We have also explained some of the models I have explained, the examples I have cited.

So what I wanted to tell is that the INR 21,000 crores -INR 22,000 crores is a kind of an optimal level. The bottom line, yes, it should grow. And now we have got plenty of segments. So accordingly, some of the projects may have lesser profit. But some of the projects can give very big margins also. So it is a mixed kind of thing. And the order book, I said that we will try to maintain 3x to 4x of the turnover every year.

Vishal: Yes, that's all from my side. And I think, yes, just to congratulate, I think order win has been pretty consistent with us. So congratulations on that.

Management: Thank you, sir.

Moderator: Thank you. Our next question is from the line of Dr . Manjorahmed , an individual investor. Please go ahead.

Manjorahmed: Good afternoon, sir.

Management: Good afternoon.

Manjorahmed: Sir, my question is, as you have mentioned that the top line will remain flat for the upcoming years, up to the five years. So what is your plan to increase the bottom line? Actually, in this quarter also, the bottom line has been 5 %. And the profit after tax has been decreased by 6 %. So can you throw some light on this?

Management: See, we have got the different models for the margins and earnings. We have got the model of the government -nominated projects. We have got the model of getting the dividends from the SPVs. And now we will have the earnings from the projects which we have taken through the bidding.

See, these projects basically are the areas where we can r

eally do a lot of value engineering at

the stage of pre -bid, at the stage of execution. They are slightly complicated and complex. And here comes the expertise. With the experience, with the kind of proven track record, I can tell you that we can do a lot of value engineering. We can reduce the cost.

We can execute on a faster track basis, faster manner. And if you execute the project in a faster manner, and if you really apply your value engineering and technology, then you will have certainly, you are going to have better margins in the project implementation. This is what we have shown in Indore Metro.

This is what we have shown in Maldives projects. The first Indian projects which we got through the bidding. The first overseas project which we got through the bidding.

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Management: Thank you, sir. Sir, one more question. Just now we have formed a joint venture with Jakson Green. So, what is the future plan regarding this? And how it will reflect in terms of revenue and operating profit margin?

Management: Joint venture with?

Management: Jakson Green.

Management: The joint venture with Jakson Green. Could you repeat your question?

Management: Sir, what is the future plan with Jackson Green? And how will it reflect on revenue as well as in terms of operating profit margin?

Management: Yes, those at the moment, we have a 49 %-51% JV, company JV that we have formed in India. RVNL Jakson Green. And the work that we will get, we will do it accordingly.

And as of now, we can only say that because it's a work that Jakson Green has the capability and we have the efficiency and interactions abroad. In the UAE, we have been active looking at the markets in Central Asia and UAE and Western Asia. So, we should be able to manage a profit which will be commensurate with our performances in other fields.

And Jakson Green is also, I mean, they have professionals who have been dealing with this, may not be with this company, but they have been. So, this JV has a synergy and we will be able to

do well.

Management: That's all from my side. Thank you, sir.

Moderator: Thank you. Due to time constraint, we will take last question from Smita from Kredent Info Edge. Please go ahead.

Smita: Yes. So, I wanted to ask one question, sir. The bidding order that you are executing or you are bidding for, out of that, what percentage would you say that you are able to get it in bidding out of the total order that you are bidding for?

Management: Okay. So, the first project which we got through the bidding in the year '21 in the month of October. So, it is around two years and four months.

So, it is altogether a new field, but over a period of two years and few months, we have bagged around INR33,000 crores, INR34,000 crores of order book. What we perceive is that in time to come, we are going to have more and more orders through the bidding, and this nomination project will get diminished over a period of next three years, next three to four years. So, your question again, could you repeat the question? What exactly was your question?

Smita: Yes, my question was, sir, that out of the total bidding that you make in a year, what is the percentage of bid order that you receive on your bidding?

Management: Success rate is around 24%.

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Smita: 24%?

Management: 24%, 25%.

Smita: Okay. And sir, because of this, is the, was the revenue of this quarter and profitability of this quarter down or is it something other than that?

Management: See, these are the basically margins of the projects which we had got on the nomination basis and their margin vary from 5.5% to 6%. So, this quarter also, it was around 5.6%. So, the basically, there is a very small dip and, but if you see the cumulative figure in terms of the PAT or in terms of

of the PBT, it is all time high.

Management: The dip is also lower because, a little bit, because as you, as Director (Operations) has mentioned so far, Indore and other, and the two older works have almost the same level of margin as the railway nominated works. And in other works which we have got gradually, most of it we are in the commencement phase and early stages. So, maybe, and so in the next quarter and next half year, these three quarters we will bounce back.

Smita: Which means? See, 24, a lot better than this quarter and then in last year?

Management: Yes, the margin in this quarter will be better than the current quarter and maybe even better than the last one.

Smita: Yes, but what about the revenue, sir? You said that you would be maintaining the revenue target, the top line that is.

Management: Yes, we will be maintaining both the revenue target and the margin. Margin will try to be little up and turnover also may go higher. Then, last year, 20,281 is also likely to be exceeded.

Smita: So, sir, what kind of growth can we expect in the top line as well as the order book in next two to three years?

Management: I said in the beginning that we want to maintain the order book which is around three to four times of the turnover. And the turnover, the optimal level is INR 20,000 crores to INR22,000 crores. But the bottom line, we would like to grow.

Presently, it is around, last year it was INR 1,267 crores. First nine months, it is more than INR1000 crores. This year, we would like to have around INR 1,300 plus crores. And maybe next year, we would like to grow in the same fashion which we have been growing in the last two to three years.

Smita: Okay, sir. Thank you.

Moderator: Thank you. That was the last question for the day. I now conclude the call on behalf of Rail Vikas Nigam Limited and conclude this conference. Thank you for joining us and you may now disconnect your lines.

Management: Thank you.

Call: May 2024

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CIN: L74999DL2003GOI118633

RVNL

/SECY/STEX /2024 22.05.2024

Sub: Transcript of Conference Call with Investors

Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir /Madam,

Th

is is in continuation to our letter of even no . dated 17.05.2024 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the company. Transcript of the said Concall is enclosed herewith.

T

he same is also available on website as follows:

www.rvnl.org – Investor - Board Meetings, Board Committees & General Disclosure – General Disclosures

Link:

https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript17052024.pdf

Y

ou are requested to take the same on your records.

Thanking y

ou,

Yours f

aithfully,

For Rail Vikas Nigam Limited

(Kalp

ana Dubey)

Company Secretary & Compliance Officer National Stock Exchange of India Ltd .

Exchange Plaza,

Plot no. C -1, G Block,

Bandra-Kurla Complex,

Bandra (E), Mumbai – 400 051

Scrip : RVNL BSE L td.

Department of Corporate Service,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai- 400 001 Scrip: 542649

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"Rail Vikas Nigam Limited

Post Results Earnings Conference Call "

May 17 , 202 4

MANAGEMENT : MR. RAJESH PRASAD - DIRECTOR OF OPERATIONS -

RAIL VIKAS NIGAM LIMITED

MR. SANJEE B KUMAR - DIRECTOR OF FINANCE AND

CHIEF FINANCIAL OFFICER - RAIL VIKAS NIGAM

LIMITED

MODERATOR : MR. VISHAL PERIWAL - IDBI CAPITAL

Rail Vikas Nigam Limited

May 17, 202 4

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Moderator: Ladies and gentlemen, good day and welcome to the Rail Vikas Nigam Limited Post Results Earnings Conference Call. Kindly note that the conference call is for 45 minutes. As a reminder, all participants' lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to you, sir.

Vishal Periwal: Yes, thanks, Sejal. Good afternoon, everyone. And I mean, extreme apology for the delay in the call. There were certain technical issues, so we're just trying to sort it out. And so, without wasting much of time, from the RVNL Management side, we have with us Mr. Rajesh Prasadji, who is the Director of Operations, and Mr. Sanjeeb Kumarji, Director of Finance and CFO. We'll have a brief on the gone-by results, and then we'll open the line for Q&A. Yes, thank you and over to you, sir.

Management: Yes, so as you all know that this particular company is not very old. It is a 21-year-old company, and we have been given the status of Navratna. And I would like to highlight a few things for the year 2023-2024, before we go to the numbers.

So, if you see in FY23-24, this was the all-time high top line, all-time high bottom line. Top line has grown by 7.15%, bottom line has grown by 17.94%. The first project in India, which we secured through bidding, was the Indore Metro project. And the first overseas project, the Maldives, which we had taken through the bidding process.

These two projects have given an earning of, the Maldives project was 11%, Indore project was 10.66% margin. And the turnover from these two projects were 986 crores, which is approximately 45% of the 2,255 crores of turnover in the bidding projects. So there is a quantum jump in the turnover of the bidding projects.

We started only two years back, and the earnings from these two projects were more than 10%. Which was more than the earnings and the margins, which we used to get from the nomination basis. During this financial year, we had commissioned the rail over rail bridge at Indore Yard, the first of its kind metro station at Majerhat.

And in FY23-24, we have completed 12 number of projects and the cumulative projects now, which we have completed is 152 numbers as on 31-03-2024. Then the commissioning part, the number of railway projects are getting reduced. But in one month, in the month of March 2024, we could commission 243 kilometers, which is again a record.

And on a single day in the month of March, we could commission 100 kilometers. That is again a big achievement for RVNL. In Rishikesh-Karnaprayag project, along with the Bhanupalli - Bilaspur Beri project, these are the national projects being implemented by RVNL.

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And in Rishikesh-Karnaprayag Prayag project, we had executed 60 kilometers of tunneling in one year. In the metro section in Kolkata, we have got commissioned three more sections inaugurated by the Honorable Prime Minister. And I have got few statistics.

If you permit me, then I can tell you that in last 10 years, the turnover in FY2013-14 was INR2492 crores. And this year it is INR 21,732 crores. So you can calculate how many times it has gone up. The bottom line in the 2013-14 was 157 crores. This year it was 1463 crores. The project expenditure on March 31st, 2014 is 15,600 crores.

And up to 2024 March, it is 1,55,000 crores. The 10 key projects, which is basically meant for the manufacture, maintenance of all kinds of rolling stocks, we had done two numbers. Now up to March 2024, it is

19 numbers.

And total railway infrastructure developed as on 31st March 2014 was 5,100. Now it is 16,300. And so there is a quantum jump and the performance during the financial year has been extraordinary. And the Bohe workshop, which we have completed and commissioned during this financial year, again, is a basically state of art kind of factory and has been appreciated by all. So RVNL has been moving forward. And I will say a few things about the business development.

Give me a second. Yes. So in the FY23-24, we have participated in 142 number of bids. And total bids cumulative up to March, we have submitted 286. So you can see that in last, we started the bidding in the second part of FY21-22. And in last two years and only a few months, we have participated in 286 bids, costing more than 1,50,000 crores.

And we have backed so many projects. The success rate is more than 20%. We have also submitted bids in the international market, Bangladesh, Maldives, Sri Lanka, UAE, Oman, and

Rwanda, Uzbekistan, Saudi Arabia, Nepal. So we are trying to increase our footprints. We have also submitted the expression of interest in Botswana Railways, then Namibia Trans Kalahari project team. So what I want to tell you is that we are trying to increase our footprints.

We have already opened international offices in South Africa, Oman, UAE, Maldives. So what I wanted to just tell you is that in time to come, we want to increase our footprint. And we really are very keen to increase the order book. Presently, the order book is around 85,000 crores. And earlier during the investors meet, I had said that in FY23-24, we are trying to get 21,000 crores plus the top line. And the bottom line, I had said 1,400 crores plus.

Both of the things have happened. And I had also said that we are focusing more on the bottom line. And that is why the growth rate of the bottom line is 15%. How much? Bottom line, it has increased by 15.38%. Regarding the SPVs, there has been a turnaround in Krishna Patnam Rail Company Limited. The traffic in terms of the loading million tons and the rakes have increased by 25% with respect to the previous financial year. And previous to previous financial year, it is more than 100%. So what I wanted to tell you is that Krishnapatnam and the debt of the Krishnapatnam has also gone down to 663, which has been taken from the financial institutions.

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The trade receivable is also improving. We are awaiting for the arbitration award. And everything is online. And we have got the efficiency of the private sector and the authority and the trustworthiness of government sector. With this motive, we have been working.

And now I have given enough feelers for the questions.

Moderator: The first question is from the line of Ranodeep from MAS Capital.

Ranodeep: Sir, I wanted to check any update on the Kyrgyzstan deal of INR 18,000 crores.

Management: We had earlier signed an MOU. Then what has happened is that we were given the assignment of preparation of the DPR, then tying up with the financial institutions. So we have prepared the DPR, the tying up, etcetera, has been done. And now the government of Kyrgyzstan is working on this. And see, the project life cycle has got different stages.

So in that particular project, nothing was available. So the initial stage that the concept, the alignment, the DPR, etcetera, have been done. The discussions have also been made with the financial institutions for the financing part. The project is very much viable. And we had signed MoU for four projects. And we are very keenly waiting for the approval of the DPR and also the approval for the project implementation.

Ranodeep: Sure. Noted, sir. Thank you. Sir, a question on the overall macro, sir. Like if I see, like 2019 our sales used to be around INR 10,000 crores and five years down the line, w

e are talking about

INR 21,000 crores. Similarly, I think in terms of profits also, 2019 our profits used to be around INR 680 crores, INR 700 crores. And now we are at around almost touching INR 1,500 crores. So both the sales and profit has been doubling over a scale of five years. Now in the backdrop of we having an order book of almost INR 85,000 crores, do you foresee the same trend continue in the next five years to come?

Management: Okay. So let us -- you have asked about the numbers. So the PAT has increased, it is 2.4 x in last six years. This year it is INR 1,463 crores and six years back it was only INR 600 crores. In terms of the top line, if you see, previous year it was 20,281. So there is an increase of 7%. But previous to previous year, it was 19,381. So that increase was roughly 5%. But previous to previous year, that was in the year 2021, it was 15,710. So we are coming on the track.

There is an increase in basically top line by around 7%. The bottom line is increasing by 17.94%.

We have all the time saying that -- we have been saying that we are more focused towards the bottom line. We want to get the better margins. And we want to grow with this tradition that the top line may increase by 5%. The bottom line growth, which is roughly 15%, should continue over the next five years.

Ranodeep: Very heartening to know that, sir. Thank you for that. So my last question, when it comes to the margins for our nominated railway projects, if I am not wrong, we work at an 8.5% model. Now, if I combine this with the project that you are bagging from the market, what is our aspiration in the coming years in terms of margins, what kind of numbers are we looking there?

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Management: See, earlier we were executing the projects on the nomination basis where the margins were fixed as per the revenue stream fixed by the Ministry of Railways. Now we are in the market, so

there would be some projects where the margin will be less. There will be some projects where the margins will be very good. So I will cite first project which we took through the bidding in Indore Metro . In the FY '23-'24, it has given the margin of 10.66%. And the first overseas project of Maldives , it has resulted into a margin of 11%.

And the total turnover in these two projects is roughly INR1,000 crores with a margin of 10% plus. So what I want to tell you is that it depends upon your ability to execute the projects, what kind of value engineering you want to take, and what kind of basic planning, etc etc, the procurement and then timely delivery , everything is basically required to be considered. And then we have proved that yes, from the market also we can earn. And these two first projects in India, first project in overseas have resulted into a margin of more than 10%.

Ranodeep: Appreciate all your responses, sir. Thank you and all the best.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus Securities . Please go ahead.

Shreyans Mehta: Yes, thanks for the opportunity. So my first question is pertaining to the Vande Bharat trainset, you know, the order which we had won. So I just wanted to understand in terms of capex in case if we have to invest anything. And secondly, do we get any mobilization advances, you know, to start this project?

Management: You please again repeat the question because your voice was not at all clear.

Shreyans Mehta: Sure. So my question is pertaining to the Vande Bharat trainset order, which we had won last year.

Management: Can you speak slowly?

Shreyans Mehta: Sure. So my first question is pertaining to the Vande Bharat trainset order, which we had won under the GV. So in that, do we need to invest in terms of capex, if at all, number one? Number two, do we get any advances before we start work? And third,

just related to it, will we stop here

or keep on building under the GV for this project?

Management: I could not follow the question?

Shreyans Mehta: I guess I'll join back in the queue.

Management: Periwali ji, can you repeat the question because the audio is not clear from his side?

Vishal Periwali: Sure. So, sir, my first question is towards Vande Bharat. Do we need to incur any capex for starting this project? Number one. Number two, will we get any advances from the, you know,

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the party who has awarded this project? And so this too, you know, would be the first question, I guess.

Management: Okay, so let me answer a few things. Let me give you some background about the status of the project. As you know that we have been awarded a contract for manufacture of 120 trainsets. This will be manufactured at Latur. So as per the contract, we have got a shareholding in the SPV, where RVNL is having a share of 25%. The agreement was signed in the month of September 2023.

Equity injection till date by RVNL is INR 151.7 crores. See, the layout and the colour scheme of the trainsets is under approval with the ministry. And we have provided the different options. Then the mock-up, for the purpose of mock-up, we have already awarded a border contract to a company called M/s. Kinco , a Goa-based company. And we have submitted the colour scheme. Mock-up is under, in advance phase of product basically completion.

And the schedule of manufacturing is that we have to start from the November, December 24.

And the first prototype supply is likely to be completed by September 25. And then in first year, 12 numbers, second year, 18 numbers, third year onwards, 25 numbers. So, and along with this manufacturing, we are supposed to maintain. So, there are three maintenance depots. One is near Jodhpur, one is in Delhi, and the third one is near Bangalore.

So, the layout, etc etc, has been approved in Bangalore. So, it is under finalization. And then these three maintenance depots are required to be upgraded. So, the present status is that Latur workshop is fully ready. Mock-up is likely to be completed and concluded. The proposed colour scheme and the options which we have submitted to the Ministry of Railways is likely to be approved very shortly. And regarding your infusion about the equity, we have already injected around INR151.7 crores for this particular project.

Shreyans Mehta: Sure. And how much will we be investing more or this is the max we have to invest?

Management: As the project keeps on moving forward, we may have to infuse more.

Shreyans Mehta: Got it. So, just extending the question. So, now, you know, once we deliver, once we, you know, we approve the design and stuff, and once we, you know, deliver the first set of trains, suppose that can we bid on ourselves or, you know, we will be dependent till the time we deliver the

entire project to the railways?

Management: Then again, your voice is not very clear. So, Mr. Periwal, you please again tell.

Vishal Periwal: Sir, actually, the question was that, you know, once we have delivered this project, and so can we bid on our own going ahead for Vande Bharat opportunity or the tie-up that is there with the Russian...

Management: It depends upon the client. The client's requirement of eligibility criteria varies from one client to other clients. RVNL is a big company. It is a Navratna company. We have got all kinds of

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exposure and experience. So, depending upon the client's eligibility criteria, if it will fit, then we will go alone.

See, we have made a policy even for the different kinds of infrastructure projects that if we are having the credentials, we are going alone. We are not tying up with anybody. And here is also the case that if some client wishes that

the eligibility criteria, we will be able to satisfy, then we will go alone. There is no point to go with anybody else.

Shreyans Mehta: Got it. And, sir, one last question. How much have you invested in, you know, different JVs till date and how much we do need to invest?

Management: In this Vande Bharat project?

Shreyans Mehta: No, no. In the roads and, you know, the other SPVs which we have.

Management: So, what exactly you want to know?

Shreyans Mehta: The investment. How much have we invested?

Management: How much we have invested in the various SPVs? Right.

Management: Around 1,600 crores.

Management: INR1,600 plus crores we have invested in the various SPVs, which includes the five number of special purpose vehicles of the basically typical railway infrastructures. Then we have got the MMLPs, the multi-modal logistics, which are coming up at Chennai, Bangalore, Indore and Pune.

Then we have got some companies like this Chatra Expressway Limited, where we have got a share of around 50%. Then we have got, there is a Chandikhole-Paradip, where we have got the 100%, that is 100% subsidiary. So, altogether you can say that around INR 1,600 crores plus we have invested in the various SPVs and JVs and then other companies.

Shreyans Mehta: And in next one, two years, how much do we need to invest, if any incremental investment?

Management: See, we are, we have got a turnover of around INR 21,000 crores, order book of INR 85,000 crores. We want to grow the top line at a rate of around 5% to 7%. And in order to grow like this, all the time we want to maintain an order book of around INR 75,000 crores to INR 1 lakh crores. INR1 lakh crore is an aspirational target. And whatever opportunities come, we will try to infuse the equity. But we are also guided by the Ministry of Railways, Government of India, where there is a restriction that beyond certain limits, you will have to go to the Ministry for the approval.

So, what I understand is around 30% of the net worth we can infuse, which is around, in this time net worth is 7,000 today? Net worth is around 7,000. So, 30% of the net worth we can infuse. And beyond that, if you want to invest, then you will have to go to the Ministry of Railways and Ministry of Finance. So, what I am saying is that, with our objective, whatever

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opportunities come, either we will be able to approve it ourselves. The net worth is around INR7,867 crores. So, roughly INR 8,000 crores.

Management: Up to INR2,200 crores.

Management: So, up to INR2,200 crores, we can infuse the equity.

Shreyans Mehta: So, sir, I'll put the question in a different way. This 1,600, is the 100% what we have to invest? Or is there any incremental investment in this SPVs which we need to do over the next one or two years? Only from this project?

Management: The biggest problem today is that the voice is getting cut. I do not know what is the problem. So, somebody can speak slowly and then I'll be able to listen. Mr. Periwal, you please tell what exactly is the question. You repeat the question, please.

Shreyans Mehta: Sir, my question is...

Management: Don't speak near to the mic, just keep slightly away and then speak slowly.

Shreyans Mehta: Okay, sure, sir. So, my question is, we have invested INR 1,600 crores in this SPVs, be it MMLPs and other stuff. Now, do we need to invest anything additional beyond this in these projects only?

Management: Yes, depending upon the requirement, we may have to invest.

Shreyans Mehta: So, I want that amount over the next year ?

Management: The amount is again, it depends upon the situation and the conditions. And we cannot foresee at this very moment. What I can tell you is that if it is beneficial, everything has got the financial assessment. And if it is in the interest of the project, if it is in the interest of R VNL,

certainly we

will invest. There is absolutely no doubt about it. But if our investment is going to give some negative results running into the losses, then why to invest? So, we will work out if it is financially viable, good for the health of the company, we will definitely invest even in the existing companies.

Shreyans Mehta: Got it, sir. That's it from my side. Thank you and all the best.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Tushar Raghatate from Kamayakya Wealth Management Private Limited. Please go ahead.

Tushar Raghatate: Good afternoon, sir. And thank you for the opportunity. Sir, I just wanted to know...

Moderator: Sorry to interrupt you, sir. May I request you to use your handset, please?

Tushar Raghatate: Sir, I just wanted to know like what percentage of our order book is high-speed railway traveling?

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Management: See, high -speed, we have got nil work order, order book. And we have got basically metros, railway projects, metro segment is a preferred segment. We are executing metros in seven cities. And high-speed, your question is, what is the percentage in the high -speed? Presently, it is zero, but we are very keen. And if you go through the draft vision, which is for the Vi ksit Bharat 2047, a huge plan is there for infrastructure building in the high-speed corridors. And RVNL is technically very competent and having proven track records. We would like to have good order for the high-speed network as well.

Tushar Raghatate: Can you just give me the range of the margin profile in that order?

Management: Margin in what projects?

Tushar Raghatate: Like any high -speed track lane in order.

Management: We do not have any order for the high-speed. And the margin for the nomination projects is fixed. It is 8.5%. And for the projects which we are taking -- the margins will vary from the project to project, because every project's nature is different. No two projects are identical, number one. Number two, all are having different kinds of financial risks. We are doing some value additions.

We are allocating risk. But at the same time, we are also eyeing for the margins. So I have cited two examples of the Indore metro and the Maldives project, which are our first project in India and first project overseas, which we have secured through the bidding. They are the margins which have come for the year '23, '24 is more than 10%.

Tushar Raghatate: Very nice, sir. That was helpful. Thank you.

Moderator: Thank you. The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.

Vishal Periwal: Yes, sir. Thanks for the opportunity. Sir, you did mention that the current order book is INR85,000 odd crores. Can you give a break up in this nomination and bidding? What is the amount?

Management: See, around 36,000 exactly exact numbers I may not be having, but you can say 40, 45 kind of break up.

Vishal Periwal: Okay, so 40 is now, I mean, we are moving to bid now.

Management: Remaining bidding, bidding, bidding.

Vishal Periwal: Okay, okay. And in this, will you? I mean, can you any any color on major orders that we have or if it is handy, I mean, readily available with you?

Management: What order you want to know?

Vishal Periwal: Major, maybe key orders that we are executing and the size of it.

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Management: Okay, so let me, I had already spoken th at in '23, '24, we have participated 142 bids, total 286 bids, and the success rate is more than 23%. International market, I have already cited some of

the tenders, EOI submission that I have said, the offices which we are opening that I have said. And then we have got, just hold on. So, you want to know some projects where, new projects you want to know?

Vishal Periwal: So, bas

ically the INR 85,000 odd crores order that is there, maybe like key 4 -5 orders and the size of it, if it is available ?

Management: Let me, let me talk about the signaling system. So, this is a new vertical. So, we have got order worth more than INR 700 crores. In that particular INR 700 crores, in Southern Railway, we have ABS, provision of ABS in Jolarpatti Road Junction of Salem Division, that particular project is costing more than INR 239 crores, roughly INR 250 crores. So, this is a big project. And we have got plenty of scope for the S&T works.

Then, if you want to know the electrical works, we are executing all kinds of works, which includes the electrical system, metro system. So, we have got the different verticals, we have started executing the metro segments, like we are executing depot, we are executing track work, we are executing electrical and S&T system, we are executing civil engineering works, station works, underground metro packages. So, we have got the complete segments.

In the electrical portion, we have got plenty of projects, even in the state government projects and metros and the railways, 2 into 25 KVA. So, we have got large number of projects. It is very difficult to tell the details about a project, but I can tell you that the company has been growing.

Two years back, we had zero project through the bidding and on all of a sudden, you have got these huge numbers.

Vishal Periwal: Sure, sir. Sure. And then, in the 20% success rate in orders that you mentioned, what is the order inflow in FY '24 in rupees, crores or anything that you can share, quantum?

Management: Please tell me again.

Vishal Periwal: Sorry, sir. Sir, I was saying, our success rate is roughly 20%.

Management: More than 20%, yes.

Vishal Periwal: So, in order inflow in rupees crores, can you mention what is our inflow in FY '24?

Management: Inflow in FY '24, okay. So, '23-'24, we had participated 142 bids costing around INR 65,000 crores. Out of that, 76 were civil engineering, 36 were electrical, S&T was 29. And the success rate in the civil engineering was 23.24, 21.91%. Electrical, the success rate was much more. It was 35.78%. And S&T was 14.27%.

Vishal Periwal: So, order inflow in FY '24 will be like 65,000, can we do like 20% of that? So, that is the inflow?

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Management: Exact number I do not have. But yes, you can imagine that whatever bids we are submitting and roughly the success rate is around 20% plus. So, you can calculate that how much is the orders which we have bagged from the market.

Vishal Periwal: Sure. I will come back in the queue, sir.

Moderator: Thank you. The next question is from the line of Ranodeep from MAS Capital. Please go ahead.

Ranodeep: Thank you for the opportunity. Sir, I wanted to understand have quantified the opportunity that we have for the IMEE EC the corridor that the Government of India has planned?

Management: Tell me again, which corridor?

Ranodeep: India Middle East.

Management: So, yes, this was announced in G20 and see it has got big opportunities for RVNL. It has got the basically railway segment. It has got the marine segment. We were working in the marine work for the Maldives project. Earlier, we had executed bridges in the backwater. So, we have got the exposure of executing the marine works. We have got plenty of exposure of Indian railway track works.

We have commissioned more than 16,000 kilometers of railway infrastructure. So, as far as the capabilities is concerned we are fully capable. We have got the proven track record. In last 13

years, we have been rated excellent by the Department of Public Enterprises. See, this particular project it is still under the concept it says a lot of things are happening.

And the moment the DPR etc prepared, the contracts, the tenders are called, we would be very

y

keen to enter into this and it is our strong forte and we are 100% confident that if we get the opportunity we will be able to deliver the project with the best quality possible following the highest safety standards. And it is going to be a very big opportunity for all kinds of infrastructure companies and RVNL is certainly going to get the benefit out of this.

Ranodeep: Thank you, sir. My last question, in terms of railway electrification, which used to be a major component of our order book and I believe if I am not wrong I think more than 90% of our country is already railway electrified. Are we still looking at this opportunity in the years to come?

Management: See, this railway electrification in terms of the quantum, the kilometer wise it looks big, but in terms of the value it used to be very less. I can cite the example that for a doubling or the third line project, suppose it is around INR 15 to INR 20 crores per kilometer the railway electrification cost around INR 1 crores per kilometer.

So, the railway electrification in terms of the money was not very high. Whatever assignment was given to R VNL more than 99% has been done. We are not looking for that particular opportunity in India because more than 95%, 98% electrification has already been done and the scope is not available.

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So, if you see the aim of the government of India, what were the aims? The number one was that the green transportation system which includes the railway electrification then connecting the unconnected area which is good for the economic and social growth of the country. So, we are again looking for that.

Then the, basically, capacity augmentation project, there are some routes which are highly congested. Presently, the traffic loading is around 1,500 million tons. They are planning 2,000 by 2030, 3,000 million tons. For that, the capacity augmentation projects, there are a large number of projects which will come up.

We are keen for that. Then the turnkey projects, then in the manufacturing process, safety, quality, safety, S&T work, signalling and telecommunication work. So, we are very key station development work. But we are basically interested more and more interest in capacity augmentation projects because that is the kind of projects which we have handled in the past.

We have got the expertise in execution of this typical railway infrastructure project.

Ranodeep: So, my last question, sir, if I'm not wrong, we did a JV with a South African company Jackson Green which was in the solar sphere. So, I wanted to understand what is our aspirations of getting into solar?

Management: We are looking for the opportunities, all kinds of opportunities. We have got a very beautiful tagline from local rail infra to global all infra. So, earlier we were executing we used to have only one client, that is the Ministry of Railways and we are executing all the railway infrastructure.

Now, we have entered into the international market and it is not limited to the railway infrastructure. So, we are very keen for these kinds of projects where the plenty of scope is available worldwide. So, in that initiative, we have entered into that and we are 100% confident and sure that we will be able to deliver those projects with very good margin in time to come.

Ranodeep: I appreciate the response, sir. Thank you and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Ketan Jain from A vendus Spark. Please go ahead.

Ketan Jain: Sorry if my question is repeated. My question was on order inflow guidance for FY25. What is the order inflow guidance for FY25 and revenue guidance for FY25?

Management: See, I had given you the number that in FY23-24 we have participated in 142 number of bids costing around INR 65,000 crores. For FY24 -25 we will definitely be participating in

more than

150 bids costing more than INR 75,000 crores. Success rate is INR 20,000 crores. So, you can calculate the kind of inflow which we are expecting. All the time, we want to have the order book to be three, four times.

If our turnover this year was INR 21,700 and next year we plan for INR 23,000 crores, So the order book all the time should be available INR 92,000 to INR 1,00,000 crores. So, the basic

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parameter which we want to monitor is that we should have the order book all the time three to four times and roughly INR 1,00,000 crores. And accordingly whatever we are participating in the market nomination has been totally stopped. So, whatever order book inflow will be there, it will be through the bidding only. So, we would like to have the inflow of approximately INR 20,000, INR 25,000 crores in a year.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will take that as the last question. We would conclude the conference now. On behalf of Rail Vikas Nigam Limited, thank you for joining us and you may now disconnect your line.

Call: Aug 2024

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CIN: L74999DL2003GOI118633

RVNL/SECY/STEX /2024 19.08.2024

Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir /Madam,

This is in continuation to our letter of even no . dated 12.08 .2024 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the Company. Transcript of the said Concall is enclosed herewith.

The same is also available on website as follows:

www .rvnl.org – Investor - Board Meetings, Board Committees & General Disclosure – General Disclosures
Link:
https://rvnl.org/RVNL_cms/uploads/boardmeeting/Finaltranscript12082024.pdf

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

(Kalpana Dubey)
Company Secretary & Compliance Officer
National Stock Exchange of India Ltd .
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Bandra-Kurla Complex,
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Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
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Mumbai- 400 001
Scrip: 542649

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

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CIN: L74999DL2003GOI118633

RVNL

/SECY/STEX /2025 14.0 8.2025

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ranscript of the audio call is available on the website at the below link:

https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript12082025.pdf

You are requested to take the same on your records.

Thanking y

ou,

Yours f

aithfully,

For Rail Vikas Nigam Limited

(Kalp

ana Dubey)

Company Secretary & Compliance Officer National Stock Exchange of India Ltd .

Exchange Plaza,

Plot no. C -1, G Block,

Bandra-Kurla Complex,

Bandra (E), Mumbai – 400 051

Scrip : RVNL BSE L td.

Department of Corporate Service,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai- 400 001 Scrip: 542649

Page 1 of 9

“Rail Vikas Nigam Limited Q1 FY '26 Earnings
Conference Call”

August 12, 2025

MANAGEMENT : MR. PRADEEP GAUR – CHAIRMAN AND MANAGING
DIRECTOR, RAIL VIKAS NIGAM LIMITED

MRS. ANUPAM BAN – DIRECTOR PERSONNEL, RAIL
VIKAS NIGAM LIMITED

MR. M. P. SINGH – DIRECTOR OPERATIONS , RAIL
VIKAS NIGAM LIMITED

MR. CHANDAN KUMAR VERMA – CHIEF FINANCIAL
OFFICER, RAIL VIKAS NIGAM LIMITED

MODERATOR : MR. VISHAL PERIWAL – ANTIQUE STOCK BROKING

Rail Vikas Nigam Limited

August 12, 2025

Moderator: Ladies and gentlemen, good day and welcome to Rail Vikas Nigam Limited Q1 FY '26 Earnings Call hosted by Antique Stock Broking. Please note that this call will end at 3.40 pm in the Indian Standard Time.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '**', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vishal Periwal from Antique Stock Broking. Thank you and over to you, sir.

Vishal Periwal: Yes, thanks and good afternoon, everyone and apologies for the slight delay in the start of the call. I welcome you all for the Quarter 1 FY '26 Post-Result Earnings Call of Rail Vikas Nigam Limited.

The dais for this call is led by the management team of RVNL, starting with Mr. Pradeep Gaur Ji, who is the Chairman and Managing Director; Mrs. Anupam Ban Ji, who is the Director Personnel; Mr. M. P. Singh Ji, Director Operations and accompanied by Mr. Chandan Kumar Verma Ji, who is the Chief Financial Officer.

So, as usual, we will have a brief from the management and then we will have lines open for Q&A. Thank you and over to you, sir.

Pradeep Gaur: Thank you so much and it is a pleasure to interact with investors. So, I think without much wasting of time, we will take your call because time is limited. So, we are ready to answer all the queries from the investors. Hello, Mr. Vishal.

Moderator: Hello. Yes, sir. Should we go ahead with the questions?

Pradeep Gaur: Please go ahead because we are constrained for time today. So, we can go ahead.

Moderator: All right. We will now begin the question-and-answer session. The first question is from the line of Mr. Vishal from Antique Stock Broking. Please go ahead, sir.

Vishal Periwal: Yes, sir. I think the result got posted some time back. So, I think maybe that is the reason people are just absorbing the result. So, if I can ask a few questions, can you share a couple of updates in terms of like, what has been the order inflow last quarter, how we have closed the order book, anything that can be provided?

M. P. Singh: Good afternoon. In this particular quarter, there has been some order inflows from civil engineering and electrical engineering. The total orders won in this quarter is roughly of value of Rs. 1,000 crores and total contracts which are now organized, one stands at around 96 contracts. The residual value of the contracts which we have won through open bidding is around
Rail Vikas Nigam Limited
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Rs. 60,500 crores and coupled with our orders, which are our legacy railway projects, that is around Rs. 41,000 crores. So, roughly, the order book of RVNL is Rs. 1,01,000 crores, which is unlimited.

Vishal Periwal: Right, sir. And in terms of also that usually we do provide the split of this order book, anything on sector wise, how this is panning out, anything that you can provide?

M. P. Singh: Our order book is spread out on various sectors. The orders which we are having from the civil engineering contracts, which is from the railways, highways, metros, the orders are around Rs. 26,000 crores. Orders which are from the electrical is around Rs. 10,900 crores and orders from signalling and telecom is of value total is around Rs. 14,700 crores. In civil engineering part, our orders are in metro sector of roughly around Rs. 10,000 crores. The highway sector is around Rs. 9,000 crores and the civil engineering sector, which includes traditional railways, irrigation etc., is around Rs. 7,000 crores. And electrical is spread over the overhead electrification that is 2 x 25 conversion in railways. Then RDSS that is a distribution system of the state transport

s is

a major component and the transmission line also comprises of a major segment. And other than that, in the signaling sector, we have got some of the railway contracts for automatic signalling or through modernization form of coverage system and a major contract of BharatNet, in which the capital cost is around Rs. 6,800 and considering the complete O&M cost is spread over a 10-year period, it will be around Rs. 13,000 crores. And we have got a significant order of Vande Bharat manufacturing also, of which the capital cost is Rs. 8,640 crores. That is RVNL's share in the JV. That is the roughly breakup of the different sectoral orders along with the railways, RVNL.

Vishal Periwal: Got it, sir. And in terms of our revenue profile earlier, at the end of Financial Year '25, we were hinting that we can clock a revenue growth of in the range of 10% odd. So, given, I think what I have seen that the 1st quarter has been a bit of muted for us and also for the industry. So, how do you see this growth number panning out for us for the full year?

Pradeep Gaur: Actually, let me say it. I think the situation is very much in control because of course, as

expected, the proportion of turnover from railways is coming down. It is in the range of almost 25% down. But kindly appreciate that turnover from bidding has increased by 3 times. So, now, this sort of balancing will happen because the turnover from railways will continuously slide. But it will be compensated by increase in the turnover from bidding project. So, I am sure that because overall, now it is minus 3.42% as of 1st quarter. But now, I can share it that we have gone beyond, gone more than last year as we stand today. So, things will change and things will rise again. This turnover will be not only able to match last year, it will increase it also.

Vishal Periwal: That is heartening to hear that, sir. And even, particularly on the margin front, I think we are noticing there has been a bit of pressure on the margins for this quarter. So, is it fair to say it is primarily a couple of line items, like other expenses they have increased and even, like, the other line item particularly increased, which you are seeing. So, that is more to do with like, the

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competitive bid projects, they are entering into revenue recognition. So, their margins are a bit lower or anything that can be provided to explain the margin dip, sir?

M. P. Singh: Actually, when you see the gross margin, there is a slight dip in the gross margin by roughly 13.57%. It is due to mainly the income from MoR has decreased, but the income from projects from bidding has increased by, say, 67%. And net margin decreased, there is a reason for that because some of the onerous contracts where some loss has been recognized, they have been accounted for. And in BharatNet project, there were some pre-bid expenses, they were also accounted for roughly value of Rs. 20 crores and Rs. 40 crores due to the onerous cost. So, this Rs. 60 crores has gone into, which has decreased our PBT, and which ultimately resulted in decrease in PAT.

Vishal Periwal: Sorry, sir, I just missed on that. So, Rs. 60 crores, what was the nature of that? Sorry, I missed.

Chandan Kumar Verma: Yes, basically, there is a one-time expenditure in a BharatNet project in which we have done one consultancy work, pre-bid consultancy work for the bidding survey and bidding all that thing. This is a one-time expenditure which has been booked in expenditure, indirect expenditure. Further, a few commercial decisions, maybe it is too early because in most of the bidding projects we have taken on a spread basis, expenditure just started booking in these projects. That is why there may be.

M. P. Singh: It will not be a final picture.

Chandan Kumar Verma: We anticipate that there may be some losses at the end of the project, but in due course, we are doing

the value addition. We have some change of scope, which we have to get sanctioned from the plan. After that, the picture will improve. But right now, yes, we have recognized the three new projects which are onerous contracts in this quarter.

Vishal Periwal: Sure, sir, I have a few more questions. I will come back in the queue, sir.

Moderator: Thank you. The next question is from the line of Mr. Rajesh Agarwal from MoneyOre. Please go ahead, sir.

Rajesh Agarwal: Hello. Sir, on account of Bharat Sanchar order, how much losses extra you have booked?

Chandan Kumar Verma: Pardon? Please repeat your question.

Rajesh Agarwal: On account of BharatNet order, how much extra expenses you have booked without commensurating revenue?

Chandan Kumar Verma: Rs. 20 crores, approx. Rs. 20 crores.

Rajesh Agarwal: Approx Rs. 20 crores. And any other one-off is there?

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Pradeep Gaur: Kindly repeat.

Rajesh Agarwal: Any other one-off expenses are there?

M. P. Singh: No other one-off expenses. No such other expenses.

Rajesh Agarwal: And you feel from 2nd quarter, the revenue mix will start improving?

M. P. Singh: Yes, we are quite hopeful, second quarter. It is already the reshoots are visible and in this quarter, we expect to cover the substantial ground and we hope that our revenue will match last year's revenue to the 2nd quarter cumulatively.

Pradeep Gaur: No. We are already ahead now. As of today, we are already ahead in revenue compared to the last year. So, definitely we are making it up by projects taken on bidding. So, revenue-wise, absolutely no issue. We will be exceeding the last year's revenue.

Rajesh Agarwal: And margins, sir?

Pradeep Gaur: Margins, there is a slight dip in the margins. That is based on, I will request Mr. Chandan Verma to stay on this.

Chandan Kumar Verma: Actually, in bidding projects, booking has just started. Most of the projects, we have just started executing the work. So, no doubt, it is very early to say that, but margins will improve once the

work will start in full swing and change of scope, there are too many claims are there to be sanctioned from the plan. Once these claims will be settled, the margins will improve.

Rajesh Agarwal: Understood. Thank you, sir. And sir, for JV, when the profitability from the JVs will come?

Other railway JVs? Kutch railway and all?

Chandan Kumar Verma: Yes, Kutch railway. Basically, Krishnapatnam, this year they have their own profit for the first time. And in other JVs also, the traffic has improved. So, we are hopeful that this year will get dividends. SPRCL has already given a dividend. Even two SPVs have given a dividend this year.

So, we are hopeful that with the improvement in traffic, more dividends will come to--

M. P. Singh: Traffic will increase and their liabilities will also go down the cost of the capital which they have taken a loan for

Rajesh Agarwal: And sir, Vande project is in schedule now?

Pradeep Gaur: Which project?

Rajesh Agarwal: Vande Bharat.

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M. P. Singh: Yes, all the roadblocks have been cleared and now it is in advance designing stage and production has started in Latur factory. And we hope to see the first prototype in June 26. And after that, the regular production will start.

Pradeep Gaur: Actually, background, you must be aware of it because the configuration and all that, which has led to 10 months delay. And railways have increased the time also by 10 months.

Rajesh Agarwal: Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Mr. Vishal from Antique Stock Broking. Please go ahead, sir.

Vishal Periwal: Yes, sir. Thanks for the opportunity again. Sir, on Vande Bharat, I think you did mention June 26 is first prototype. So, how exactly things work after that? When we start recognizing revenue, how much time it takes from a

prototype to actually commercially rolling out? So, can you give some background of this?

M. P. Singh: Yes, first, as we expect the first prototype to roll out by next June, so revenue will also start flowing out. As per the contract condition, 90% of the cost of the train set will be given on production of prototype and after its successful trial balance, 10% will also be released as revenue. And once the trials are successful and proving trials are held and the prototype is cleared for regular production, the regular production will start. So, in the next financial year, that is Financial Year '26-27, along with the prototype, we expect to see the regular production of the train sets also.

Pradeep Gaur: I will just add to what Mr. M. P. Singh has mentioned that this trial normally takes 60 days. And the positive part is we are following only ICF design, because this is basically the design whatever already trains are running, except difference is the existing trains are chair cars and this will be sleeper coaches. So, there is a slight change in configuration, but by and large, the same ICF design is being followed. So, we expect this trial should not take much issues because it is again ICF design. And as soon as these trials are over, I must give comfort that we have already ordered for spare components and all for 10 sets immediately. So, immediately, the production will start, and I am quite sure in Financial Year '26-27, we can expect revenue of at least 6-8 Vande Bharat trains.

M. P. Singh: Two prototypes and just regular production trains.

Pradeep Gaur: And even these two prototypes will become part of that 120 train sets what we are going to deliver.

Vishal Periwal: Got it, sir. And then this 120 train sets, this order will get conclude by when, like 27 is maybe 6-8 train sets?

Pradeep Gaur: 2032, 5 years total. There is a break up of year wide.

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Vishal Periwal: Right, sir.

Pradeep Gaur: So, we are geared up for that. So, once it is just, our original target for September 25 to roll out the first prototype. But unfortunately, these 10 months got us this one and delayed the whole thing. So, that is why it is now June 26 and definitely in the Financial Year '26-27 itself, things will start in right turn.

Vishal Periwal: Got it, sir. And I think earlier we used to hear that, like, this 120 train sets and plus couple of peers also got 80-odd train sets, these 200 train sets, this pie is almost like 500-1000 odd train sets. So, anything that are more orders are coming or anything that can be shared as of now for Vande Bharat?

Pradeep Gaur: I do not think any tenders are now, as of now, in the pipeline. It is because there were some

tenders about aluminum purchases and all that, but that could not be finalized. So, I think presently these 200 train sets is what it is in the pipeline.

M. P. Singh: 200 train sets by contract and ICF and RCF will be producing their railway production unit. They will be continuing to produce the train sets.

Vishal Periwal: And then, so we have this ICF, we are mapped to ICF. So, for the 80 train set, the peers are mapped to other coach factories?

M. P. Singh: No, 80 train set is awarded to the other bidder, consortium that is BHEL and Titagarh Wagons. So, they will be in contract matching to our basically train set rates. So, they will be producing 80 train sets in their manufacturing facility.

Vishal Periwal: And both the things will go parallelly, like prototype, when we are doing, they are also doing prototype, they are entering into commercial, we are also?

M. P. Singh: Yes, because they will be doing their own engineering and other things, but both of them will be on basically ICF platform only.

Vishal Periwal: ICF, got it, sir.

Pradeep Gaur: But they will be manufacturing their train sets in ICF only. Like, we are going to do it in Latur, they will manufacture it

in ICF.

Vishal Periwal: Got it. And then, sir, any developments that is happening for a couple of JVs that we have formed, any business traction that are we seeing anything, or as of now, they are still at MoU stage and more like a prelim discussion that usually happens before any business pickups. So, it is at that stage only, is that fair to say, or any updates that can be provided?

M. P. Singh: You are talking about the MoUs, which RVNL has entered?

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Vishal Periwal: Yes, sir.

M. P. Singh: So, we have entered into couple of MoUs and we are seeing good potential coming from it, like in maintenance of the rolling stock and engines. Indian Railways has come up with some of the bids also for maintenance of the electrical engines at two workshops. So, we have already formed MoU with the two companies and we hope to compete in those projects. Simultaneously, in the nuclear sector also with the Rosatom, we are entering into MoU and we have given a proposal to the Ministry of Railways also. That is an upcoming sector and with the Government of India's focus on nuclear power in a big way, we hope to gain certain business from that sector also. And in the solar sector also, with our success in JV in Uzbekistan and Saudi Arabia, we hope to continue with the momentum in the solar projects also. And in Armenia, we are bidding on solar. With the Jackson, with whom we had a project completed in Uzbekistan and an ongoing project in Saudi Arabia. In Romania, we are going for some solar projects.

Pradeep Gaur: That will be almost 800 megawatts. So, this MoU and JV partnership, we are expanding it further to go to Europe now.

Vishal Periwal: Maybe one last question from my side, sir. As of now, what is the international order book pie in our 1 lakh crores order book?

M. P. Singh: Which part? Around Rs. 4,000 crores.

Pradeep Gaur: Let me add, we have already bid in the present year itself around Rs. 10,000 crores, we have bid. And another Rs. 6,000 crores is in pipeline. We are expecting to bid almost Rs. 30,000-Rs.

35,000 crores of projects this year only overseas. So, even if the strike rate is around 15%-20%, we hope that this order book will increase now. Because this is one of the main areas of focus, which we are really going all out to get some good orders abroad.

Vishal Periwal: Got it. And like a couple of procurements and everything that has been done for Vande Bharat, it is still some time to actually physically or commercially roll out. So, as of now, what sort of margin that you are seeing that one can make in Vande Bharat? Maybe single-digit, high single-digit, low double-digit or anything?

Pradeep Gaur: The cost has been bid based on working the cost. And what I will add that most of the supply chain is established supply chain, which we are already supplying to ICF. So, mostly, we have gone by the same order. So, I think there is nothing extraordinary happening as of now. So, I think it is going in the direction at which we had planned. Because in this, it is ICF design, we are ordering to the same supply chain, except for one or two things where it is abroad, one or two issues were there about sanctions, etc., but those have also been overcome.

Vishal Periwal: Sure, sir, I think I have taken a good.

Pradeep Gaur: Nothing extraordinary, neither on positive side nor on negative side.

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Vishal Periwal: Sure, sir. And thank you, sir. I will come back in the queue.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question. On behalf

of Rail Vikas Nigam Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you so much.

Call: Nov 2025

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CIN: L74999DL2003GOI118633

RVNL

/SECY/STEX /2025 17.11.2025

Sub: Transcript of Conference Call with Investors

R

ef: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir /Madam,

This is in continuation to our letter dated 07.11.2025 regarding intimation of the Audio Recording of Conference Call with Investors/Analysts/Institutions on the website of the Company. Transcript of the said Concall is attached herewith.

Transcript of the audio call is available on the website at the below link:

https://rvnl.org/RVNL_cms/uploads/boardmeeting/TranscriptQ2FY25-26.pdf

You are requested to take the same on your records.

Thanking you,

Yours f

aithfully,

For Rail Vikas Nigam Limited

(Kalp

ana Dubey)

Company Secretary & Compliance Officer National Stock Exchange of India Ltd .

Exchange Plaza,

Plot no. C -1, G Block,

Bandra-Kurla Complex,

Bandra (E), Mumbai – 400051

Scrip : RVNL BSE L td.

Department of Corporate Service,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai- 400001 Scrip: 542649

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"Rail Vikas Nigam Limited

Q2 FY'26 Earnings Conference Call"

November 12, 2025

MANAGEMENT : MR. S.C. JAIN – CHAIRMAN AND MANAGING

DIRECTOR – RAIL VIKAS NIGAM LIMITED

MRS. ANUPAM BAN – DIRECTOR PERSONNEL – RAIL

VIKAS NIGAM LIMITED

MR. M. P. SINGH – DIRECTOR OPERATIONS – RAIL

VIKAS NIGAM LIMITED

MR. ABHISHEK KUMAR – DIRECTOR FINANCE – RAIL

VIKAS NIGAM LIMITED

MR. CHANDAN KUMAR VERMA – CHIEF FINANCIAL

OFFICER – RAIL VIKAS NIGAM LIMITED

MODERATOR : MR. VISHAL PERIWAL – ANTIQUE STOCK BROKING
LIMITED

Rail Vikas Nigam Limited

November 12, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Rail Vikas Nigam Limited Q2 FY26 Earnings Conference Call. Please note this call is for 40 minutes. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I will now hand over the call for the introduction of the RVNL management.

Vishal Periwal: Yes. Good afternoon, everyone. So RVNL management team is led by Mr. S.C. Jain, who is the Chairman and Managing Director; Mrs. Anupam Ban, who is Director Personnel; Mr. M. P. Singh, who is Director Operations; Mr. Abhishek Kumar, Director Finance and accompanied with him is Mr. Chandan Kumar Verma, who is Chief Financial Officer at RVNL. So I'll hand over the call to management for the opening remarks, and then we'll have lines for Q&A. Thank you, and over to you, sir.

Management: Good afternoon, everybody. I welcome all the investors on behalf of RVNL management. And RVNL in the quarter 2 has done its improvement as compared to the previous quarters. And as compared to the last year, also the same quarter, RVNL has done -- has shown better results. And as far as RVNL's business plan is concerned, RVNL is strictly progressing in its charted path.

The progress of the projects on our traditional legacy railway projects, some of the flagship projects of Rishikesh-Karnaprayag, Bhanupali-Bilaspur, metro projects in Calcutta is going on very well. Simultaneously, we are focusing on our projects, which we have won through bidding in various sectors. And the progress is very good on the projects. And simultaneously, the new business is also being acquired in various sectors.

And we are also exploring business opportunities in some of the sunrise sectors like solar with battery storage systems, operation and maintenance of the rolling stock, where a lot of opportunities coming not only from Indian Railways, but also from various metro systems in the country.

We are also exploring business opportunities abroad and our -- some of the projects, flagship projects like Harbor projects in Maldives is also progressing very well. And we are quite hopeful that we'll be able to maintain our stream in the balance period of this financial year. And also the order book, which is with us provides us a revenue guidance -- a stable revenue guidance for the next 2 to 3 years and the current pace of business acquisition.

We are very sure to maintain a steady business in the coming financial years, and we hope to sustain the revenue guidance what we have projected during the start of the financial year. As far as total orders are concerned with RVNL, the legacy orders which are from the Indian Railways are to the extent of INR43,000 crores and the balance orders which we have won through bidding is of order of INR46,000 crores.

So total order book is in excess of around INR90,000 crores at present with RVNL. And along with this, we are also exploring some of the steady revenue streams, which will provide us Rail Vikas Nigam Limited

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revenue in the long-term basis also like we have entered into multimodal logistics park sectors in collaboration with National Highway Logistics Management Limited and the 4 multimodal logistics parks already in the process of operationalization.

We are also bidding through some of the HAM projects where the revenues is steady for the next 20 to 25 years of the concession period. So we are quite hopeful that RVNL is on its path of progress. And we assure on behalf of RVNL management to the investor that RVNL will keep its hand steady and will progress on its path. Thank you.

Moderator

r: Thank you. We will now begin the question and answer session. The first question is from the line of Rajagopal an Individual Investor. Please go ahead.

Rajagopal: Hello Sir, you mentioned -- you said that the total order book is INR90,000 crores, which comprises legacy orders of INR43,000 crores and balance INR46,000 crores. Is that correct, the current order book?

Management: Yes, Current order book -- you heard rightly, the order book from our legacy railway projects is of order of around INR43,000 crores and the projects, which we have won through bidding in various sectors is around INR46,000 crores. So around it INR89,000 crores something, roughly INR90,000 crores because some of the projects RVNL is in process of regularly acquiring orders. Recently also, we acquired 2 orders. So this is a dynamic figure, but roughly it is in this order only.

Rajagopal: This is as of September 30 or as of today?

Management: It is on September -- as on September 30.

Rajagopal: Thank you!

Moderator: The next question is from the line of Shubham Shelar from Antique Stock Broking Limited.

Shubham Shelar: Sir, so my question is regarding the order book. So sir, can you provide sector-wise order book breakup for your different segments?

Management: Yes. You are concerned about the orders, which are from the legacy railway projects or orders which are from?

Shubham Shelar: From different segments, railway...

Management: Yes. So as far as our orders, which we have won through the market bidding, our -- roughly 33% contribution is still from the railway projects. They are maybe in the civil engineering sector, electrical or signalling. They are in various parts of the country. Then the second largest component is from the metro sector.

Metro sector comprises of around our 22% order books and road sector order book is around 10%. Our 12% order book is from basically BharatNet project, which is one of our largest and flagship projects. And around 10% order is from our share in the Vande Bharat manufacturing. This is largely bifurcation of our orders, which are currently with us.

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Shubham Shelar: Okay, sir. And sir, what was the order inflow in this quarter? Order inflow...

Management: Order inflows? The total orders in the last quarter, we have received the order of INR852 crores in the last quarter. And in the last 6 months, we have got the order of INR2,000 crores.

Shubham Shelar: Okay, sir. And sir, regarding Vande Bharat project, the execution has started?

Management: The Vande Bharat project, the prototype -- the scheme of things is like that. The designs, etc., is in various stages of approval, and we have started the mock up and the first prototype scheme is that first two prototypes will be produced. They will be tested and then the regular production will start.

And the first prototype as per the scheme is -- will be coming in June '26. And the second prototype will be coming in August '26. And when these prototypes are tested and certified for further production in the balance period of 26-27, 12 regular rates will be produced, followed by 25 rates every year in the next 5 years. So the total production cycle is of 6 years.

Shubham Shelar: Okay, sir. And sir, O&M part is also included in, sir?

Management: O&M part is for the next 35 years. O&M part, we'll start basically simultaneously because when we produce the first 2 prototypes and 12 rates in financial year 26-27, simultaneously their O&M will also start. For that Vande Bharat maintenance sets are part of this scheme. They are also being upgraded to receive these Vande Bharat train sets for maintenance.

Shubham Shelar: Okay, sir. And sir, one last question regarding EBITDA margins. So last year, we were making around 4% to 5% margin. But this year, first half, the margins are actually impacted a little bit.

So what is the rea

son for that?

Management: Basically, in this year's turnover, there is almost 30% turnover has come from the bidding projects. Yes. In legacy projects, we have very good margins. But in projects we have owned through competitive bidding, the margins are slightly lower, which we are trying to improve in next quarter. We are basically working on the designs. We are working on the standardization processes, different type of processes. So in future, they are going to give good results. But yes, the margins are lower because of the bidding projects...

Shubham Shelar: Yes. And sir, one last question regarding what would be the guidance of revenue for this year?

Management: Yes. The revenue guidance, which was given in the start of the year, we still maintain that guidance. And the quarter 2 results are quite encouraging as far as the turnover is concerned.

And roughly, we are in the same range as the last year H1. And this is the main working season now the next 4-5 months, they will be giving of some revenue, which will be accelerated at much faster pace. And so we maintain the revenue guidance of around INR21,000 crores to INR22,000 crores for this financial year.

Shubham Shelar: Thank you sir for answering all my questions.

Management: Thank you.

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Moderator: The next question is from the line of Abhishek Kumar Leekha from Neste Wealth LLP.

Abhishek Leekha: Just want to understand how can we have more value-added revenue line, which can have higher EBITDA lines in future because the current EBITDA line is just not very adequate?

Management: Yes. The present revenue line and growth of the company is aligned to the larger ecosystem of infrastructure projects, wherein in line with government policy, wherein direct combination work for infrastructure has been prohibited from indirectly in order to PSU. So we are aligning our business strategies and developing our product profile in a manner that it goes beyond railway projects and broadly, it is aligned to that.

So if you see the numbers, it is reflecting that trend, even if the revenue from operations remain the same, the mix has changed and it is aligned to the industry standards in general. So going forward, we are confident of maintaining the EBITDA line for the best of the industry standards as well as it will be as per our guidance measures.

Moderator: The next question is from the line of Bharani V. from Avendus Spark.

Bharani V.: Sir, I just missed this number. What was our order inflow for the first half of this year?

Management: First half? The order inflow for this financial year in the H1 is around INR2,000 crores. And it is having a mix of every sector, be it electrical, railways, metro or in the signalling also, we have won contracts basically from the railway sector for upgradation of signalling systems.

Bharani V.: Okay. And what will be our expectation for order inflow for the full year in FY '26?

Management: '26, okay? Actually, the order inflow is very much dependent on the competition in the market, but we are quite hopeful. We hope to bid for around -- in the current financial year, our bidding will be in the range of around INR75,000 crores to INR80,000 crores. And considering our success rate of 10% to 12%, we hope that the order inflow for this year is likely to touch around INR8,000 crores to INR10,000 crores.

Bharani V.: Okay. And what was this full year order inflow in FY '25?

Management: '24-'25, you are talking about? Yes. The last year was because we had some big order wins in the last financial year, the net order flow for the last year was around INR18,000 crores.

Bharani V.: Okay. And what would be our EBITDA margins in full year and for also FY '27?

Management: Please, can you repeat the question?

Bharani V.: What would be your EBITDA margin expectation for this FY '26 full year and also for FY '27?

Management: '27, okay! Right now, we cannot predict exactly, but we hope to maintain the momentum and our EBITDA margin will be in the range of whatever the industry standard for the infrastructure industry, that is roughly in the range of 4% to 5%.

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Bharani V.: Okay. And if I see our cash flow generation for the first half, I see operating cash flow has turned negative for the first half. There is a large negative cash outflow in the line item called other financial assets. What is the nature of this cash outflow?

Management: Unbilled revenues. See, basically, this is on account of reduction in unbilled revenue.

Bharani V.: Okay. So this is -- sorry, I didn't hear you properly.

Management: Yes. At each reporting date, we calculate the contracts for which the project has been made, but the invoice has not been raised to client. So that varies from quarter-to-quarter. So this current asset difference is only mainly on account of that only.

Bharani V.: Okay. So what would be the net working capital days at the end of September like core net working, which is receivable days plus inventory days, less payable days?

Management: Basically, payments are linked to milestones and on completion of each milestone there will be the payment. So now the working season has started. Actually, the rainy season was a lead period for construction business. And now the construction has started in full swing, and we are hopeful that the revenue -- this cash flow will improve from 15th of December.

Bharani V.: So with a large order book of around INR90,000 crores, what is the average execution period for this INR90,000 crores? Can we expect this to be executed over the next 3 years or 2 years? How is it?

Management: Yes, I'll tell you, these projects are of varied nature. Some of the projects, they will be continuing for the next 3 to 4 years. Some of the projects are shorter gestation period projects. They will be completing in next 1 year or next 2 years' time also. So average, you can consider this order book considering our growth trajectory is adequate for the next 4 years' time.

Bharani V.: Okay. So then the growth expected in execution in FY '27 will also be, say, around 10%?

Management: Yes. We hope to maintain this in the coming financial years. And obviously, if company has to grow, this growth trajectory has to be maintained. If we -- in this financial year, we will be closing our revenue of around INR22,000 crores to INR20,000 crores. So certainly, we will make an effort to increase it by at least 10% in the financial year 26-27. In addition to that, we are getting a new project also. And some of the projects has a lesser gestation period. So getting the new order and executing them in a shorter period will also give me the momentum and better turnover of the company. So getting the -- completing the INR90,000 crores order book, getting in new orders and getting them completed in a faster way is also the motto of the company. So this order book and it will keep on changing. We will keep on performing and giving the engineering value to our projects, monitoring and getting the better -- much better output and outlook to the company. This is our aim for the future.

Moderator: The next question is from the line of Vishal Periwal from Antique Stock Broking Limited.

Vishal Periwal: Yes, sorry, sir. So I was saying, sir, in terms of our -- previously, the historical tax rate has been in the range of 25-odd percent. This time, we are seeing a line item of deferred tax also. So how

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do you see and what is the reason of this deferred tax? Will this be a continuous phenomena and anything that you can provide?

Management: Yes. It's a very pertinent question. First thing first, no, it's not a continuous phenomena. We don't expect any further increase in the deferred tax. On each q

uarter end, this is basically a timing

difference thing, a timing difference between the income tax and what has been done in the company. So there was issue realize that this period is -- it coincides with our tax audit. So during the tax audit, we realized that one of our assumptions needs to be updated, and that has been done.

And moreover, if you see deferred tax more of zero effect on the company because it gets liquidated in the future period. But to your question very specific, no, we don't see any outstanding debt. This is the maximum that we expect, as of now, whatever the visibility is there for us.

Vishal Periwal: Okay. Sure, sir. And I think though you did clarify on the margin front. I think you did allude that the mix of the order book is changing toward competitive bidding and that is the reason like margins are lower. So is that fair to understand the earlier margins of 5.5%-6% EBITDA margin that we are making, probably the trajectory will be in the range of -- now will be in the range of 4% to 5%. So will that be a fair understanding to have as directionally?

Management: Yes. As per the order mix, the legacy projects, which were on a fixed composite management fee model, there, it was -- the margins can be predictable. But in case of the projects, which we have won through bidding, market bidding, the margins varies across the sector. Some of the sectors having a better margins and the larger projects, they are on somewhat not so good margins.

But now we are changing our strategy also. We are focusing on projects where the margins are better, and we are focusing towards the projects which are on HAM model or other things where the competition is not so high. And simultaneously, we'll be focusing on projects abroad also where the margins are certainly better as compared to the domestic projects.

In line with the industry standards, the established infrastructure giants, they derive at least 50% of their revenue from the global operations. So we hope to substantially improve on our global operations in the coming financial year so that our revenues margins we maintained at the range of the 5% to 6% in future.

Vishal Periwal: Okay, sir. Okay. And in this INR90,000 crores order book, as of now, is there any international piece in this, sir?

Management: Yes. International order book is a total of order of around INR3,200 crores total, out of which some of projects are under execution. And we are also in process of bidding or already bid for many projects in Central Asia, Middle East or East Asia, even East Europe. So certainly, in coming financial year or in this half of the -- second half of this financial year, we hope to gain substantial traction from the international projects also.

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Vishal Periwal: Okay. Okay, sir. And then I think you did clarify on a couple of numbers in terms of inflow.

Yes, I think last year was pretty good in terms of inflow. This year, I mean, inflows are a little bit on the lower side, order inflow. So if one has to understand the reasoning for the same, is it the competition is high and then the winning trajectory is commensurate to that is lower or I mean, even the opportunity itself is lower. So how do you, I mean, see things in the market?

Management: No. There was -- certainly difference is there have come to last year. Last year, we won a very large project in -- that was a BharatNet project and some of the larger projects were also won in the last year. So that order flow was order -- of order of around INR18,000 crores last year. This year, other than the competition in the market, what happens, some of the projects, high-value projects, especially in the road sector.

They were -- the tendering was repeatedly deferred due to various reasons, be it availability of land or other statutory clearances. So now in coming days, a number of high-value projects are now coming

. So our focus is basically on getting the high-value projects where the -- it is a niche sector and the competition is also not that high. A large number of projects are coming in the tunnelling sector where RVNL maintains a leadership position in tunnelling sector. So in coming days, we certainly hope to improve our winning streak in the projects.

Vishal Periwal: Okay. And then sir, in this road sector as such, we have seen, I mean, like lack of orders in

general, I mean, like we are not seeing major orders that are getting awarded. So I mean, it's not like this quarter phenomena from last 1.5 years. And so anything particularly that is the reason that you can share probably like guide us how things are in the road?

Management: No, we cannot comment on the internal dynamics of the road sector, how the different organizations in the road sector, be it NHAI or state PWDs or other developmental agencies have their own issues because it involves many clearances and many other things. So that may be the issue and they have changed their strategy also. It was earlier only the EPC, then they've changed over to the HAM and then they are coming up with a mix of HAM and BOT projects.

So it is an evolving strategy, and then we hope that it will get stabilized.

Vishal Periwal: Got it, sir. Maybe one last thing from me. I think you did mention like we'll do almost like INR21,000 crores to INR22,000-odd crores kind of execution revenue this year. So this actually implies more like a kind of 10% sort of revenue growth. First half has been quite flattish for us, which means like in second half, the number has to be like high double digit. So are you seeing like almost like 1.5 months has passed for quarter 3? So has the pickup seen by us? Or you think probably it will be more like a quarter 4 phenomena for us?

Management: No, it is certainly this quarter, the ongoing quarter, Q3, the results -- the execution pace has improved substantially, although the monsoon was extended this year in various parts of the country. And as you know, the civil engineering projects, they are dependent on the monsoon phenomena and there were some disturbances due to the election, also the labor movement gets hampered.

But the pace has increased. And as has been the experience in the previous financial year also, Q3 and Q4, there are substantial improve as compared to Q1 and Q2. So we hope that our

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revenue guidance will be -- is sustainable for this financial year. And we certainly hope to not only complete this revenue guidance, but we hope to exceed it also.

Vishal Periwal: Sure, sir. I think that's pretty helpful and thank you to RVNL management for answering all the question detailed. Thank you very much, sir.

Moderator: Thank you. The next question is from the line of Rajagopal an Individual Investor. Please go ahead. Raja you line is unmated. Please go ahead.

Rajagopal: Sir, you gave some figures on order inflow. So can you please repeat those numbers? Was the order inflow in Q2 INR852 crores. Is that correct? INR852 crores?

Management: Yes. The order inflow in the current financial year in Q2 is of order of INR852 crores.

Rajagopal: And in H1? Total in H1 from April to September?

Management: INR2,000 crores.

Rajagopal: INR2,000 crores. And sir, one final thing. You mentioned that you gave some total order inflow projection for FY '26. What was that number, the order inflow for FY '26, total what you anticipate?

Management: It is of order of around INR8,000 crores to INR10,000 crores.

Rajagopal: INR8,000 crores to INR10,000 crores. Okay. All right. Thank you very much. Thank you.

Moderator: Thank you. The next question is from the line of Ashit Kothi an Individual Investor. Please go ahead. Ashit your line is unmated. Please proceed with the question. We have lost the line for Ashit. As there are no questions, we would conclude the call now. On

behalf of Rail Vikas

Nigam Limited, we thank you for joining the call and you may now disconnect your lines.

Management: Thank you very much.

Call: Feb 2026

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RVNL/SECY/STEX/2025-26 09.02.2026

Sub: Transcript of Conference Call with Investors

Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir/Madam,

This is in continuation to our letter dated 06.02.2026 regarding intimation of the Audio Recording of Conference Call with Investors/Analysts/Institutions on the website of the Company. Transcript of the said Concall is attached herewith.

Transcript of the audio call is available on the website at the below link:

https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript06022026.pdf

You are requested to take the same on your records.

Thanking you,

Yours faithfully,

For Rail Vikas Nigam Limited

(Kalpana Dubey)

Company Secretary & Compliance Officer National Stock Exchange of India Ltd.

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Phiroze Jeejeebhoy Towers,

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"Rail Vikas Nigam Limited

Q3 FY '26 Earnings Conference Call"

February 06, 2026

MANAGEMENT : MR. SALEEM AHMAD – CHAIRMAN AND MANAGING
DIRECTOR – RAIL VIKAS NIGAM LIMITED

MR. CHANDAN VERMA – CHIEF FINANCIAL OFFICER –
RAIL VIKAS NIGAM LIMITED

MRS. ANUPAM BAN – DIRECTOR PERSONNEL – RAIL
VIKAS NIGAM LIMITED

MR. M.P. SINGH – DIRECTOR OPERATIONS – RAIL
VIKAS NIGAM LIMITED

MR. AMIT TANDON – DIRECTOR PROJECTS – RAIL
VIKAS NIGAM LIMITED

MODERATOR : MR. VISHAL PERIWAL – PL CAPITAL

Rail Vikas Nigam Limited

February 06, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '26 Post Results Conference Call hosted by Rail Vikas Nigam Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note, this call is of 40 minutes.

I now hand the conference over to Mr. Vishal Periwai from PL Capital. Thank you, and over to you, sir.

Vishal Periwai: Yes. Thank you, everyone, and a warm welcome for the earnings call of Rail Vikas Nigam Limited. From the management team of RVNL is led by new CMD, Mr. Saleem Ahmad, represented by another team members which are as follows: Mrs. Anupam Ban, Director (Personnel); Mr. M. P. Singh, who is Director (Operations); Mr. Amit Tandon, Director

(Projects); and with him is Chief Financial Officer, Mr. Chandan Kumar Verma. So we'll have a brief from the management on the company and then we'll have lines open for Q&A. Yes. Over to you, CMD, sir.

Saleem Ahmad: Namaskar. Good afternoon, all of you. A very warm welcome to all of you in today's investor call for third quarter of Rail Vikas Nigam Limited. My name is Saleem Ahmad. I'm Chairman and Managing Director of your company. I have recently joined your company almost a month back. I have experience of working with Delhi Metro Rail Corporation. And lastly, I was working as Director of Projects with NBCC India Limited.

So I want to assure all the stakeholders that my focus area will be that all the works which are ongoing should be completed on time, and I will focus on the faster execution of our order book. And I will be focusing on achieving the sustainable and good growth for both top line and bottom line.

Our results for quarter 3 have been declared. In quarter 3, we have achieved top line of INR4,936 crores and our profit before tax is INR359 crores. If we see the 9 months performance, our consolidated top line is INR14,406 crores and our profit before tax is INR841 crores. If you see our order book, your company order book is very strong. We have almost INR87,000 crores of order, which includes railway nomination works of INR40,000 crores, and we have secured INR47,000 crores of work on bidding.

Recently also, we have secured works of INR1,528 crores of new works in last 9 months and have emerged as the lowest bidder for the project value INR3,667 crores. We have also signed an MOU with Visakha Port Authorities for development of various infrastructure projects in that port. And we are also in discussion with various states and public sector bodies to explore the business opportunities in that area.

I also want to brief all of you about the progress of the important works which we are carrying out. First important project which your company is doing is Vande Bharat project, where 120 train sets are being manufactured along with our Russian counterpart. And I want to brief all of you that work is progressing very well in that sector. First prototype which is required as per the Rail Vikas Nigam Limited

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key dates will be met and will be ready with the first prototype in June or July of this year. So that will be a major achievement of the major project.

Another important project which is going on is BharatNet project. So progress in that project is also progressing satisfactorily, and we are hopeful to generate good income out of that project in this year. Another important project is Rishikesh-Karnaprayag, where work is going on full swing, and our target which is to achieve the completion of the project in December 2028. And we are progressing very well in that project also.

So, dear shareholders, I want to assure you on behalf of Rail Vikas Nigam Limi

ted, your

company, that our management, with me as Chairman and our Directors, will make all efforts to ensure sustainable good growth in future and ensure good profit in future. Thank you very much. And now the forum is open for question and answers. Thank you.

Moderator: The first question is from the line of Vishal from PL Capital. Please go ahead.

Vishal: Before the others can join for the call, maybe I'll ask a few questions. So one is in terms of how exactly are we seeing the full year for us in terms of the growth rate? And second, on the margins front, how we expected this trajectory is going to be in financial year '26?

Saleem Ahmad: Vishal, our growth in top line is quite challenging right now because, as you know, from earlier, we were getting railway works and now we are diversifying into bidding works also. But we are hopeful that this year, our growth will be sustained like will be good. We are expecting a growth of 1% or 2% than the previous year.

But profit, we are not expecting such good profit this year because a major part of our revenue -- of our income will be from the bidding works, where the margins are less. So definitely, there will be some hit in our bottom line. But I want to assure all of you that in future, in the next financial year, we'll be doing much better and we'll have a better growth next year. But this year, it will be stagnant growth in top line and maybe we might get a dip in our bottom line. Thank you.

Vishal: Yes. Sure, sir. This is helpful. And second, sir, in terms of orders, can you give some color, I mean, like how has been the order inflow for us in the last 1, 2 quarters? And any new opportunity that you are seeing that is emerging that could boost our order book in times to come?

Saleem Ahmad: Yes. I just brief you. In the last quarters, we have emerged as lowest in works amounting to INR3,500 crores, and already works up to INR1,500 crores have been awarded to us. So future is good. We are in talks with many public sector units to get works on MOU basis. We are bidding for highway works, for railway works.

And there's a lot of opportunity for us in future because recently in budget, a lot of capital expenditure has been announced for railway works. So we are hopeful that we will get a good chunk out of that budget. So our future looks very good, yes.

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Vishal: Yes. So, I think you briefly touched upon the budget. Can you give some perspective? Because this time, we have seen a decent jump in the lease asset line item of the budget. And I mean, do we get to participate in that particular capex of Ministry of Railways?

And another question related to that, like high-speed rails, they have been announced. But given your experience, sir, how much time it takes when, I mean, the orders can come to the market and we can bid for those projects?

Saleem Ahmad: As you see the budget, there is a huge opportunity for us. Railway is continuously spending money on the infrastructure improvement, whether it's doubling of the line or the new lines. So we are hopeful to get good works from these infrastructure works taken by railways.

And about the new corridors, which have been recently announced for the high-speed train network, so we are not sure whether we can be part of that work because that work is entrusted to another organization. But definitely, we will try to take some work from the bidding point of view.

We'll bid for those projects in future, but its timeline will be, I think, slightly 2 or 3 years. In this year, we are not expecting any work from that sector. But already, railway infrastructure, a lot of works are in pipeline or in tendering stage. So we are hopeful to get good amount of orders from that.

Vishal: Right, sir. Right. And in terms of, sir, pipeline of railway orders. Though we have seen a good 10%, 11% sort of capex increase, in terms of order inflow also

, I know maybe it's a little early,

but any pipeline that you see for yourself and how this opportunity can be in terms of number?

Anything that can be provided, sir?

Saleem Ahmad: If you see the next 3 years, we already have almost INR40,000 crores of railway works. So our first focus is to complete those works within next 3 years. So that will bring us the income of almost INR10,000 crores to INR11,000 crores per annum. And parallelly, we will be focusing on getting new works on bidding.

Our target is to get at least income of INR10,000 crores to INR12,000 crores from those works also. And in addition, other infrastructure works are also coming, whether by PSUs, by state governments and other sector also. So we are trying in all the sectors that we should get good works. And we are hopeful that in near future, in next 3 years, we'll get good orders.

Moderator: The next question is from the line of Shubham from Antique Stockbroking. Please go ahead.

Shubham: Sir, I have only one question regarding the Vande Bharat order. So what is the current status on the Vande Bharat order?

Saleem Ahmad: Thank you, Subham. Vande Bharat is a very prestigious project for us also and railways. So we are manufacturing 120 train sets. And right now, our work is going on as per the planned progress. Our first milestone will be to give the prototype to the railways. And we are hopeful to achieve this milestone within this year as per the program of the railway, which is, I think, June 2026.

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Shubham: And sir, this will be basically the sleeper Vande Bharat or the normal one?

Saleem Ahmad: Vande Bharat sleeper train with 16 coaches.

Saleem Ahmad: 16 coaches planned, configuration.

Moderator: The next question is from the line of Ashish Shah from HDFC Mutual Fund. Please go ahead.

Ashish Shah: Sir, you know, I just had a question on the order book that we have. So you said that out of 87,000, 40,000 is nomination-based and 47,000 are the new bidding-based orders. So for each of the bucket, if you can first highlight how much of, let's say, this INR40,000 crores nomination, what portion of this order book is currently under execution and what is maybe awaiting some approvals or go ahead from the railways?

Saleem Ahmad: No. This work is in progress. It is already awarded to us. Work is going on full swing. As I just briefed you, out of this 40,000 order book, we have to complete this order book in the next 3 years. So accordingly, works are going on.

Ashish Shah: Okay. And how about the other order book of bidding-based, INR47,000 crores?

Saleem Ahmad: Yes. Even that work is going on.

Ashish Shah: So it's entirely under execution?

Saleem Ahmad: Yes. Under progress, yes, which includes Vande Bharat, BharatNet and other bidding projects of railways.

Management: Railways, roadways, etcetera.

Ashish Shah: Right. And what's the kind of execution that one can hope from this order book? Because it's a complex set of mix, where Vande Bharat would be having a longer execution cycle and the others could be shorter.

So let's say, if you say that in nomination 40,000, you have roughly 3 years to deliver. So let's say, give or take, INR11,000 crores, INR12,000 crores, if I'm doing a simple arithmetic, could be from this particular set of 40,000. And out of this INR47,000 crores, what could be our revenue execution cycle like?

Saleem Ahmad: The cycle for this is quite long, for Vande Bharat and BharatNet. But parallelly, we are undertaking many other works like highways, port sector also, work is in progress. So we are hoping for the next 3 years, our 50% of revenue will be from the railway works, which is 40,000; and 50% of our revenue will be from our bidding works, whether from Vande Bharat or from BharatNet, from highways and other railway sector. So we are hoping that 50%-50% revenue will be from each sector.

Ashish Shah: Okay. So what's the tota

I revenue guidance that you may give for, let's say, this year? This year, you said it will be flat. But how does '27 look like, FY '27?

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Saleem Ahmad: No, there will be definitely sustainable growth. We are targeting growth of between about 10% per financial year. And we will achieve it because our order book is very strong and the industry is also showing signs of a lot of infrastructure works coming up. And we are talking to many states, public sectors to take up work on MOU basis. So we are very hopeful that we will achieve 10% growth in our top line and bottom line, too.

Ashish Shah: And how would you guide on the margins? You did say that because of the bidding-based orders, there would be some amount of pressure on the margins. So where would we end up on the EBITDA margin this financial year '26? And based on the mix that you're projecting, 50%-50%, next year, what could be the margin that one can expect?

Saleem Ahmad: Margins, as you know, there are two revenue streams we have: one is railway, which have a very good profit stream; and biddings, we definitely are getting also on competition basis. So sometimes the margins are less and high. But on an average, we will definitely get an EBITDA margin of 7%.

Ashish Shah: Okay. So let's say around 7% margin somewhere in next financial year. And on a turnover, let's say, maybe this year, you ended close to INR20,000 crores. And 10% over that is what you're guiding for next year?

Saleem Ahmad: Yes.

Ashish Shah: All right, sir. Also maybe one just last thing on the railway projects. So are you seeing sort of any pickup in the railway EPC projects? The budget did talk about some new dedicated freight corridor related works and certain other city connectivity, high-speed rail projects as well, some 6 or 7 cities. So any perspective that you can share on how the railway projects seem to be shaping up over the next 12 months or so?

Saleem Ahmad: The Railway Ministry is spending huge money on the infrastructure. And in addition to that, a lot of other works are also coming up, which your company bids for, like metros, highways. So future is good for next 2 to 3 years. And as I just said, that we are hoping to increase our revenue by 10%.

Even the profit margins will be slightly better because as I earlier told you it was a transition phase for us, for your company from like nomination basis to bidding. So I think things are improving. And we'll be getting better margins in our bidding projects also. So accordingly, we are bidding so that we get good margins.

Moderator: The next follow-up question is from the line of Vishal from PL Capital. Please go ahead.

Vishal: Sir, on the previous participant, Ashish, when he asked on the margin. So just a clarification. 7% EBITDA margin, this includes other income? Or how do you see that number, sir?

Management: Good afternoon. Basically, sir talked about gross margin. If you see in this quarter, though our turnover has decreased compared to quarter 2, but we have improved the gross margin in last quarter. Almost by 50, 60 basis points we have improved in gross margin. So with cost cutting,

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better improvement in our execution, quality, we are going to achieve the 7% gross margin next

year.

Vishal: Okay, okay. Sure, sir. Sure. And maybe, I mean, clienteles, can you provide the order book breakup that you mentioned? Say, central state, private, how this number can be for us, sir?

Management: Good afternoon, Vishal. our orders are from various diverse sectors. Railway is still our core. Railway orders comprises of around 45% of our total orders. Then road sector, we have got around 10% of our total orders. Electrical sector, where we have got a diverse mix of orders from basically RDSS, which are basically revamped distribution support system in 4 states and transmission I

ine and railway electrification works, they comprise of around 15%.

And signalling and telecom work, which includes railway telecom works, signalling works as well as the BharatNet projects, they comprise of around 15% of our order book. And around 7% order book is from our mechanical sector, which includes our share in Vande Bharat and some of the workshop projects. And besides that, we have got an order book of around INR3,500 crores from international projects.

Vishal: Okay, okay. So is it fair to say, barring electrical, most of the projects, they are from the central government side? Is that fair to say?

Management: Yes. Most of our projects, barring electrical distribution support systems, they are from the basically central government.

Saleem Ahmad: We are working for national highways and railways, major...

Management: And metros. Metro is also an important segment.

Moderator: Thank you. As there are no further questions from the participants, we will conclude the call.

On behalf of PL Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Saleem Ahmad: Thank you.

Call: Jun 2026

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RVNL/SECY/STEX/2026 02.06.2026
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Sub: Transcript of Conference Call with Investors

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Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

■■■■■: ■■■■ (■■■■■■■■) ■■■■■■ , 2015 ■■ ■■■■■■ 30

Dear Sir /Madam,

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This is in continuation to our letter dated 26.05.2026 regarding uploading of the Audio Recording of Conference Call with Investors/Analysts/Institutions on the website of the Company. Transcript of the said Concall is attached herewith.

Transcript of the audio call is available on the website at the below link:

https://rvnl.org/RVNL_cms/uploads/ScheduleOfAnalystsResult/transcript.pdf

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Rail Vikas Nigam Limited
Q4 FY26 Earnings Conference Call

Event Date/Time : 26/05/2026, 14:30 hrs
Event Duration : 30 mins 08 secs

CORPORATE PARTICIPANTS:

Shri. Saleem Ahmad
Chairman & Managing Director

Smt. Anupam Ban
Director (Personnel)

Shri. Mritunjay Pratap Singh
Director (Operations)

Shri. Abhishek Kumar
Director (Finance)

Shri. Amit Tandon
Director (Projects)

Shri. Chandan Kumar Verma
Chief Financial Officer

Q&A PARTICIPANTS:

1. Vishal Periwal : RK Family Office
2. Abhishek K Leekha : Nestle Wealth LLP

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Rail Vikas Nigam Limited
Q4 FY26 Earnings Conference Call 26.05.2026 Moderator

Good afternoon, ladies and gentlemen. I'm Karthikeyan, moderator for the conference call. I would like to welcome you all to the earnings conference call of Rail Vikas Nigam Limited for Q4FY26. We have with us today the management team of RVNL. Shri Saleem Ahmad, Chairman and Managing Director; Smt. Anupam Ban, Director (Personnel); Shri Mritunjay Pratap Singh, Director (Operations); Shri Abhishek Kumar, Director (Finance); Shri Amit Tandon, Director (Projects); and Shri Chandan Kumar Verma, Chief Financial Officer.

As a reminder, all participants will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch tone telephone. Please note that this conference is being recorded.

We will start with a brief opening remark from CMD sir, which will be followed by a question-and-answer session. Thank you, and over to you, sir.

Saleem Ahmad

Good afternoon, everyone. Thank you for joining us today for earnings call of RVNL for this quarter and year ended 31st March, 2026. As all of you know, RVNL's portfolio comprises primarily of infrastructure focused businesses, which stands across rail infrastructure, metros, roads and highways, transmission and port harbors.

Although this year has been challenging for the company, RVNL has remained focused on sustaining its operational performance and ensuring timely execution of key projects. Despite market and sectoral headwinds, we continue to maintain a strong order book, and are actively working towards improving efficiency and expanding business opportunities.

With continued government emphasis on relevant perceptual development, we remain confident about

the long-term growth prospects of the company. As a result of which, the company has achieved an MoU rating of very good for the year 2024-25 from Department of Public Enterprises.

I'm pleased to share that our order book continues to remain strong and diversified, providing healthy multiyear execution visibility for the company. During the quarter ended January to March 2026, the stand-alone order inflow stood at INR 4,644 crores, while for the full financial year 2025-26, standalone order inflows were INR 5,875 crores.

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Q4 FY26 Earnings Conference Call 26.05.2026 With joint ventures, we have also secured works amounting to INR 1,201 crores. So as on March 31, 2026,

the company's total order book stood at an impressive INR 99,262 crore. The order book is primarily driven by railways with INR 57,000 crores followed by signaling at INR 14,900 crores; port, roads, highways at INR 10,400 crores; and metros at INR 9,900 crores, and we have works of power and transmission of about INR 4,000 crores and hydro and irrigation project at INR 2,000 crores.

Growth and movement in the order book was supported by new railway and multi sector infrastructure works awarded to RVNL. Stunning execution leading to revenue recognition and our disciplined margin focused selective bidding strategy. This strong and well-balanced order book positions the company competently for sustained growth in the coming years.

The company reported a strong growth in revenue during Q4 financial year 2025-26 with the stand-alone turnover increasing by 47.6% QoQ, if I compare it to quarter three financial year '26 to quarter four of financial year '26. We have a growth of 4.78% when compared to quarter four of '25 to quarter four of '26, and 0.72% YoY growth, reflecting healthy execution momentum and improved project activity during the quarter.

On a consolidated basis as well, turnover grew by 42.94% quarter three to quarter four, 4.8% quarter four '25, '26 and 2.45% year-over-year, demonstrating sustained business expansion

and strong order

execution capabilities. However, despite the robust increase in revenue, profitability remained under pressure during the quarter.

Standalone EBITDA declined by 16.88% if I compare quarter three to quarter four; 33.55% quarter four to quarter four '25 to '26; and 26.74% YoY, while EBITDA margin reduced from 10.36% in quarter three to 5.83% in quarter four FY26. Similarly, PAT declined by 19.66% QoQ and 43.14% quarter four to quarter four compared to FY25-26, and 32% YoY, indicating margin pressure and increased cost burden during execution.

On a consolidated basis, the EBITDA impact witnessed declines despite higher turnover. The decline in the above parameter is mainly driven by a few onerous contracts and reconciliation adjustment relating to joint ventures. Overall, the results indicate strong revenue visibility and execution growth for the company. However, pressure on margins and profitability remains a key area of concern, which may require close monitoring in the coming quarters.

I want to brief that building works of this RVNL and the company have contributed 31.40% to the total revenue from operation, so showing an increase of 129.50% from the previous year. I want to inform that the company has paid an interim dividend of INR 208 crores, and board has also extended a final dividend of INR 148.03 crores, subject to approval of shareholders.

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Q4 FY26 Earnings Conference Call 26.05.2026 I want to highlight the progress of the major projects undertaken by Rail Vikas Nigam Limited. One is

BharatNet project, which has been awarded by Bharat Sanchar Nigam Limited, is a INR 13,236 crore initiative to provide high speed broadband connectivity in rural and remote areas through 8,206 kilometers of OFC infrastructure. Till date, RVNL has achieved 15.01 physical progress. Project execution momentum has improved significantly, and work is now progressing at a good pace across project locations, and we are expecting good revenue and profit margin in this year.

Another important project is Rishikesh Karnaprayag Rail project, which is of a national importance in Uttarakhand. Being developed at a cost of INR 37,000 crore, the 125-kilometer project has achieved 74% overall progress, with around 96% tunnel excavation complete. Target for completion by December 2029, the project will improve access to the Himalayan region.

Another important project is Vande Bharat sleeper train set, a INR 14,400 crore project with 35 years maintenance arrangement being executed by our SPV Kinet Railway Solutions. We are hopeful that first prototype training set is targeted for launch in December 2026. SPV has also received the Bronze Air Design Award 2026 in Italy for excellence in mobility and transportation design.

Performance of our JVs and subsidiaries remained encouraging, contributing INR 399.86 crore to consolidated revenue and INR 64.23 crore to PAT. Additional dividend income received from JVs and subsidiaries stood at INR 43.45 crore during Q4 and INR 47.88 crore for the full year, which contributed positively to the company's consolidated profitability. I also brief that the employee productivity showed improvement, which has increased from INR 21.23 crore to INR 22.46 crore. This growth reflects enhanced operational efficiency and better utilization of human resources.

RVNL continues to demonstrate disciplined execution and stable operational performance, supported by a strong and diversified order book. We remain focused on efficient project delivery, margin discipline, and conversion of healthy L1 and LOA in pipeline. We are also actively encouraging opportunities in diversified infrastructure and emerging business areas. With sustained progress in key national infrastructure projects, the company is well positioned for long term sustainable growth and value creation.

Thank you for your continued trust and support. So, we are open for the question and answer.
Thank you.

Moderator

Thank you very much, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. In the 5

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Q4 FY26 Earnings Conference Call 26.05.2026 interest of time and fairness to all participants, participants are requested to restrict yourself to one question in the initial round, and join back the queue for more questions. Wait for a moment as the question queue assembles.

The first question comes from the line of Vishal Periwal from PL Capital. Please go ahead.

Vishal Periwal

Yes sir, thanks for the opportunity. Sir, on the margins, though you did clarify it is coming from one of the JV work that we are doing. So, is it fair to say, is the work has concluded and probably we'll have a better margins from quarter one of FY27, or do you think probably the base of 4%, 4.5% EBITDA margin is a new base for us?

Saleem Ahmad

PAT looks lower in this quarter, but if we adjust for the onerous contract of INR 54 crores, and we have paid municipal taxes on new building, and we have readjusted after reconciliation of our SPV amounting to INR 35 crores. So, you will see that the PAT is slightly better than the last year than the last quarter. So definitely, now the adjustment for the onerous contract has been done, and we are hopeful that we will definitely improve our margins in the first quarter of '27 year. Thank you.

Vishal Periwal

Okay. Yes, thanks for the clarification. Maybe one last question from me is, I think we have seen an increase in the receivables in financial year '26 numbers, and that has led to lower cash and lower other income. So, is it coming from a big segment or probably anything, any color that can be provided?

Saleem Ahmad

Cash flow is a challenge, because we are working for Ministry of Railways, and we have to get money from Ministry of Railways. If you see that our INR 3,400 crores were recoverable from MoR, which we could not get within this year, but we have received now in April. So that was the reason for cash flow negative share.

Vishal Periwal

Sure, sir. I think this is helpful. I'll come back in the queue. Thank you, sir.

Moderator

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Thank you. Ladies and gentlemen, if you have a question, please press *and 1 on your telephone keypad.

Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad.

You have the next question from the line of Abhishek K Leekha from Nestle Wealth LLP. Please go ahead.

Abhishek K Leekha

Yeah, thank you for the opportunity. My question is on the receivable parts on the Krishnapatnam Railway Company, which is standing at INR 1,116 crores, including INR 890 crores of interest. What is the timeline for resolution and how much we can realistically recover on that?

Mritunjay Pratap Singh

Good afternoon. The total receivable, which is due from the Krishnapatnam stands at INR 1,116 crore, which comprises of two components, basically the principal and the interest component. And during the last year gone by, Krishnapatnam has given a -- has a healthy return of around INR 290 core which was due from them. And with the continued good performance of Krishnapatnam Rail Company, we hope that in the coming two years time, mostly their receivables will be wiped out, and the steel will also turn profitable, and due to their good performance they have given a total dividend of INR 50 crore this year, out of which RVNL received its share of INR 25 crore.

Abhishek K Leekha

Okay, thank you. And what kind of top line growth that can be expected in 2026-27, and how should we take the margin outlook from current? Because

what I understand from last con call was you mentioned that 2026-27 as far as execution would be better off and also margins would be comparatively on the brighter side.

Saleem Ahmad

Yes. We are definitely expecting a good rise in our revenue, which will be around, say, 15-20%. And even the margins will definitely increase. That I want to assure you. And it will be much better than this year.

Abhishek K Leekha

Should we expect it, like from the current quarter itself, June quarter onwards? Like the top line growth and followed by the margin growth to be start seeing?

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Yeah, definitely, QoQ, year wise, definitely there will be improvement. But you know the quarter -- the first quarter will be slightly challenging for us, but we are hopeful to achieve the targets and have a good revenue and good profit, good margins.

Abhishek K Leekha

Okay. Thank you so much. That's it from my side.

Moderator

Thank you. Next, we have a follow-up question from Vishal Periwal from PL Capital. Please go ahead.

Vishal Periwal

Yes, sir. Thanks for the follow-up. Sir, in terms of our order book of INR 99,000 crores odd, what is the breakout in nomination and competitive bidding now?

Saleem Ahmad

If you see our breakup for nomination and bidding is almost 50%, 50-50 each. Presently, 45,000 works of bidding and INR 45 crores are on nomination basis. So now our business strategy is that we should focus on railway works which we already have in pipeline, which is almost 30,000 works are going on. In addition, we are talking to other PSUs and government for management works on PMC basis. We have got works from NMDC, the Visakhapatnam Port Trust, and other, and we are focusing that we should get more works on PMC.

And third line will be -- vertical will be from the bidding works. But this time we are not bidding very aggressively for the bidding works. We have kind of positioned ourselves like that, that we should get at least 5-10% profit from each works of bidding. So that is our target and our strategy.

Vishal Periwal

Sure, sir. And in terms of our order inflow, though you did clarify stand alone and, this is FY26 and quarter four. For the JVs can you also share what is the inflows in quarter four and FY26?

Saleem Ahmad

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Rail Vikas Nigam Limited
Q4 FY26 Earnings Conference Call 26.05.2026 JV, we have got one work in recently from railways, which is a bidding work of INR 400 crores right now.
And we are expecting that we should get more work in future, definitely.

Vishal Periwal

Okay. So sir, I think if I look at our order inflow, including JVs, everything, is it to the tune of maybe like INR 7,000 odd crore for this year? And we have done execution of INR 20,000 odd crore in terms of revenue. And our order book has seen increase. So is there a large part of this change is coming from the scope change or any anything that you can share on this?

Saleem Ahmad

Actually, if you see the order book, which we have reviewed it during the last financial year was around INR 6,000 crore, and the execution from the bidding works also stand around INR 6,300 crore. So, the order book inflow and the execution matches, but in the coming years, the execution from the bidding works will increase tremendously because as you've seen in the last year, as compared to financial year '24, '25. In financial year '25, '26, it has increased by almost 129%, which was INR 2,737 crore in the financial year '24, '25, which has increased to INR 6,283 crores in the financial year '25, '26. So, our order book is healthy, and we hope that with increased execution also, the order book will be able to give us a good handsome revenue.

Vishal Periwal

Maybe one last question.

Saleem Ahmad

And the change of [indiscernible 00:22:23] -- many projects is there, especially in macro projects and other projects, which we are excluding. Even gold projects, we got change of scope as per the requirement of the site and clients decor.

Vishal Periwal

In terms of -- I think a lot of cost inflation that we are seeing in terms of the commodity prices and other things. I understand nomination order, which is almost INR 45,000 odd crores, the things are passed through. But in competitive bidding, is it a fixed price contract or there are escalations? Can you share anything on that -- this one?

Saleem Ahmad

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Rail Vikas Nigam Limited
Q4 FY26 Earnings Conference Call 26.05.2026 There are different types of contracts. Some are fixed contracts, some are

dynamic also, but in most of the contracts we get the price variation, which controls the fluctuation of the market. But definitely, challenges will be there, yeah.

Vishal Periwal

Okay, sir. And then in terms of Vande Bharat order, though you mentioned prototype is December 26 that we plan to supply, and the total order that is there of 126, by when this will get concluded? How are the delivery schedules after prototype is submitted?

Mritunjay Pratap Singh

Our prototype will be completed by this year only. So, we'll bring two prototypes. And after that in next -

Mritunjay Pratap Singh

The total order, Vande Bharat order book is to be completed in five years time and with a greater increase every year. The first year after prototype, we have to supply, because after supplying the prototype, it takes around three to four months time for the various trials and other work variances by the street. Thereafter, in the first year, five sets will be supplied. Thereafter, it will be increased, and the total 120 sets will be supplied in five years time.

Vishal Periwal

Okay. Sure, sir. I think this is helpful. I'll come back in the queue, sir. Thank you.

Moderator

Thank you. Next, we have a follow-up question from Abhishek K Leekha from Nestle Wealth LLP. Please go ahead.

Abhishek K Leekha

Yes, sir. Thank you for the follow-up question. I just want to have the understanding on what steps the company is taking, so that fast track execution can be cleared on priority, in terms of like automation or steps that are being taken, which helps the company to enhance the execution capability.

Saleem Ahmad

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Rail Vikas Nigam Limited

Q4 FY26 Earnings Conference Call 26.05.2026 You know, the main challenge that we have seen for us is faster execution. Then only we can have good revenue and good margins. So, our whole team is focusing on it. We are using latest technologies. We are using a pay model, which gives us the 5G functions, which gives the progress, financial progress, and planned progress versus the actual progress.

We are using drones for the site in inspection, and we are using many kind of softwares with pure dashboards and give us the performance on -- all on our dashboard. So many things are being done at every level, from the supervisory to the top management, and our focus is for the faster execution of the work and timely execution of the work.

Abhishek K Leekha

Can we have a presentation, kind of wherein will you give the points or the areas which the company is doing a lot of exciting work and good work. So that we also understand what exactly the company is doing in terms of execution readiness and how well that can be put in use or has been -- or you might be using it, so that it gets communicated well amongst the stakeholders.

Saleem Ahmad

Thank you. This is a very good solution, and we will definitely implement it and put it on our website, so that every stakeholder can go through it. And if they have some suggestion, we will be happy to incorporate those.

Abhishek K Leekha

Thank you for that. And if that can be in a presentation, in a quarterly or a yearly kind of a thing, that

would be great also, because a lot of questions can be put to on basis of that.

And one more thing,

has RVNL been approved together or upgrade corridors specifically for the defense logistics? Because in this war scenario, railways can be -- also be used as a defense logistics. So, anything specifically that can be done by RVNL in that line?

Saleem Ahmad

Yeah, definitely, we are doing, but we will not be able to explain here. There will be many strategic projects in pipeline.

Abhishek K Leekha

Okay. Fine. Thank you so much.

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Saleem Ahmad

We can close it.

Moderator

We don't have any further questions, sir.

Saleem Ahmad

Okay. Can you close now? We can close the call now?

Moderator

Okay, sir. I will conclude the call, sir.

Saleem Ahmad

Thank you very much.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you, and have a pleasant day!

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.